2022
INTEGRATED REPORT

INVESTING
FOR THE
FUTURE

UNGA GROUP Plc

OUR PURPOSE

Our organisational culture defines who we are and how we work to ensure that we deliver on the expectations of our customers and other stakeholders, whilst living our STRIICT core values to achieve our vision and mission.

TABLE OF **CONTENTS**

ABOUT THIS REPORT

The scope of this report relates to **Unga Group Plc** as a human nutrition, animal nutrition and animal health products company, and matters arising from its business operations.

This report provides a complete analysis of our business and investments to satisfy the information needs of key stakeholders that use the Integrated Report.

The information presented aims to provide our various stakeholders with a clear understanding of the financial, human, social, environmental and economic impact of Unga to enable them to evaluate our ability to create sustainable value for all our stakeholders.

Framework

Our Integrated Report follows the fundamental concepts of the International Integrated Reporting Council's Integrated Reporting Framework. Furthermore, we continue to adhere to the Kenya Companies Act, 2015, Capital Markets Authority guidelines, and Nairobi Securities Exchange listing requirements, as we have done in the past. This year, in particular, we have incorporated some elements of the Nairobi Securities Exchange's new Environmental, Social, and Governance (ESG) disclosures manual for listed companies.

Scope and Boundary

This report outlines who we are, what we do and how we create value in the short, medium and long-term. It provides insights into our structure, strategy, objectives, performance, governance and future viability.

The report provides an overview of the operations and performance of all businesses in which Unga is invested. These businesses have been depicted in a simplified ownership and legal structure diagram on **Page 3**.

References made within this report refer to Unga Group Plc and all references to the Group denote the Company and its investments in subsidiary companies. Material developments beyond the reporting period up to the date of publishing of this report have been included.

Materiality

This report provides information on all those matters that we believe could substantively affect value creation at Unga. Written primarily for current and prospective investors, the report is of interest to any stakeholder who wishes to make an informed assessment of Unga's ability to create value over time.

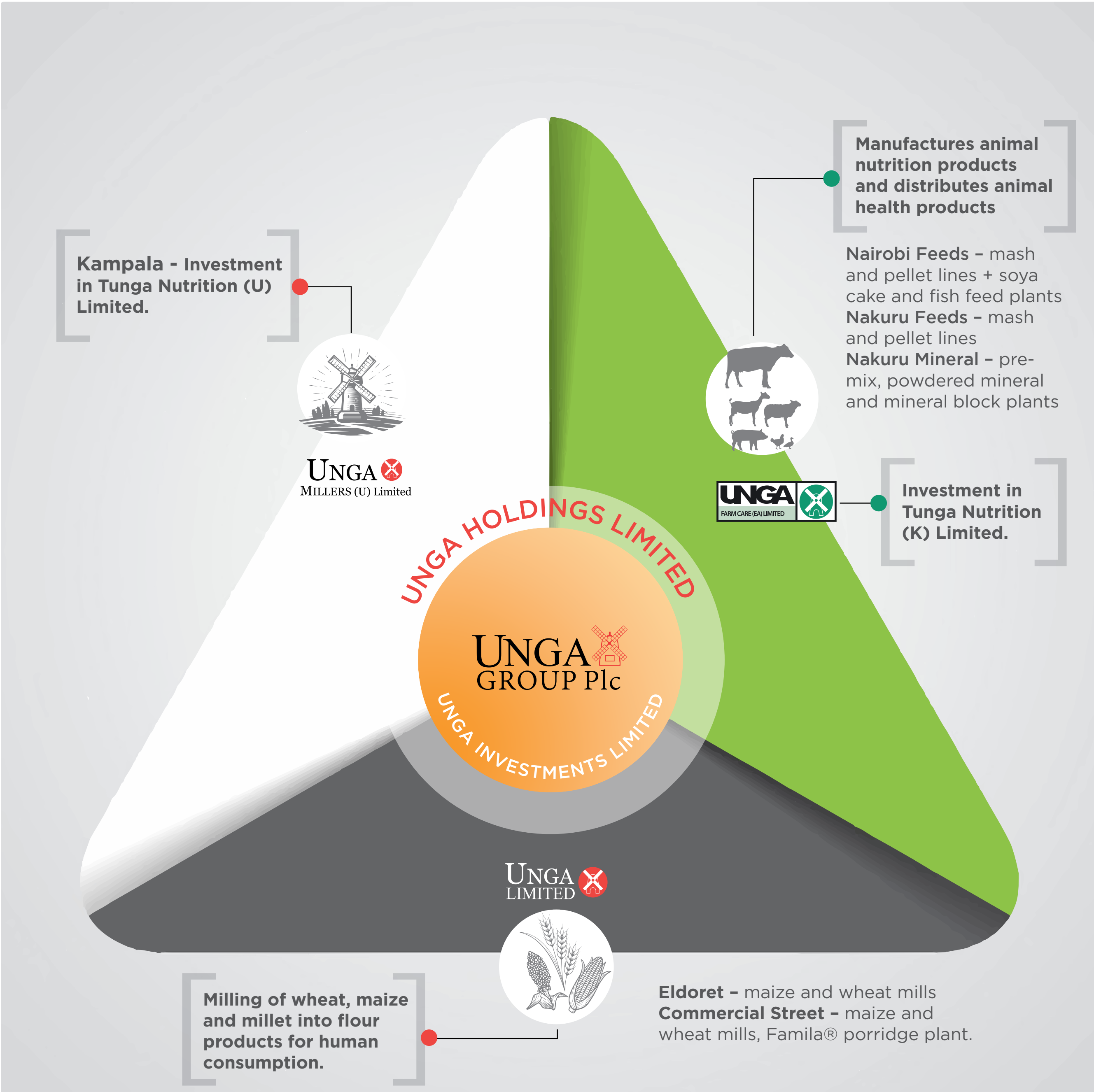
This report presents the identified material information through a clearly structured narrative. Additional information not material for this report, but of interest for other purposes, are provided on our website.

The **Financial Statements** set out on **pages 104** to **167** have been prepared in accordance with International Financial Reporting Standards (IFRS).

The **External Auditor's Report** in relation to the Financial Statements of the Group and the Company are set out on **pages 99** to **103** of this report.

01 ABOUT US

Group Structure



CORPORATE INFORMATION

DIRECTORS	**I Ochola-Wilson (Mrs)**	**Chairman**
	J Choge	Group Managing Director (Appointed 1 Dec 2021)
	N C Hutchinson*	Group Managing Director (Resigned 31 Dec 2021)
	J K Kibet	
	V O Ojode	
	A McKittrick	
	P O Obath	
	S Haria (Ms)	
	A S M Ndegwa	
	W Wangari	
	C Miringu	
	*British	

SECRETARY
Winniefred Nyagoha Jumba
Plot LR. No.209/6921
5th Floor, West Wing
ICEA Lion Centre, Riverside Park
Chiromo Road, Westlands
Nairobi

REGISTERED OFFICE
Plot No. 209/6841
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Commercial Street
Industrial Area
P O Box 30096, 00100
Nairobi

REGISTRARS
Custody & Registrars Services Limited
1st Floor, Tower B, IKM Place
5th Ngong Avenue
P O Box 8484, 00100
Nairobi

AUDITORS
PricewaterhouseCoopers LLP
Certified Public Accountants (Kenya)
PwC Tower, Waiyaki Way/ Chiromo Road, Westlands
P O Box 43963, 00100
Nairobi

BANKERS
Absa Bank Kenya Plc
The West End, Waiyaki Way
P O Box 30120, 00100
Nairobi

LAWYERS
Coulson Harney LLP
5th Floor, West Wing, ICEA Lion Centre
Riverside Park, Chiromo Road, Nairobi
PO Box 10643-00100
Nairobi, Kenya


Make every dinner memorable
JOGOO
Fortified
UNGA LIMITED
Your Nutrition Partner


FAMILA
NATURE'S FOOD
UNGA LIMITED
Your Nutrition Partner

OUR HISTORY

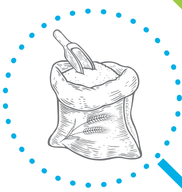
Unga's history in Kenya dates back over 110 years. Our presence and success attests to a heritage of consistent quality human and animal nutrition and health products across the East Africa region.

1904 - 1910

1904: Lord Delamare planted his first crop of wheat on his Equator Ranch/Njoro - he was the first to grow wheat on a commercial scale in Kenya - first wheat grown in Kenya was at CMS (Church Missionary Society) Station in Machakos.

1908: Unga Limited incorporated on 28th December.

1909: First bag of wheat flour produced at the mill situated on Sadler Street (now Koinange Street) on 5th April - packed under the brand 'Kenia's Mist'. The mill was close to where Chester House is now located.



1911 - 1929

1921: New wheat mill commissioned in Njoro.

1924: Sadler Street mill sold - primarily because it was unable to compete with cheap wheat being imported from India - it was milling significantly more expensive local wheat.

1927: All shares in Unga Limited sold to the Wheat Growers Association, who then amalgamated with the Kenya Farmers Association in the same year.

1928: Unga (1928) Limited incorporated.

1929: Purchased Kenya Grain Mills (who had a mill commissioned in 1925 on Commercial Street).

1930 - 1939

1932: Njoro mill burnt down - new wheat mill commissioned in Eldoret.

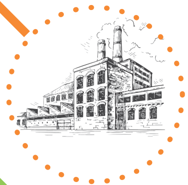
1937: Acquired Sun Flour Mills in Eldoret - renamed White Star Milling Company Limited.

1939: Leased wheat mill in Iringa, Tanzania.

1940 - 1949

1945: Commissioned wheat mill in Arusha, Tanzania; purchased Iringa mill.

1948: Doubled capacity of Eldoret mill.



1950 - 1959

1953: Proctor & Allan purchased.

1955: Uganda Grain Milling Company established; wheat milling commenced at Jinja in 1956.

1956: Public listing as Unga Limited, trading on Nairobi Stock Exchange.

1956: Nakuru Feeds plant opened.

1957: Nakuru wheat mill commissioned; new Eldoret wheat mill commenced production.

1960 - 1969

1961: Assumed ownership of Elliot's Bakeries Ltd. (had been in operation since 1947).

1965: Acquired Maida Limited, Jogoo brand.

1967: Tanzania entity nationalised.

1970 - 1979

1970: Unga Millers Ltd renamed Mercat Ltd.

1973: Partnered with Elianto AG and Agricultural Development Corporation to set up new company called Elianto Kenya Ltd based in Nakuru; factory opened by H.E. President Jomo Kenyatta on 2nd December.

1976: **Ugandan entity nationalised.**

1980 - 1989

1981: Unga Feeds established.

1984: Chester House opened.

1986: Ufuta Ltd established.

1987: **Mercat Ltd renamed Unga Group Ltd.**

1990 - 1999

1991: **Unga House opened.**

1994: Elliot's Bakeries sold.

1998: Bullpak Limited commenced operations (JV with Nampak SA from South Africa); Proctor & Allan sold.

1999: Unga Farm Care (EA) Ltd established.

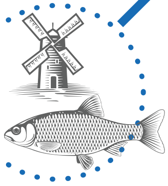
2000 - 2009

2000: Seaboard Corporation Investment via Unga Holdings Ltd (65% Unga Investments Ltd. 35% Seaboard Corporation).

2002: Unga Millers (U) Ltd commenced wheat milling operations in Kampala.

2009: **100 year anniversary.**

2010 - 2019



2013: New wheat mill commissioned at Commercial Street.

2014: Interest in Bullpak Limited divested.

2015: **Controlling interest acquired in Ennsvalley Bakery Ltd.**

2017: Unga Millers (U) Ltd ceased milling operations; extruded fish feed plant comissioned at Dakar Road.

2018: New wheat mill commissioned in Eldoret.

2019: Soybean meal plant commissioned in Nairobi.

2020 - 2022

2021: Divested from bakery business and sold assets of Ennsvalley Bakery Limited

2022: Transfered business and assets of its fish feed business and invested in Tunga Nutrition (K) Limited and Tunga Nutrition (U) Limited.

ABOUT THE GROUP

Unga Group Plc is a leading flour milling and animal feed production Company in Kenya and has been in operation for over 110 years. Unga operates as a strategic alliance between Unga Group and Seaboard Corporation, a US-based multinational whose diversified business has operations in North America, Central & South America, the Caribbean, Africa, South-East Asia, and Australia. Seaboard provides technical support to Unga's production operations. Through its trading division, it also provides a platform through which Unga can optimise its procurement of internationally sourced materials and equipment.

OUR MISSION
To achieve and maintain market share leadership in the provision of superior human nutrition, animal nutrition and animal health products and services for the benefit of all stakeholders within East Africa.

OUR VISION
Nutrition for life.

2022 HIGHLIGHTS

OUTCOMES

884M
Employee Benefits & Remuneration

+1%
Sales Revenue

502M
Operating Loss

+6%
Profit for the Year

OUR CORE VALUES

- SELF-RESPONSIBILITY
- TRUST
- RESPECT
- INTEGRITY
- INNOVATION
- CONTINUAL IMPROVEMENT
- TEAMWORK

OUR CULTURE

Our organisational culture defines who we are and how we work to ensure that we deliver on the expectations of our customers and other stakeholders, whilst living our STRIICT core values to achieve our vision and mission.

WHAT WE DO

- Milling of wheat, maize and millet for human consumption
- Distribution of animal health products
- Manufacture of animal nutrition products
- Production of baked goods (discontinued in October 2021)

OUTPUTS

- Total Wealth Created: Shs 1.23 Billion
- Invested Shs 75 million in property, plant and equipment
- Capital commitments (authorised but not contracted for) Shs 521 million

Looking ahead, we have observed changing consumer purchasing habits, particularly among younger consumers who prefer convenient, nutritious foods that are easy to prepare while also being health-conscious.

OUTCOMES

Shs. **884M** Employee Benefits & Remuneration

Shs. **18.0B** Sales Revenue

Shs. **1.2B** Wealth Created

856M Contribution to Public Finances

MALE **70%**

FEMALE **30%**

20% **Voluntary** Group labour turnover

283 Total number of employees

103 Production

39 Sales and distribution

141 Management and administration

02 OUR BRANDS

UNGA LIMITED
Your Nutrition Partner

HUMAN NUTRITION

Touching lives through quality nutrition

As one of the largest millers in East Africa with a heritage of over a century in grain milling, we strive to provide a variety of superior human nutrition products ranging from wheat flour to maize meal, porridge, pulses and rice. Our range of wheat, maize and products are versatile to suit the needs of our customers. They are made from the finest and carefully selected grains to ensure they offer superior nutrition to our customers. Our range of pulses and rice products are well preserved to ensure that they maintain their natural richness and nutrition right from harvest to packaging. We accomplish all this by paying attention to detail and striving to ensure quality constistency so that we offer the very best to our customers.

EXE HOSTESS JOGOO HODARI FAMILA AMANA

UNGA FARM CARE (EA) LIMITED

Alama ya Ubora

ANIMAL NUTRITION & ANIMAL HEALTH

A heritage of consistent quality animal nutrition and health products across the East Africa Region

Unga Farm Care (EA) Limited is the regions' largest animal feed manufacturer, primarily producing a broad range of quality feed products. This portfolio includes livestock feeds, cattle minerals, feed premixes, customer-specific formulations, feed concentrates, acaricides, dewormers, vaccines, antibiotics and analytical services.

FUGO | AFYA BORA | Champion | Viminera | ALMATIX | Nemazole | LEOXY

03

OUR VALUE CREATION PROCESS

A matter is considered material for the purposes of Integrated Reporting if it is of such relevance and importance that it could materially influence the assessments of financial capital providers regarding the organisation's ability to create value in the short, medium, and long term. When determining whether or not a matter is material, senior management and those charged with governance should consider whether the matter substantively affects, or has the potential to substantively affect, the organisation's strategy, business model, or one or more of the capitals it uses or affects.

OUR MATERIAL **MATTERS**

Unga relies on a process of engagement with the Company's external and internal stakeholders to establish what they care about and the potential impact on business through, among others, our Enterprise Risk Management team.
This happens throughout the year, through our different online and in-person channels, including events, social media and targeted surveys.

This offers us an opportunity to analyse our business risks and opportunities, and to eventually readjust and improve on the Company's business strategy. Assessing the opportunities ahead allows for the development of new products or services and, therefore, staying ahead of the competition.

The following are the material matters that were identified during the financial year under review, which remain broadly unchanged from last year.

Read more on this on the Enterprise Risk section on **page 70**

Matter	Potential Impact	How We Responded
Supply chain disruptions & geopolitical concerns 	Supply chain disruptions due to the COVID-19 pandemic, climatic changes, and emerging geo-political factors (such as the Russia-Ukraine war) result in shortages of raw materials and/or high commodity prices. Such supply chain concerns have a significant impact on sales turnover and the financial performance of the business.	Conducted multi-faceted due diligence on factors that impact supply chains and continuously engaged with our suppliers. Continuously reviewed the changes in the business environment and regularly monitor Key Risk Indicators to enable prompt decision-making. Implemented supply chain strategies that incorporate diversification of suppliers and regional sourcing of materials. These strategies address both supply disruptions and the effects of climatic change. Continuously reviewed our inventory holding levels and made informed decisions. Adopted demand planning methods that involve collaboration with suppliers and customers. Regularly evaluated sourcing strategies and conducted risk assessments to identify the magnitude of the impact of these strategies to enable appropriate responses. Continuously exploited innovative approaches to sustain the business during this volatile business environment.
Exposure to unfavorable tax regimes and other regulatory changes 	Failure to comply with statutory obligations could have a negative impact on our business and reputation. Unpredictable tax and regulatory changes could threaten the sustainability of our business.	Continuously kept abreast with the changes in the regulatory environment and implemented our compliance programme to ensure that we remain compliant. Regularly conducted effective training programmes and translated the obligations into actionable policies that can be effectively monitored for adherence. Regularly participated in stakeholder engagements and relationship building in addressing the evolving changes.
Changes in trade policies and tariffs 	Unfavorable trade policies and barriers could lead to shortage of raw materials and an increase in prices.	Continuously monitored changes in trade policies and tariffs and responded promptly.

OUR MATERIAL MATTERS continued

Matter	Potential Impact	How We Responded
Climate change 	Effects of erratic weather patterns could lead to scarcity of raw materials and high prices, thus impacting our ability to deliver competitively priced products to customers on time, and in the right quantities.	Sourced for alternative raw materials to reduce reliance on plant-based raw materials for the animal nutrition business. Geographic diversification of suppliers to reduce supplier concentration risk. Engaged with like-minded stakeholders on sustainable measures that are aligned to the Group's sustainability strategy.
Adverse effects from the volatile business environment 	Rising inflation and geopolitical instability could lead to an increase in volatility in the market. Persistent low consumer purchasing power following the severe effects of COVID-19 has negatively impacted our customer base. High product prices have a negative effect on demand. Forex fluctuations continue to impact the cost of imported raw materials.	Regularly scanned the market to track evolving changes, key risk indicators, and their impact on business performance. Regularly held discussions, identified and managed emerging risks. We have a diversified product portfolio that targets different customers. Management carried out quarterly assessment of business risks and their respective key risk indicators to inform decision-making as per the agreed-upon risk appetite and tolerances. Reviewed our sourcing strategies with a focus on regional raw materials, and traded in local currencies to ease pressure exerted by forex fluctuations. Exploited appropriate financial instruments that help mitigate currency fluctuations.
Cybersecurity landscape and data protection 	Cyber-attacks and threats could lead to theft, and loss of data including confidential, personal, and sensitive information handled by the business. Security breaches and loss of data may result in reputational risks, imposition of fines and/or penalties by relevant statutory authorities, and a negative impact on the Group's brand image.	Continuously promoted a responsive cybersecurity landscape through the implementation of relevant cybersecurity policies and stringent cybersecurity control measures to address potential risks. These control measures are reviewed regularly for adequacy. Carried out regular vulnerability tests and put corrective measures in place such as implementation of CIS Critical Security Control measures that address vulnerability to cyber-attacks. Carried out enterprise-wide mandatory user awareness cybersecurity training and exercises for all employees. Periodically assessed security programmes and attempted breaches. Prompt corrective measures are undertaken when gaps are identified.

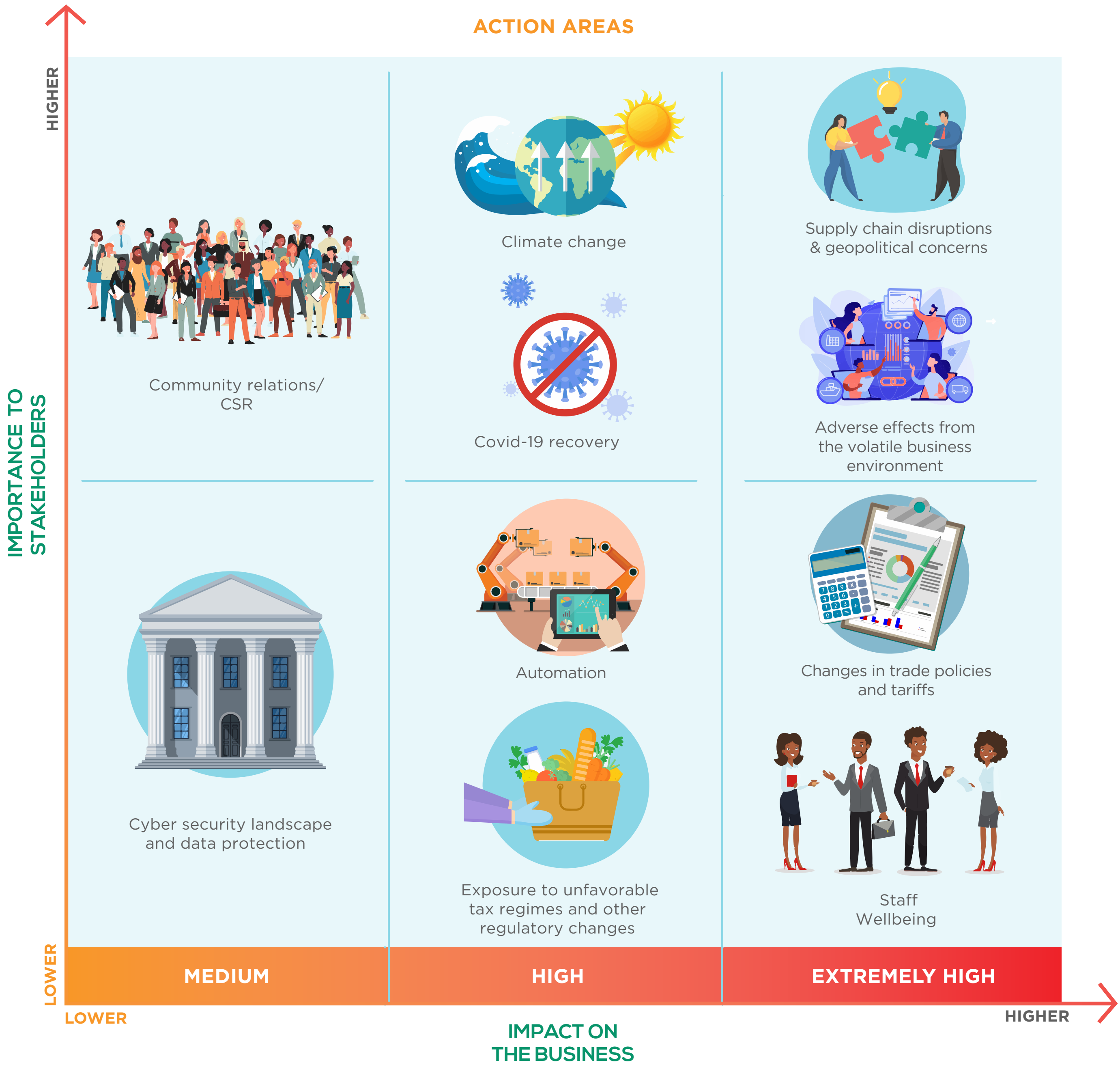
LIQUIDITY RISKS

Inflation continued to weigh heavily on our business operations. Furthermore, the depreciation of the Kenya Shilling against major currencies presented a significant risk of forex losses.

There was increased liquidity risk as a result of prolonged and subdued consumer demand and the general economic slowdown. The other risk stemmed from the heightened political environment surrounding the 2022 General Elections.

Inflation will remain a major concern for our company in the short to medium term. This is primarily due to unfavorable weather patterns, which will result in a poor harvest, as well as external forces and geopolitical factors such as the Ukraine-Russia conflict resulting to an increase in prices. We will continue to closely monitor these variables in order to respond appropriately.

MATERIALITY MATRIX



OUR BUSINESS **MODEL**

Capitals as inputs into our business model

FINANCIAL

Our financial resources include equity and debt funding, as well as earnings generated by the Group and retained by it. We rely on our financial resources to fund our long-term growth plans, improve the quality of our plants and customer offerings, invest in new infrastructure, systems and technologies, upskill and develop our employees, and advance the growth engines of our long-term strategy.

- **Total Assets: Shs 10.3 Billion**
- **Revenue: Shs 18.0 Billion**
- **Retained Earnings: Shs 4.0 Billion**
- **Cash Flow: Shs 0.73 Billion**

MANUFACTURED

Within our operations, we use physical infrastructure such as manufacturing, distribution capacity, and information technology platforms. We rely on manufactured capital to procure, distribute, and store our products, allowing us to serve customers from a wide range of socioeconomic backgrounds.

- **Joint ventures in Uganda and Kenya**
- **Improved occupational health and safety**
- **ISO 22000: 2018 certified**

INTELLECTUAL

These include patents, copyrights, software, rights, and licenses as well as tactic knowledge, processes, procedures, and protocols, as well as other types of organisational capital.

- **Electronic Document Management System**
- **Cyber Security**
- **Robotics and the Internet of Things**
- **Knowledge property**
- **Data protection**

HUMAN

Unga relies on and invests in human capital to provide convenient and dependable access to high-quality, safe, and competitively priced products and value-added services.
Labour Force:

- **103 production**
- **39 sales and distribution**
- **141 management and administration**
- **Talent management**
- **Continuous performance management**

SOCIAL & RELATIONSHIP

Our stakeholder relationships are guided by our values and the long-held belief that doing good is good business. We rely on these relationships to gain customer loyalty, give back to the communities we serve, and develop local suppliers and distributors.

- **CSR initiatives**
- **Stakeholder engagement**

NATURAL

We use environmental resources in the manufacture, distribution, and sale of our products. We are committed to using fewer natural resources in our operations, and with thousands of suppliers and millions of customers, we are acutely aware of our broad reach and impact.

- **Reducing our carbon footprint**
- **Energy efficiency**
- **Water conservation**

Our operating model ensures that our capital inputs are used in the most effective and efficient way possible across our operations, maximizing capital outputs and outcomes for all. Our business model maintains a virtuous circle by fairly and equitably balancing the needs of our stakeholders while effectively managing the trade-offs between our capitals.

Our business model maintains a virtuous circle

We provide human and animal nutrition products to customers throughout the region through our business activities.

We rely on technology-driven distribution capabilities to reach our customers more efficiently, conveniently, and affordably through relevant partnerships.

We operate in a cost-effective and efficient manner, with an ever-improving supply chain. Savings in terms of cost and efficiency are invested in a competitive customer prices.

Our supply chain operations remain committed to the company's strategic objectives, ensuring ethical, consistent supply and high-quality output.

Our business operations are supported by a team of retail stores, key distributors such as wholesalers, and online sales platforms, all of which assist us in carrying out our long-term growth plans. These plans also help to create jobs in the communities where we operate.

We promote economic and social development in the communities we serve. In accordance with our sustainability commitments, our strategy encourages investment in our communities.

Governance: The Board influences the strategic direction of the Group and oversees remuneration and incentives linked to the capitals.

Material risks and opportunities: External conditions, trends and internal factors influence business activities and performance, creating a growth environment or restricting ability to create value.

Strategy and resource allocation: Business activities support and drive resource allocation plans to achieve short, medium and long-term strategy.

Stakeholders: Participate in our shared value creation through a range of engagements and relationships.

Performance: Business activities have financial and non-financial implications that can impact the capitals available to the Group.

OUR CAPITAL OUTPUTS

Our capital outputs include a diverse range of products and services sold to customers under our human and animal nutrition brands, such as food, animal feeds, and animal health products. We generate byproducts and waste as a result of our operations (including food waste, our packaging impacts and carbon emissions). Because of our broad reach, our byproducts and waste must be properly managed to mitigate any negative impact on natural capital availability and to protect our social license to operate in the short, medium, and long term.

DEPLOYMENT OF OUR **FINANCIAL CAPITAL**

Unga's operations are founded on the optimisation of financial capital. Our capital comes from a combination of funds generated by operations, lending institution facilities, and shareholder injection.

During the financial year under review, our capital allocation priority was the significant investment made in the fish and animal nutrition businesses through the joint ventures with Nutreco NV.

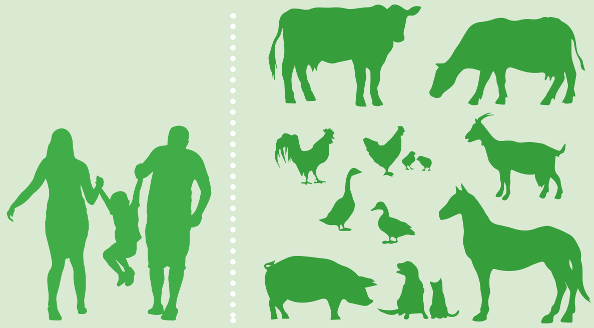
This is expected to strengthen our position in the region, with the Kenyan subsidiary focusing on fish products and the Ugandan joint venture on animal feed manufacturing. Other significant allocations included debt service and sustaining capex.

In the new financial year, our capex prioritisation will be based on quick payback and operational efficiency. Key projects planned for the upcoming financial year include investments in solar power generation, silo rehabilitation, and material conveying systems.

BUSINESS SUMMARY

PRINCIPAL ACTIVITIES

The principal activities of the Group continue to be the manufacturing of human nutrition products, animal nutrition products and the distribution of animal health products.



The **Group's revenue** increased by **1%** while the **profit after tax** increased by **6%**.

Overall operating profit was affected by reduced margins, impairment of assets and finance costs. Gains from transfer of assets to the new ventures with Nutreco helped to reduce the negative impact.

Wheat and maize prices increased during the year due to poor harvest, weakened local currency and adverse fiscal measures imposed by some of the exporting countries. Other raw material prices were also relatively high in the period.

Depreciation of the Kenya Shilling against the US Dollar impacted importation costs and led to substantial forex losses.

Credit risk remained high, however the Group continued to make every effort to accommodate its customers to ensure product availability.

In the year, two joint ventures with Nutreco BV were inaugurated: one to expand aquafeed production and marketing capability in the region, and the other to manufacture animal feed and expand the sale of feed premixes in Uganda. The Company's investment in the ventures includes cash, asset transfers, and customer relationships. The bakery business was divested in the first half of the financial year. An impairment of KShs. 492 million was recorded to reflect a decrease in wheat mill capacity utilisation.

Summary financial performance	**2022 Shs'000**	**2021 Shs'000**
Revenue	18,032,334	17,812,638
Gross profit	1,409,061	1,889,074
Gross profit margin	8%	11%
Operating (loss)/ profit	(502,040)	616,202
Profit/ (loss) from discontinued operations	802,524	(13,488)
Profit for the year	311,361	293,477
Total assets	**10,287,650**	**10,048,779**

04

CREATING VALUE THROUGH GOOD GOVERNANCE

The Board understands that it has obligations to its shareholders, customers, employees, and business partners, as well as the communities in which Unga operates. The Board's primary focus is to enhance and protect the interests of shareholders and other key stakeholders, as well as to ensure that the Company is properly governed in order to create maximum shared value for all stakeholders through the company's strategy and operations. As part of good governance, the Board also monitors the availability, quality, and quantity of capital inputs to ensure the Company is adequately and appropriately resourced.

CHAIRMAN'S **STATEMENT**

This has been a difficult year for the Board. Our animal nutrition business has continued to struggle in the face of increased competition, raw material supply bottlenecks, and compressed demand due to the high cost of living which has forced farmers to seek alternative animal feeds.

Isabella Ochola-Wilson (Mrs)
Chairman

We remain optimistic about the future and are recommitting our energies and resources towards the transformation of our business from our legacy positioning into a future-fit organisation

The operating landscape

The 2022 financial year was characterized by unprecedented challenges, including the persisting impacts of the Covid-19 pandemic, the Ukrainian-Russian conflict, a protracted political season, intense competition, and raw material shortages, all of which hampered our growth ambitions and financial performance.

According to the 2022 Economic Survey, Kenya's economy recovered from the crippling effects of the pandemic to expand by 7.5 per cent in 2021 compared to a contraction of 0.3 per cent in 2020. This recovery was mainly driven by resumption of most economic activities after the lifting of the containment measures instituted in 2020 to curb the spread of the virus.

Whilst this was progressive, unfavourable weather conditions in 2021 continued to constrain the growth of the agricultural sector, with production of maize declining by 12.8 per cent from 42.1 million bags in 2020 to 36.7 million bags in 2021. Wheat production decreased by 39.4 per cent from 405.0 thousand tonnes in 2020 to 245.3 thousand tonnes in 2021. As a result, the amount of wheat imported increased by 6.4 thousand tonnes to 1.89 million tonnes in 2021.

This erratic supply of grain in the period continued to be the most significant operational challenge for our business. Coupled with this was the intense and cutthroat competition from new market entrants who have impacted our market share on the back of price-based rivalry. Resultantly, our production volumes contracted during the year. However, our revenues for the Group increased by 1% because of raw material price inflation, impacting our margins and bottom line.

CHAIRMAN'S **STATEMENT** continued

The agricultural sector is expected to underperform due to poor and unpredictable weather patterns caused by climate change. Production of key crops was suppressed in the first quarter of 2022 following the failure of short rains in most parts of the country in the fourth quarter of 2021. Furthermore, production in the second quarter of 2022 is likely to be impeded by the delayed long rains. As a result, the sector's performance is expected to be below par in 2022, further limiting our ambitions. There is need to look beyond local sources of raw materials.

Difficult decisions

This has been a difficult year for the Board. Our animal nutrition business has continued to struggle in the face of increased competition, raw material supply bottlenecks, and compressed demand due to the high cost of living which has forced farmers to seek alternative animal feeds. The same complications confronted our human nutrition business.

We have had to make extremely difficult decisions as a Board, with more concerted efforts focused on fire fighting in order to keep our business running in the face of all of the aforementioned headwinds. This has been a period in which we have had to continually think and rethink on the fly to overcome bottlenecks, including having to source for alternative raw materials.

Silver lining

Despite the extraordinary social and economic challenges, we have had some silver linings that we continue to leverage to position the business for growth.

Among these is the signing of our partnership with Nutreco to produce fish feeds in Kenya and animal feeds in Uganda. The Ugandan operation is at the Unga Millers (Uganda) Limited facility, which had been dormant since 2017. We hope to maximize on Uganda's easier access to raw materials such as soya.

As I reported last year, we successfully recruited and on-boarded our new Group Managing Director, Mr. Joseph Malel Choge, at the end of last calendar year, who has settled in well and continues to steer the ship despite the turbulent waters. The Board is aware of the current complications and continues to support Joseph and his management team in their efforts to find the right balance to continue developing our business and ensuring its sustainability into the future.

The period also saw the completion of our divestiture from Ennsvalley Bakery Limited, a strategic decision that has allowed us to focus our dynamism on the niche areas where we believe we can maximize value for our customers and shareholders.

Investing for the future

Looking ahead, we have observed changing consumer purchasing habits, particularly among younger consumers who prefer convenient, nutritious foods that are easy to prepare while also being health-conscious. We are responding to this shift by repositioning ourselves as a holistic foods company through strategic joint ventures and partnerships. The journey has begun with looking into different food options for different occasions.

In the same breath, the Group is resolute to continue investing for growth, particularly by diversifying our revenue streams, to maximize value for our shareholders and customers. As part of this, driving value addition in our existing products and raw materials will be critical to bolster and drive more value for our customers.

Compliance to ESG Reporting

The Board remains conscious of its responsibility to become more involved on Environmental, Social, and Governance (ESG) issues in the face of growing stakeholder demand for a more comprehensive view of a company's activities and performance beyond financial reports. As a Group, we remain committed to adhering to all applicable regulations, including the new Nairobi Securities Exchange ESG Disclosures Guidance Manual for listed companies, which advocates for improved disclosure on businesses' sustainability impacts.

We have continued to embed sustainability as a key part of our business strategy and are, among other things, investing heavily in green projects, including on-going plans to implement a sizeable solar energy project as a way of diversifying our energy sources and avoiding overreliance on the national grid.

We remain optimistic about the future and are recommitting our energies and resources towards the transformation of our business from our legacy positioning into a future-fit organisation.

Furthermore, we have committed to increasing our community investment initiatives by rolling out additional shared value programs with the intention of further enhancing our positive impact on society.

Corporate Governance

From a corporate governance standpoint, the Board continues to maintain solid diversity, with our Board of Directors armed with the necessary capability, openness, principles, and experience to steer the company towards achieving its strategic imperatives.

As a Board, we have also learned critical lessons in the challenging operating environment, which have continued to shape the way the company interacts with its various stakeholders including employees, customers, and shareholders. Among the reorganisations we have had to make is the virtual hosting of our Annual General Meeting, for the second year running.

On behalf of the Board of Directors, I continue to implore our shareholders to be patient as we review and analyse the environment before deciding on resuming physical meetings.

Dividends

As a Group, the volatile operating environment means we have not performed as anticipated. In light of this, the Board of Directors do not recommend the payment of a dividend. However, we remain cautiously optimistic about the future and are recommitting our energies and resources towards the transformation of our business from our legacy positioning into a future-fit organisation. The Board remains confident and supportive of Mr. Choge and the entire management team's ability and agility to continue driving our business into new and disruptive territories as we reposition the business for the future.

Appreciation and outlook

In conclusion, I would like to express my heartfelt gratitude to my fellow Board of Directors for their unwavering commitment to the company's agenda despite the highly volatile operating environment that we faced during the period under review. Special recognition also goes to the management team and all employees for their resilience, agility in the face of adversity, and creativity and innovation, which have enabled the company to adapt and keep going despite various storms.

I would also like to thank our customers for continuing to entrust us with their human nutrition and animal nutrition needs in the face of fierce competition. Our pledge is to continue improving and maintaining the highest levels of standards and quality in our products to protect your health and that of your animals.

To our shareholders, thank you for your indulgence and patience as we navigate the current turbulent waters. We are confident that better days are ahead of us under the direction of our new, dynamic, and energetic management team led by Mr. Choge. The Board will continue to provide management with the necessary oversight and support as they execute on their strategic priorities.

Isabella Ochola-Wilson (Mrs)
Chairman

BOARD OF **DIRECTORS**

Isabella Ochola-Wilson (73)

Non Executive Director

Isabella was appointed to the board in 2006 as a non-executive director and assumed the Chair's position in 2012. Bella brought with her several years of management and board experience obtained from previous board positions in both profit and non-profit organisations including the former NIC Bank, Basecamp Explorer, AMREF, Councils of the University of Nairobi and lately the Technical University of Kenya. In management positions, she worked for Johnson & Johnson (K) for several years rising to the CEO position of the company before joining Kenya Wildlife Service to set up their commercial wing, and later worked as a consultant for DFID and UNDP.

Joseph Choge (42)

Executive Director

Joined Unga holdings Limited in December 2021. Joseph has worked in Eastern, Western and Southern Africa markets in telecoms, banking, insurance and FMCG. His prior roles include Chief Executive Officer - Premier Foods Limited and General Manager - Industrial Promotion Services (IPS). He holds an MBA in International Management from University of London, B.Sc. Mathematics, Operations Research from University of Nairobi, Certified Public Accountant CPA (K), Certified Public Secretary, CPS (K) and Postgraduate Diploma in Professional Marketing by Chartered Institute of Marketing (CIM). He is the current Chairman of the food and beverage sector of the Kenya Association of Manufacturers and Chairman of the Board of the Institute of Customer Experience of Kenya (ICX).

Andrew Ndegwa (54)

Non Executive Director

Appointed to the board in September 2001. He holds a Bachelor of Arts (Hons) degree in Philosophy, Politics and Economics from University of Oxford. Andrew started his career in the banking industry, working with Citibank and then the Africa Mercantile Banking Company before moving to First Chartered Securities, an investment holding company. In addition to being an executive director of First Chartered Securities, he is a non-executive board member of several other companies, including NCBA Group Plc.

Jinaro Kibet (57)

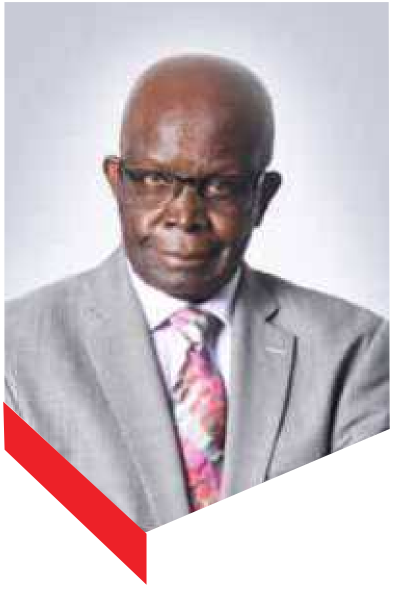
Non Executive Director

Appointed to the board in February 2005. He holds an LLB degree from the University of Nairobi and a diploma from the Kenya School of Law. He is a Senior Counsel, an advocate of the High Court of Kenya, Commissioner of Oaths and Notary Public. He is one of the founding Partners of the law firm of Tripleoklaw LLP and holds other directorships including Prime Bank Limited, AA of Kenya and others.

Shilpa Haria (62)

Independent Non Executive Director

Appointed to the board in September 2016. She is a fellow of the Chartered Association of Certified Accountants (FCCA) and a member of the Institute of Certified Public Accountants (ICPAK). Ms Haria has extensive experience in audit and business advisory garnered from over 14 years with PricewaterhouseCoopers. She is director at Housing Finance Company, Compulynx Limited and consultant CFO of Flame Tree Group. She chairs the Financial Evaluation Committee of Faraja Medical Fund.



Vitalis Ojode (77)

Non Executive Director

Appointed to the board in May 2003. He is a BCom (Hons) graduate of the University of Nairobi; a fellow of the Association of Chartered Certified Accountants (FCCA) and a member of the Institute of Certified Public Accountants (ICPAK). He worked for UDV Kenya Limited for many years and held several group directorships in Kenya and Tanzania. He was the Group's Finance Director between November 2001 and May 2006. He sits on the Finance Committee of Strathmore University and is currently a consultant in Financial Management.

BOARD OF **DIRECTORS** continued

Alan McKittrick (67)

Non Executive Director

Appointed to the board in September 1998. He is an engineer by profession and has been Group Managing Director of NAS Holdings Limited for the past 24 years.
He has other directorships and considerable experience in the manufacturing and production sectors in Eastern and Southern Africa, including the livestock industry.
He was the group's managing director between September 1998 and May 2003.

Ciru Miring'u (51)

Independent Non Executive Director

Appointed to the board in February 2020. She holds a Bachelor of Science degree from the University of Nairobi and a Master of Business Administration degree from USIU-Africa. Ciru has extensive experience in the Pharmaceutical, Consumer Healthcare and Food & Beverage sectors across sub-Saharan Africa. She has in the past held the positions of Managing Director, Nestle East Africa and General Manager, GSK Consumer Healthcare East Africa & Indian Ocean Islands. She previously served on the boards of GlaxoSmithKline and Nestle as an executive director and Java House as a non-executive director. Ciru is currently the Managing Director of Imperial Managed Solutions East Africa, a member of the DP World group of companies, where she also serves as an executive board member.

Patrick Obath (67)

Independent Non Executive Director

Appointed to the board in September 2013.
He is a BSc (Hons) Mechanical Engineering graduate of the University of Nottingham and is a member of the Institute of Engineers, Kenya, the Energy Institute (UK) and a member of the Institute of Directors (UK).
Mr. Obath has many years of business experience working for the Shell Group of companies in Europe, Asia, and Africa, finally serving as the CEO of Kenya Shell and Shell Tanzania.
He has served on and continues to serve on many boards and is Chairman of PZ Cussons (EA) Limited, Java House Africa and Adrian Kenya Limited and a director of Trade Mark East Africa Limited, among others. He is a Certified Executive Leadership Coach and a consultant in Leadership, Integrity as well as in the Extractive sectors.

Patrick K Mugambi (57)

Alternate to Andrew Ndegwa

Patrick is an alternate director to Andrew Ndegwa. He is the Planning & Projects Director at First Chartered Securities Ltd (FCS), a company with interests in financial services, logistics, real estate, manufacturing, and agriculture. He is responsible for the FCS Group's projects and strategic planning. He holds a BSC in Business Administration from USIU, a Certified Public Accountant, and an Advance Management Program from Strathmore University/IESE. He is an alumna of IESE Business School, a member of the Institute of Certified Public Accountants of Kenya (ICPAK) and the Overseas Technical Scholarship (AOTS) Japan. He previously worked for PWC, Shell Exploration & Production Kenya BV and Mitchell Cotts Kenya Group. He serves as a Non Executive director in several other companies.

Wangari Murugu (54)

Independent Non Executive Director

Appointed to the board in February 2020. Wangari is an entrepreneur with extensive marketing experience in FMCG and Telecommunication Industries, in East Africa. She previously worked in senior management positions in the areas of Marketing at Safaricom Plc, The Coca-Cola Company, South and East Africa Division and PZ Cussons East Africa Ltd. She serves as a board member at Shujaaz Inc. Wangari holds a BSc. Degree in Biology and Chemistry from Trent University, Canada and a Global Executive Master's Degree of Business Administration from United States International University, in collaboration with Columbia University.

Winniefred Jumba (50)

Company Secretary

Appointed Company Secretary in 2011.
She is a holder of a BCom degree and Masters in Business Administration, both from the University of Nairobi.
She is a Certified Public Secretary and a member of ICPSK, with many years' experience in company secretarial and registration services and an accredited governance auditor.

05

CREATING VALUE THROUGH OUR STRATEGY

Our focus has been on re-strategising our business for the future by thinking about how we can better communicate with consumers and becoming a more customer-centric organisation, rather than being inward-looking.

OUR STRATEGIC **PILLARS**

Our Strategic Focus Areas

Repositioning our business for growth
We are responding to shifts in consumer purchasing habits by repositioning ourselves as a holistic foods company through strategic joint ventures and partnerships.

Customer Intimacy
As consumer-spending power shifts to the younger demographic, we are executing brand building and awareness communication campaigns aimed at them in preparation for transition into a food company.

Leveraging Digital Capabilities
We will continue to rely on technology-driven distribution capabilities to reach our customers more efficiently, conveniently, and affordably.

Capacity Utilisation
We continued to optimise our milling facilities by consolidating production of different products at different plants. This aided us in optimising our fixed costs and machine efficiency.

Supply Chain Optimisation
We shall continue to guarantee supply security of our grains early enough to ensure both availability and competitive pricing.

Strategic partnerships
Strategic partnerships, joint ventures, and potential acquisitions will be critical in helping us diversify our revenue streams.

Embedding Sustainability
We are investing heavily in green projects as a way of diversifying our energy sources and avoiding overreliance on the national grid.

Identifying and Realising Opportunities
Beyond the existing operations, based on our asset base and competencies.

KEY ENABLERS

To scale usage of online platforms such as ***Bidhaa Mlangoni*** to ensure products get to consumers at their convenience

Strategic joint ventures and partnerships are critical in supporting our growth ambitions

Targeted and strategic brand building and awareness communication campaigns

Capex to improve our machines efficiency as well as continuous optimisation of our milling facilities by consolidating production

Ensuring the supply security of our grains early enough to ensure both availability and competitive pricing

STAKEHOLDER ENGAGEMENT **STRATEGIES**

The Nairobi Securities Exchange ESG Disclosures Guidance Manual defines stakeholder as an entity or individual that can reasonably be expected to be significantly affected by the reporting organisation's activities, products and services, or whose actions can reasonably be expected to affect the ability of the organisation to successfully implement its strategies and achieve its objectives.

In addition to investors and regulators, stakeholders can include those who are invested in the organisation (such as employees and shareholders), as well as those who have other relationships to the organisation (such as other workers who are not employees, suppliers, vulnerable groups, local communities, and NGOs or other civil society organisations, among others).

Unga Group does not operate in isolation; our ability to deliver value depends on the contribution and activities of a range of different stakeholders. The following table illustrates the importance of the different stakeholders and how we engage them.

Stakeholder prioritisation matrix

HIGH INFLUENCE BUT LOW STAKE	HIGH INFLUENCE AND HIGH STAKES
Strategy: Engage routinely • **Suppliers and Contractors** We've created an environment that invites our partners to collaborate with us while staying true to our mission and values. • **Media** Unga endeavors to give accurate and timely information to media outlets while maintaining an open and honest relationship with them.	**Strategy:** Communicate frequently • **Consumers** Customers and consumers remain our most important stakeholders. As a result, every business decision we make is guided by the desire to constantly improve our products for consumers and make them available in the most efficient and cost-effective way possible. We are constantly engaging with our customers, both formally and informally, through surveys, focus groups, social media, and other digital platforms. • **Regulators** We contribute to the proper regulation of our industry by maintaining active involvement with relevant government institutions and regulatory authorities. We also collaborate with county officials to ensure that our activities run smoothly. We also pay all required taxes and statutory contributions on time. • **Investors and Shareholders** We provide our shareholders and investors with timely and accurate information about our business operations and performance. We communicate with them through our annual report, the release of our half-year results, news releases, our website, and investor presentations. Our Board of Directors also encourages shareholders to attend the annual shareholder meeting of the Company. • **Employees** In addition to hiring "best in class" talent, we have made resources available to ensure that our employees can grow and reach their full potential. We provide them with accessible and trustworthy channels for communicating with management, colleagues, and subordinates, as well as providing feedback.
LOW INFLUENCE AND LOW STAKES	**LOW INFLUENCE BUT HIGH STAKES**
Strategy: Monitor • **Communities** We recognise the importance of not only coexisting with communities in our operating areas, but also uplifting and supporting them in their efforts to improve their lives. We've made provisions in our day-to-day operations to accommodate community-focused projects aimed at empowering communities and assisting them in environmental protection.	**Strategy:** Engage Occasionally • **Industry Bodies** We advise appropriate authorities and contribute to industry organisations through active membership and/or involvement. As a result of our participation, we are able to support and collaborate in industry-led efforts that have a direct and indirect impact on our operations, as well as issues of economic, social, and environmental importance.

•••••• **Vertical axis:** **Ability to influence**

•••••• **Horizontal axis:** **Level of Interest in organisation**

VALUE **CREATED**

Value Added Statement

"Value added" is the value which the Group has added to purchased materials and goods by process of manufacture and conversion, and the sale of its products and services. This statement shows how the value so added has been distributed.

	2022 Shs'000	%	2021 Shs'000	%
Revenue	18,032,334		17,812,638	
Net cost of raw materials, goods and services	(17,151,532)		(16,336,495)	
Wealth created by trading operations	**880,802**		**1,476,143**	
Revenue from discontinued operations	362,816		894,678	
Expenses from discontinued operations	(369,547)		(864,002)	
Profit before income tax	(6,731)		30,676	
Profit on disposal of business operations	814,694		-	
Gross wealth created	**1,688,765**		**1,506,819**	
Impairments	(491,721)		-	
Interest Income on deposits	41,079		20,814	
Reclassfied to discontinuing operations	-		(1,217)	
Finance income	41,079		19,597	
Total wealth created	**1,238,123**		**1,526,416**	
Distributed as follows				
Employees				
Benefits and remuneration	883,692	71.4%	859,941	56.3%
Governments				
Taxation	(224,376)	-18.1%	222,431	14.6%
Providers of capital	267,446	21.6%	150,567	9.9%
Finance charges	267,446	21.6%	150,567	9.9%
Distributions to shareholders	-	0.0%		0.0%
Retained for growth	311,361	25.1%	293,477	19.2%
Depreciation and amortisation	251,351	20.3%	335,530	22.0%
Profit for the year attributable to shareholders of the Company	60,010	4.8%	(42,053)	-2.8%
	1,238,123		**1,526,416**	

Contribution to Public Finances

Unga strives to maintain good governance, integrity, and transparency in all tax matters. Taxes represent our contribution to public finances and are a significant part of our positive impact on the society in which we operate.
Our contribution to the exchequer during the financial year under review was as follows:

Exchanges with Governments *including amounts collected on their behalf*	2022 Shs'000	2021 Shs'000
Employee taxes	185,144	161,169
Company taxes	95,651	35,513
Value added tax	65,343	57,298
Customs and excise duty	468,091	566,576
Tax collected on behalf of government	41,551	80,446
Other	307	2,737
	856,087	**903,739**

REFLECTIONS FROM OUR GROUP **MANAGING DIRECTOR**

In the short term, our top priority is stabilising the ship amidst the current storms. We will achieve this by putting the needs of the consumer first in all our decisions.

Our focus has, over the last six months, been on repositioning our business for the future by considering how we can better communicate with consumers and become a more customer-centric organisation.

Joseph Choge
Group Managing Director

We have strengthened our route to consumer strategies by prioritising initiatives that will allow us to reach the customer more conveniently.

The financial year in review

I am pleased to present my first commentary as Group Managing Director, having joined the company in December 2021. Given the turbulent operating environment both locally and globally, the management team and I have had a mixed bag.

The year was dominated by unexpectedly high wheat and maize prices caused by supply chain disruption due to the war in Ukraine, poor harvest locally, and grain export restrictions imposed by neighbouring countries. The period was also marked by inflation fuelled by record oil prices both locally and internationally and a volatile currency exchange rate environment.

These factors distorted our plans, owing primarily to the inflation in the domestic market which reduced affordability of our products. While we actively engaged our consumers, our volumes were derailed by the tenacious maize shortage, forcing millers to import the commodity all the way from Zambia. As a result, we couldn't match the high local demand, leading to empty supermarket shelves and the closure of several small and medium-sized millers.

The high prices of imported yellow maize also impacted our animal feed production, considering the trade-off that had to be made to satisfy the human nutrition side on a priority basis.

The competitive landscape has continued to intensify, with over 50 new millers joining the fray over the last two years alone. On our part, we have continued to leverage on our brand which is centred on quality and always ensuring the safety of our products by, for example, ensuring that our products are free of aflatoxin contamination.

In addition, we continue to be affected by cheap poultry imports from the region and fish from Asia, resulting in condensed market for our animal nutrition products.

Performance highlights

Our financial performance for the period reflects the difficult operating environment that prevailed during the year in review. Volume-wise, we remained under pressure, declining by 10% impacting our underlying business and returning an operating loss of Ksh 502 million. We have however managed to contain operating expenses. The overall profit after tax shows an improvement due to a book gain recorded from the transfer of assets to ventures with Nutreco (Tunga Nutrition), net of impairment charge on our mills.

Re-strategising the business for the future

In the short term, our top priority is stabilising the ship amidst the current storms. We will achieve this by putting the needs of the consumer first in all our decisions. Our focus has, over the last six months, been on repositioning our business for the future by considering how we can better communicate with consumers and become a more customer-centric organization. It has also been a time for us to reflect on our core values and what motivates us daily, as well as to rethink our mission and vision in order to secure the business for the next 100 years.

As the captain of this ship, I am excited about our future and where we want to go, how we want to source, and how we want to collaborate with farmers to secure our inputs in terms of both availability and cost.

Strategic priorities for the year

We continued to optimize our milling facilities by consolidating production of different products at the most suitable and efficient plants.

As the consumer spending power shifts to the younger demographic, we are executing brand building and awareness communication campaigns aimed at them in preparation for our transition into a general food company.

We intentionally focus on maintaining a healthy balance between our animal and human nutrition businesses. Our goal is to achieve a fair portfolio balance in all aspects.

To secure our supply chains, we are keen on working more closely with the farmers and our various partners on ensuring that we get it right on our raw material acquisition and subsequently seek to transfer the gains to our very valued consumers.

Consumer-first approach

We have also strengthened our route to consumer strategies by prioritizing initiatives that will allow us to reach the customer more conveniently. For example, to enhance brand awareness and appreciation among consumers, we have invested significantly in digital and influencer marketing strategies over the past six months. During the Covid-19 and electioneering period, we have leveraged digital capabilities to provide our products directly to our end consumers through online platforms such as Bidhaa Mlangoni. We will continue to work with our e-commerce partners in strengthening our technology-driven distribution capabilities so as to serve our customers more efficiently, conveniently, and affordably.

Suffice it to say, we are encouraged by the level of engagement and feedback we are receiving, which will help us improve the quality of our products and the way we reach our customers. We are implementing new customer feedback channels and mechanisms to ensure that we are constantly engaging and listening to our customers in order to fully understand their needs and aspirations.

We have in addition established a new product development team to drive our agenda and ambition to transition from a milling company to a food company. We shall continue to strengthen our existing food products in readiness for this journey.

Operating responsibly

We continue to prioritise responsible business practices across our supply chain, from sourcing raw materials grown in the right way, to ensuring our products are beneficial to the end consumer. Our most important social responsibility has always been to protect the consumer's health by ensuring we meet and exceed the quality standards required for healthy nutrition in accordance with our purpose of being the consumer's nutrition partner.

As part of our diversity and inclusion agenda, we are deliberately increasing the participation of female employees in our organisation as well as working with differently abled people by, among other things, ensuring an accommodating workplace for them.

REFLECTIONS FROM OUR GROUP **MANAGING DIRECTOR** continued

We are looking at ways of implementing green strategies in our operations in order to reduce our energy consumption and carbon emissions.

We are looking at ways of implementing green strategies in our operations in order to reduce our energy consumption and carbon emissions.

Outlook

Volumes are expected to rise in the coming year as supply pressure from source markets eases, both locally and globally. In addition, the heightened marketing activities are expected to drive additional volumes and market share for the Group.

However, we remain aware of the on-going threats to our business, such as unpredictable raw material supply because of the current drought, shifts in international markets and further market fragmentation including the entry of players. We will remain vigilant and deliberate in defending and expanding our market share.

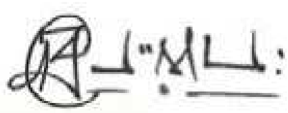
Thank you note

As I conclude, I want to express my heartfelt gratitude to all Unga employees for warmly welcoming me to the organisation, assisting me in settling in, and rallying behind the vision that we are together creating. Collectively, we are building an organisation where everyone is a 'leader without a title', knows what is expected and is more consumer-oriented than ever before.

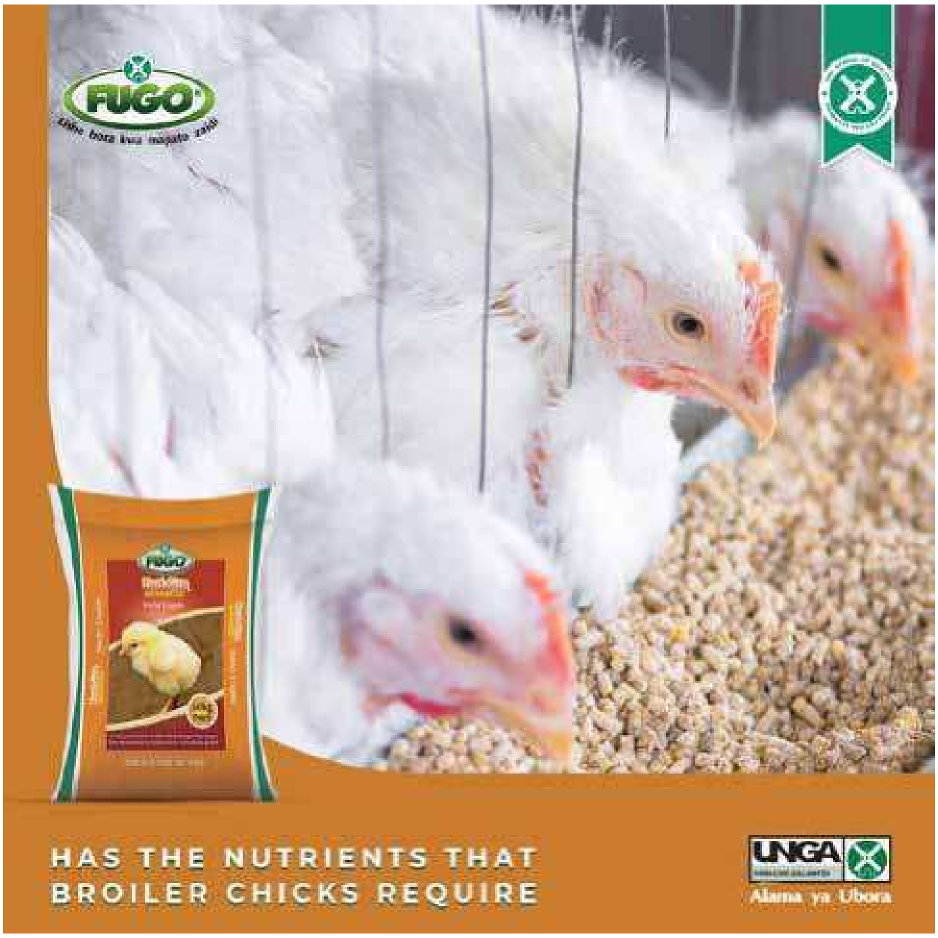
A big thank you to our customers for continuing to be the reason we are.

To our shareholders, we have been through turbulent and unpredictable times, and as management and with the Board's support, we are intent on righting the ship and positioning the company for success in the coming financial year.

Finally, many thanks to the Board for your support and critical input into our new approach. We will continue to collaborate for the organisation's success.



Joseph Choge
Group Managing Director


FUGO
Zidhe bora kwa mapato zaidi
HAS THE NUTRIENTS THAT
BROILER CHICKS REQUIRE
UNGA
Alama ya Ubora


Our eyes sparkle
when we see food
AMANA
YELLOW
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LIMITED
Your Nutrition Partner

SENIOR MANAGEMENT

Joseph Choge

Group Managing Director

Joined Unga holdings Limited in December 2021. Joseph has worked in Eastern, Western and Southern Africa markets in telecoms, banking, insurance and FMCG. His prior roles include Chief Executive Officer - Premier Foods Limited and General Manager - Industrial Promotion Services (IPS). He holds an MBA in International Management from University of London, B.Sc. Mathematics, Operations Research from University of Nairobi, Certified Public Accountant CPA (K), Certified Public Secretary, CPS (K) and Postgraduate Diploma in Professional Marketing by Chartered Institute of Marketing (CIM). He is the current Chairman of the food and beverage sector of the Kenya Association of Manufacturers and Chairman of the Board of the Institute of Customer Experience of Kenya (ICX).

Leah Tuitoek

Head of Risk & Compliance

Has worked for Unga Holdings Limited for over 35 years. She has vast experience in operations and supply chain management and holds a MSc degree in Food Science & Technology from Cornell University, an MBA from Moi University, and a Postgraduate Diploma from CIPs (UK). She is an associate member of the Chartered Institute of Arbitrators and a member of both the Chartered Institute of Purchasing & Supply (MCIPS) and the Kenya Institute of Supply Management.

James Nyutu

Group Finance Director

Joined Unga Holdings Limited in February 2013. He holds a B.Com degree from the University of Nairobi, an MBA from the Edinburgh Business School (UK) and a postgraduate diploma from the Institute of Management Information Systems (UK). He is a member of the Institute of Certified Public Accountants. He has wide experience in strategy, finance management and information systems. Started his career in the financial services industry holding various positions at Corporate Insurance and British American Insurance Company, joining Unga from NAS Airport Services.

Symon Bargurei

Group Head of Strategy & Business Development

Joined Unga Holdings Limited in April 2022. He holds an MBA for Executives, Business Administration, Management and Operations from Strathmore Business School and a Bachelor of Arts (Economics) from the University of Nairobi. He has wide experience in strategic commercial executions, brand communications, change management and new business development. He joined Unga from the Nation Media Group Limited and previously worked at The Standard Group Limited where he held various commercial positions.

Dickson Jawichre

General Manager - Unga Farm Care (EA) Limited

Joined Unga Holdings Limited in January 2015. He graduated from Kenyatta University with a BSc (Hons) in Botany and Zoology. He has over 25 years' experience in marketing, sales, business development and general management in East and West Africa. He started his career at GlaxoSmithKline where he held various senior positions in sales and marketing before joining Safaricom and later Bayer HealthCare as the regional manager for East Africa.

Evans Nyambane

Head of Internal Audit

Joined Unga Holdings Limited in January 2009 as senior auditor and has risen through the ranks to the current role. He has vast experience in finance, audit and risk management and holds a B.Com degree and MBA in strategic management, both from the University of Nairobi. He joined Unga from Ernst & Young LLP's assurance division, having previously worked at Kenindia Assurance Company. He is a member of both the Institute of Certified Public Accountants of Kenya (ICPAK) and Institute of Internal Auditors (IIA Global).

SENIOR MANAGEMENT continued

Jayne Ng'ethe

Group Human Resources Manager

Joined Unga Holdings Limited in February 2019. She holds a Bachelor of Education (Hons) degree from Kenyatta University and a Masters in Business Administration. She also has a Bachelor of Laws (LLB) degree from Nairobi University. She has a certificate in Strategic Human Resources Management from Cornell University (USA) and a practitioner diploma in Executive Coaching from Academy of Executive Coaching (UK).

She is an accomplished HR professional with vast HR generalist experience in printing and publishing, FMCG and manufacturing industries at senior management level.

Anton Oosthuizen

Group Technical Manager

Joined Unga Holdings Limited in July 2019. He previously spent 20 years with Nestle in different roles ranging from quality, supply chain, plant management, TPM and continuous improvement in both South Africa and New Zealand. He has a programme in engineering management qualification from the University of Pretoria, South Africa and holds a certificate in Project Management, Auckland New Zealand. He also acquired the Head Miller Qualification at the Buhler African Milling School.

Billy Okong'o

Group Supply Chain

Has worked for Unga since 1995, joining Unga Feeds Limited as a Management Trainee. He has risen through the ranks as a Production Supervisor, Animal Nutritionist, Plant Manager (Nakuru and Eldoret) and Sales Operations Manager. He has worked as manager at Cooper K-Brands Limited and holds a MSc in Animal Nutrition (University of Nairobi) and an Advanced Certificate in Flour Milling (National Association of British and Irish Millers - NABIM). He is a member of the Kenya Institute of Supplies Management (KISM) and a Board member at the Eastern Africa Grain Council (EAGC).

Andanje Mwairumba

General Manager - Unga Limited

Joined Unga Holdings Limited in April 2015. He worked at Research International E.A. as a research executive and later at British American Tobacco where he handled marketing information and trade research. He spent over 12 years with Tetra Pak in different roles including general manager, commercial director and key account director. He is also a Board Member of the Cereal Millers Association.
He holds a Bachelor of Education from Moi University, MBA and MSc (Marketing) from Edinburgh Business School, Heriot-Watt University (Scotland).

Prioritise Value Over Volume

Research has shown that multitasking results in mediocre outcomes. By putting too little attention on too many things, you fail to do anything well. However, the answer isn't single-tasking either. Single-tasking is far too slow to help you succeed in today's fast-paced world. Instead, identify the tasks that will create the most value and focus on those. By prioritising value over volume and sharpening your focus on tasks that truly matter, you'll increase the quality of your work and, ultimately, the value you provide. What to do with all those tasks that didn't make the high-value list? Put them on a "do later" list. If they continually fail to make it to the high-value list, ask yourself: why do them at all?

~ Management Tip From Harvard Business Review

06

OUR SUSTAINABILITY AGENDA

The world is dealing with an unprecedented cocktail of complex social, environmental, and market trends aimed at ensuring that all people enjoy peace and prosperity. Sustainability is no longer an option, but rather a function that must be at the heart of every organisation.

OUR SUSTAINABILITY **JOURNEY**

THE UNITED NATIONS SUSTAINABLE DEVELOPMENT GOALS

Whilst we support the implementation of all the 17 Sustainable Development Goals (SDGs), our focus continues to be the following five high impact goals;

Goal 8 – Decent Work and Economic Growth
Goal 9 – Industry, Innovation and Infrastructure
Goal 12 – Responsible Consumption and Production
Goal 13 – Climate Action
Goal 17 – Partnerships for the Goals

We intend to achieve our sustainability goals at Unga by encouraging innovation throughout our value chains. We evaluate the broader environmental, political, and social landscape in which we operate, including the roles of government, our investors, and our customers. We are working to create a more sustainable future for our company, the communities around us, and the environment.

Unga is committed to adhering to environmental laws, regulations, standards, and other requirements; thus, we conduct an annual environmental audit as required by the regulator.

The audit is carried out by a consultant selected through competitive bidding from a panel approved by the regulator, the National Environment Management Authority (NEMA).

YEAR	1999	2007	2011-2012	2016	2017	2018	2019-2020	2021	2022
INITIATIVE	Began annual donation to Rhino Ark (via Rhino Charge sponsorship)	Kaizen continual improvement strategy	Site-led CSR Income generation projects with girls' high schools in Eldoret (Bakery), Nakuru Feeds and Minerals Plant (Dairy), Central Support Office (Bakery), Nairobi Feeds (pigs), Unga Millers (U) Limited (Bakery)	1st Runners-up KAM Energy Innovation Award category (Nakuru Feeds)	Integrated Reporting journey begun	Industry leading resource efficient wheat mill commissioned in Eldoret	Supported families affected by Covi-19	Adoption of Unga's Sustainability Strategy and Action Plan. 2nd Runners-up "Innovation and Best Practice in Energy Management", 17th Annual Energy Management Awards (Eldoret)	Contracted One Carbon World through KAM to compute our carbon footprint, and make recommendations to achieve carbon neutrality.

OUR SUSTAINABILITY JOURNEY continued

Sustainability Strategy

We are acutely aware of our responsibilities to our stakeholders to ensure that our business is long-term sustainable by protecting the environment, promoting human health, safety, and wellbeing of our employees, the communities in which we operate, and the larger global community.

As a result, we follow laws, regulations, and conventions, as well as best practices for sustainability, promoting the efficient use of all resources, minimising potential negative environmental impact, and promoting the health, safety, and well-being of our employees and communities. Our sustainability policy outlines the commitment of our Board, Management and staff across all our locations and our stakeholders to care for the social, environmental, economic, and financial aspect our businesses, thus contributing to a sustainable future.

Group Sustainability Principles

1. Comply with all applicable legislation, regulations and codes of practice.
2. Embed sustainability consideration into all our business decisions.
3. Promote responsible sourcing of materials, and other goods and services from suppliers who comply with UHL Supplier Code, and continually strive to improve and monitor their environmental performance.
4. Promote and encourage staff involvement in local environmental initiatives, and ensure implementation of the policy at all levels of the organisation.
5. Continually improve and reduce environmental impacts.
6. Communicate to suppliers and customers about the sustainability policy and encourage them to adopt sound sustainable management practices.
7. Engage positively with communities and stakeholders where we operate.

Carbon Neutrality

Our primary goal in 2022 was to monitor and study our carbon footprint in order to develop a carbon reduction strategy. To that end, we commissioned One Carbon World through the Kenya Association of Manufacturers (KAM) to review our data and calculate our carbon footprint. In addition, One Carbon World will recommend best practices for achieving carbon neutrality.

Green Energy

Our innovative energy programme has seen us sign agreements to increase our uptake of solar energy and begin exploring innovation projects to grow our usage of clean energy sources. We plan to install solar photovoltaic panels across all our manufacturing sites by December 2023.

This will reduce our reliance on the national grid and reduce our carbon footprint by 2,454 tons CO2/year.

In the year under review, we conducted an Energy Gap Analysis to investigate an efficient energy management service that will include a centralised energy monitoring system that will give us visibility of our energy expenditure. The analysis and centralised monitoring system will also help us identify Energy Saving Opportunities.

Additionally, we are changing our energy patterns to include use of energy efficient bulbs and lights. Across all sites, we are installing low-energy LED lights with motion sensors to ensure that lights are on only when required. We also encourage our staff to turn off lights that are not in use, and we have installed solar-powered security lighting.

Our production lines are undergoing changes to make them more energy efficient. Through the year under review, we replaced two slanting transfer conveyors to the warehouse with free fall chutes and reduced the capacity of our motors.

We have modernised our maize milling plants to make them more efficient.

Energy Awards

2020

2nd Runners Up
Energy Innovation, Energy Management Awards

2021

2nd Runners Up
Energy Innovation, Energy Management Awards

2022

Winner
Electricity Medium Voltage Savings, Energy Management Awards

1st Runners Up
Overall Energy Management, Energy Management Awards

This was achieved by completing the following projects:

- Replacing two slanting transfer conveyors to the warehouse with free fall chute
- Reducing a 37kW grinder motor to a 15kW motor by introducing a shaft instead of direct-driving the load
- Replacing the wheat byproduct packer chain conveyor with 1 screw conveyor incorporated with VFD drive. This helped eliminate 4 motors by using 1 motor
- Introducing motion and photocell to control the lights
- Replacing the old model QA oven with a modern energy-efficient oven
- Upgrading the maize mill power factor to recent technology power factor
- Introducing VFD drive to maize pneumatic fan to reduce power consumption during start up
- Implementing an engineering innovation at the hammer mill by introducing a sensor to alert when the machine is about to run empty
- Setting flow sensors at conveyors to ensure no underfeeding at raw material intake

Air Quality

We conduct semi-annual stack emission tests across all sites using a regulator-approved and certified air quality inspector to maintain air quality.

Water

We have continued to implement various water conservation interventions in recognition of the critical role that water plays in the manufacturing sector. For example, as part of a larger program to reduce our total water usage, we have implemented rainwater harvesting across all of our sites. As part of our efforts to manage water resources sustainably, the harvested rainwater is metered and monitored.

We improved waste water safety at one of our sites by installing a treatment plant that not only contributes to safe disposal but also promotes wastewater reuse.

Furthermore, all of our employees have access to clean and safe sanitation facilities at all of our premises. We also provide free microbial-tested drinking water at fountains and water dispensers.

Reduce, Reuse, Recycle

In addition to harvesting rainwater and installing low-energy lighting, we are working to reduce waste production by reducing, reusing, and recycling where possible. We have increased the use of recycled materials and components in repairs where possible.

We have also adopted practices to reduce greenhouse gas emissions associated with our packaging. For example, we have implemented recycled packaging in our Soya Plant and are introducing friendly packaging, recycling sacks, and reducing single-use plastics on our production lines.

Additionally, we are leveraging byproducts from our milling operation to use in the animal feeds business, and any surplus is sold in the open market. We are not only cutting raw material costs with this move, but also reducing our solid waste production.

OUR SUSTAINABILITY JOURNEY continued

External Initiatives

In 2022, we conducted a clean-up activity in collaboration with the Nairobi County Government and the National Environmental Management Authority (NEMA). In addition to improving the cleanliness of our Commercial Street plant for the benefit of our employees, it also helped strengthen ties between us and the local community, as recommended by our sustainability principles.

As part of our initiatives to increase green space and forest cover, we participated in several tree planting activities with partners such as the Kenya Red Cross and the Kenya Wildlife Service (KWS).

Supply Chain Sustainability

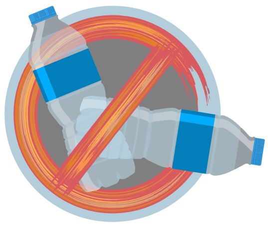
Our organizational efforts to sustain the supply chain have been to consider the environmental and human impact of our products' journey through the supply chain from raw material sourcing to production, storage, delivery, and every transport linkage in between. Our goal has been to minimise environmental impact while benefiting the people and communities involved in our supply chain operations.

First, we started monitoring sustainability metrics through our Supply Chain Management (SCM) systems, permitting us to monitor and prioritize renewable energy, recycle product packaging and materials, and encourage environmental and social responsibility among our suppliers.

Second, we have strengthened our distribution network for both subsidiaries to ensure that we use pre-defined rules and market intelligence to manage logistics and distribution to both our storage facilities and customers. As a result, all finished goods are only shipped when necessary and from the closest distribution center to the end user.

Third, we are modifying our purchasing habits to reduce their environmental impact. This includes using environmental metrics to inform supplier management and hold our business partners accountable to supply chain sustainability goals.

Finally, we are implementing specific policy interventions to reduce the use of single-use plastics, beginning with our employees, who now have access to fountains and water dispensers and no longer need to use PET bottles.



Diversity and Inclusion

Unga values diversity and is committed to maintaining a workplace in which all employees have an equal opportunity to contribute to and influence our operations.

In 2022, we conducted a Disability and Site Accessibility Assessment in collaboration with Sight Savers International.

The assessment's goal was to look into ways to improve diversity and inclusion for people with disabilities (PWDs) in our organisation. The audit's low-hanging fruit has already begun to be implemented by various teams as we strategise at an organisational level on the planning and implementation of long-term interventions.

OUR SOCIAL AND **RELATIONSHIP CAPITAL**

Our social capital encompasses all of our stakeholders and our ability to collaborate with them on initiatives that improve our collective well-being. We recognise the importance of maintaining healthy relationships with all of our stakeholders because our organisation's sustainability is inextricably linked to our ability to deliver on our shared values and principles.

Stakeholder engagement priorities

Through the year, we worked with our stakeholders, including customers and communities around us, to continue leveraging our relationships with them for mutual benefit.

Social inclusion

For many communities, the financial year 2021/22 was characterised by a variety of challenges. While they were still reeling from the effects of the Covid-19 pandemic, a severe prolonged drought made food access difficult for many households. As part of our response, we distributed 1,031 bales of Amana® Pishori rice to vulnerable families via the Kenya Red Cross.

Our role in Society

We take our role in society seriously as a key pillar within our strategic agenda as a responsible corporate citizen. For us, giving back to the society and the environment is at the heart of Unga.

Makadara Children's Home visit

In June 2022, our staff visited the Makadara Children's Home, which is home to 177 children who are orphaned, neglected, or victims of child abuse. Unga staff, including those who could not visit the home, shared personal donations while the company provided food items for the home.

Environmental Cleanup

Being a responsible corporate citizen includes protecting the environment from poor environmental management practice. Our corporate social responsibility extends to caring for and protecting the environment. As such, we collaborated with the Nairobi City Council, the National Environment Management Authority (NEMA), and neighbouring organisations to conduct a cleanup exercise along Commercial Street and Lusaka Road.

Enhancing relationships with our farmers

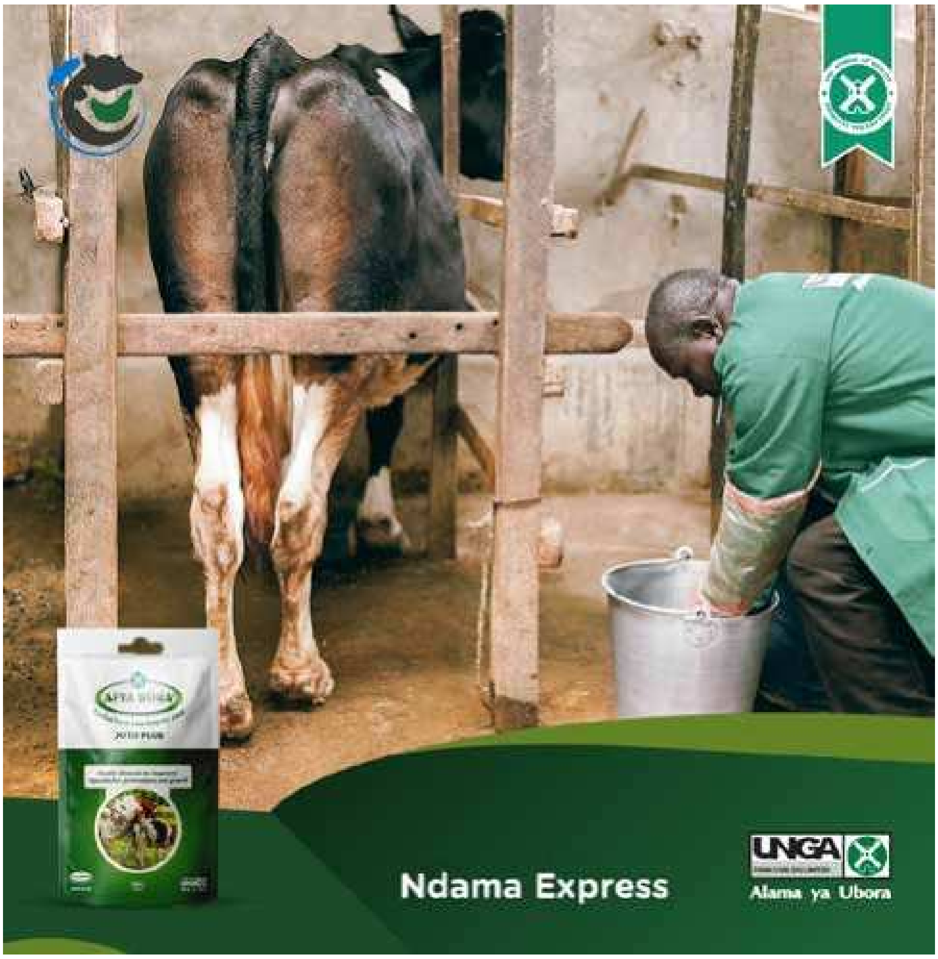
We held regional seminars with farmers where they could exchange information with our experts and amongst each other.

OUR SOCIAL AND **RELATIONSHIP CAPITAL** continued

Follow-up sessions are conducted on an ongoing basis. We trained our partners to improve their product knowledge, and educated new and young bakers on the baking skills required for success in their careers.

During the annual agricultural shows held in major towns across the country, the sales and technical teams organised forums to reach out to new and existing customers.

Our quality assurance team visited and trained maize farmers on proper grain handling techniques including aflatoxin testing and grading. This is to strengthen our partnerships and ensure quality of raw materials.


Ndama Express
UNGA
Alama ya Ubora


Suitable for every
occasion
AMANA
PREMIUM
BASMATI RICE
UNGA
LIMITED
Your Nutrition Partner

Our role in society: PICTORIAL

Unga Staff during a visit to the Makadara Children's Home in June 2022.

Unga Staff during a street cleaning exercise.

Eldoret Team during tree-planting at Kapsaret Forest.

Management Team farm visit in Machakos

Unga Safety, Health and Environment cordinator receiving the Corporate Sector Humanitarian Award, County Volunteer Award.

07

SECURING OUR SUPPLY CHAIN

Even in the face of severe disruptions throughout the year, our supply chain operations remained committed to the company's strategic objectives, ensuring consistent supply and high-quality output.

SUPPLY CHAIN **UPDATE**

Reorganising our supply chain

As the world began to recover from the pandemic, global supply chains were confronted with unprecedented challenges, including the outbreak of the Russia-Ukraine conflict and a prolonged drought, both of which impacted grain supply.

Several initiatives were thus implemented during the year under review to realign the Group's supply chain with our sustainable raw material sourcing supply agenda.

First, we shifted our focus from deep-sea imports to regional and local supply networks, increasing our reliance on maize and soybean meal from the region.

Secondly, we pursued forward contracting of wheat, ensuring availability and stable pricing including after commencement of the Russia-Ukraine conflict.

Third, our animal feeds business used alternative raw materials based on animal and insect proteins, which are less susceptible to the vagaries of changing weather patterns.

Helping farmers deliver better raw materials

Throughout the year, we collaborated with several maize suppliers to strengthen their Quality Assurance capacity. Our internal Quality Assurance team was on hand to guide them regarding maize grading and aflatoxin testing.

We also established contract farming agreements for some of our critical raw materials, such as soya beans and yellow beans, as well as off-taking agreements with commercial wheat farmers in some of the agriculturally rich regions.

Screening suppliers

Unga continues to institute and implement supplier-vetting procedures that are anchored on our commitment to sustainability and ethical business practices. As a result, our strategic and high-volume suppliers are subject to regular audits.

Outlook for supply chain optimisation

The success of our operations continues to be premised on a sustainable supply chain that is strong enough to withstand unprecedented shocks. We intend to accomplish this by:

- Aggregating maize during peak harvest season
- Continuing to build on contract farming
- Working with partners to build irrigation models for farmers especially of soya beans and other pulses
- Increasing reliance on railway transport over road transport, and bulk over bagged handling
- Partnering with seed producing companies to provide seed and best-in-class agronomic practices to smallholder farmers to improve their yields
- Organising smallholder maize farmers into cooperatives that Unga can source from
- Managing our inventory in a leaner way.

Procurement Policies

The Company has put in place elaborate mechanisms and guidelines for the decision-making processes while procuring goods and services. These guidelines are contained in the Company's Procurement Policy and the Code of Supplier Conduct.

08

COMMERCIAL UPDATE

Despite a challenging operating environment, we continued to ensure that our products reached our customers in a cost-effective manner through innovation and ingenuity.

Last-mile route selling

Our human nutrition business used last-mile route selling within informal markets for general trade. We also pursued partnerships with key digital business model customers, as well as increased below-the-line consumer activations at points of sale, in order to drive sales through value offers.

We also increased our emphasis on driving healthy offerings in our product range to our customers through enhanced availability, visibility, talk-ability, and value offers in response to the health conversations that emerged following the start of the Covid-19 pandemic.

Route-To-Market models

UNGA FACTORY

- Key retail stores/Supermarkets
- Key Distributors → Wholesalers → Groceries/Dukas/Kiosks
- Van sales vehicles → Wholesalers → Groceries/Dukas/Kiosks
- Online customers (through Jumia, Glovo, Bidhaa Mlangoni etc)

Direct selling

In the animal nutrition business, we deployed direct selling to some of our customers and institutions. Furthermore, we worked with distributors and wholesalers to increase our indirect sales footprint for Unga FarmCare products.

In the financial year, we operated company depots as stock holding points to serve distributors with an increase in capacity at the Eldoret depot.

Sustainable distributor partnerships

Enhancing our distributor partnership was key. We developed and executed, a lucrative pay for performance Sales Volume Rebates (SVR) structure to incentivise our distributors. Secondly, we supported key distributors with exceptional credit terms approval on a need basis to ensure business continuity.

Thirdly, we recruited and attached Trade Developers to selected key distributors to aid in routes and market development.

Finally, we deployed regular tactical trade activities, such as in-store consumer promotions, volume-based promotions, and market storm activations to drive sales.

We will continue to review our distributors' reward structure to match expectations. This will include a review of the transport costs rate to reflect the current market trends taking into account the drastic increase in fuel prices.

We will work with distributors and other trade partners to ensure targets are met.

COMMERCIAL UPDATE continued

Responding to the difficult operating environment

Effects of the Covid-19 pandemic continued to reverberate through the year under review. Coupled with a prolonged local political season, geopolitical tensions, and unfavourable weather conditions, there was a perfect storm of factors to disrupt supply chains.

This required a rethink of our supply chains to include:

- Contract farming for supply of soya beans, ndengu and maize on a cost-plus model, and Ausquest for yellow beans.
- Direct purchase of maize from Zambia to mitigate against supply challenges.
- Use of alternative raw materials at Unga FarmCare EA in the form of animal proteins (meat, bone meal and poultry meal) and insect proteins.
- Purchase of smaller lots of imported wheat for a just-in-time inventory management and reduced impact on cash flows.
- Direct import of woven polypropylene bags at a discount.
- Reduction of transport costs by use of railways for transfer of maize between plants.
- Contracting of pick-up and other trucks below 5 tons for supply of low tonnage orders.

Data analytics and technology

We are intent to continue leveraging data analytics and technology to simplify the sales process and drive sales.

For example, we have utilised technology to enhance team accountability and used timely market insights derived from data for informed decision making. The data we gathered was used to develop and execute trade marketing activities, and deploy and track uptake of new products.

Put together, the data provided valuable insights on demand planning and forecasting that allowed better management of inventory and cash flow.

We leveraged on our Sales Force Automation (SFA) that can derive useful insights such as frequency of customer visits to improve coverage, and measure team plans and any deviations from those plans.

We are upgrading the SFA to enable collection of market intelligence in terms of product availability and pricing in sales channels.

Additional commercial updates

In general, our business operations were affected in the following ways through the year under review:

1. Continued market fragmentation across all categories.
2. Pressure for additional margins from both modern trade and general trade customers.
3. Increased need for open credit by customers.
4. Competition resorted to extending high value offers, low pricing strategies and open credit terms to drive volumes.

SALES AND MARKETING **ACTIVITIES**

SALES AND MARKETING **ACTIVITIES** continued







Afya Bora North Rift Activation event

As part of customer outreach activities, the animal nutrition team conducted an activation in Nakuru and Laikipia Counties covering Rongai, Salgaa, Dundori, Nandi, Elburgon and other locations within the North Rift area that had historically had a limited supply of our Afya Bora animal supplement products.

The activation allowed us to have direct interaction with customers and better understand their pain points. The direct interactions also resulted in significant sales to agro-vet suppliers and product end users while allowing further brand awareness within the area.

09

OUR MANUFACTURED CAPITAL

We have prioritised creation and maintenance of a safe workplace environment by ensuring safety of structure and buildings, and that the environments' conditions are conducive and suitable.

MANUFACTURED CAPITAL continued

Our manufactured capital refers to tangible products and infrastructure that an organisation owns, leases, or controls that contribute to production or service provision but are not incorporated in its output.

Capital projects

This year, a key strategic update is the joint ventures with Nutreco to form Tunga Nutrition. Unga holds 50% of the shareholding in the joint ventures. Tunga Nutrition (K) Limited in Kenya (TNKL) is in the process of installing a second aqua feed line at the Nairobi feeds plant. Completion of the new feed line is expected in February 2023.

Tunga Nutrition (U) Limited (TNUL) is installing a feed plant in Kampala at the former Unga Millers (U) Limited site. Installation is projected to be completed by June 2023.

An overhead gantry installation is ongoing over Dakar road. Shipment and installation of the new conveyors to complete construction is ongoing.

To improve our production process and products, we installed new maize flour improvement equipment at the Commercial Street maize mill in Nairobi.

The capacity of the Soya plant remains adequate for the volumes produced and thus does not require immediate expansion.

Plant capacities

We have sufficient capacity for projected demand during the current financial year, Production in plants will be reorganised to match requirement and demand.

Occupational Health and Safety

Employee safety remains a top priority for us and we continue to work towards zero injuries. Our efforts to mitigate dangerous circumstances and behaviours continue to bear fruit as we have recorded a 6% decrease in the number of first aid cases.

Our positive results are a result of intensified focus on occupational health and safety through four proactive approaches to mitigate injuries.

01 **First**, we performed risk assessments, job and workplace observations to identify hazards that result in first aid cases and put measures in place to minimise and mitigate them.

02 **Second**, we have prioritised creation and maintenance of a safe workplace environment by ensuring safety of structure and buildings, and that the environments' conditions are conducive and suitable to the work being done.

03 **Third**, we have initiated measures to ensure workplaces are free of hazards arising from the use, storage and disposal of materials, substances and waste, floors, walkways, and access arrangements including roads.

04 **Finally**, we continue to prioritise keeping the workplace clean and tidy, with adequate provision for sanitary and washing facilities, clothes storage and changing areas, and rest rooms. This also included adequate arrangements for meals and provision of safe drinking water.

The specific measures were supported by a high degree of safety awareness and a culture of workplace safety reinforced by:

- **Management systems –**

Effective planning, organization, control, monitoring and review of preventive and protective measures.

- **Hazard identification –**

Identifying all risks and putting actions in place to eliminate, mitigate and control them.

- **Culture –**

Cultivating and encouraging safety awareness through regular communication, training and awareness sessions.

- **Legal and regulatory compliance –**

Complying with all safety, environmental and regulator certifications and laws.

Quality Assurance

ISO 22000 FOOD SAFETY MANAGEMENT
ISO
22000

Our operations are all ISO 22000:2018 certified and employ a HACCP-based Food Safety Management System to ensure products and safe and exceed customer expectations.

During the year, we carried out infestation projects at both Eldoret and Commercial Street plants which contributed to increased product quality.

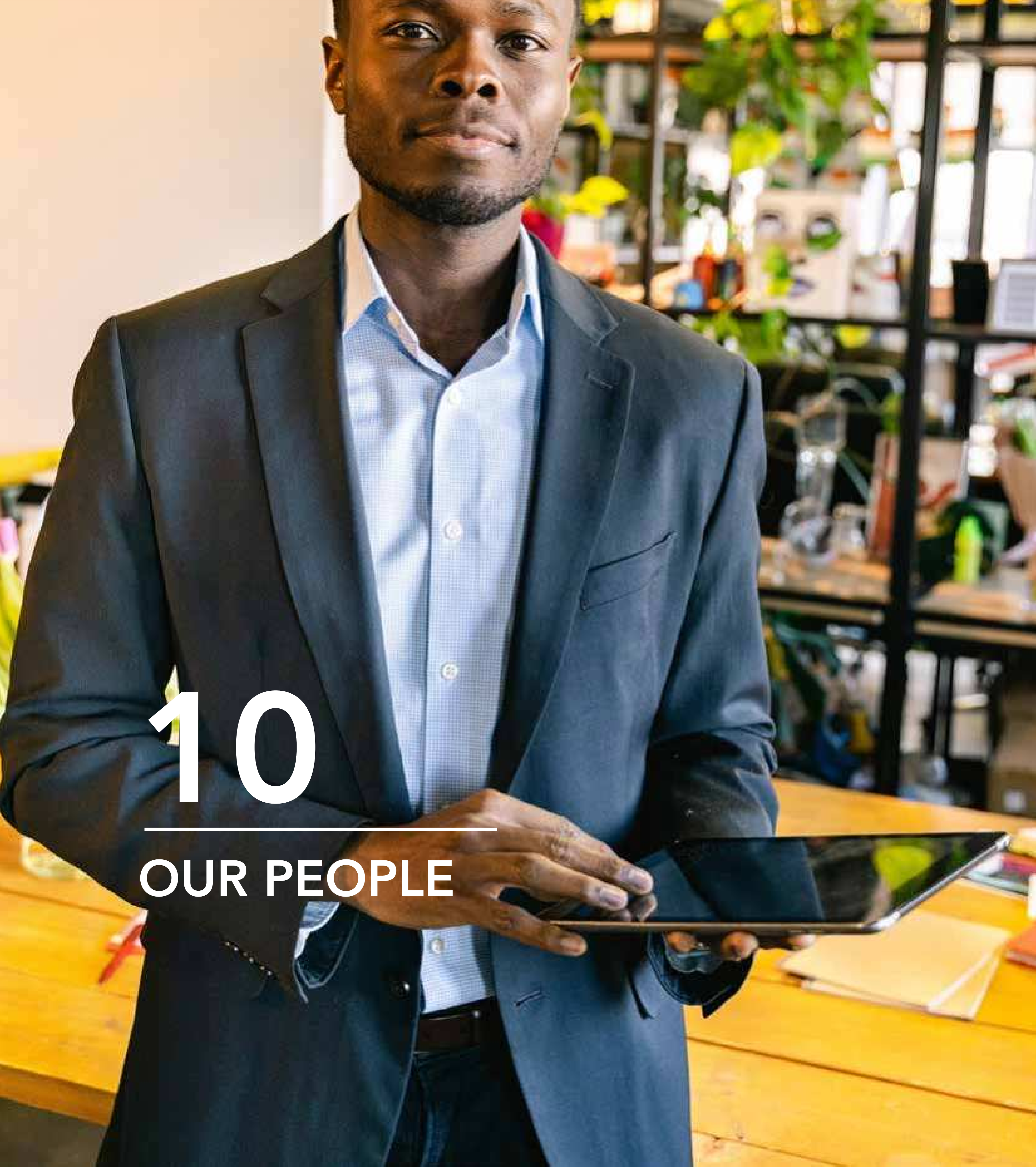
To further assure consumers of product safety, maintain standards compliance and prevent business interruptions, all products held the relevant Kenya Bureau of Standards (KEBS) certification.

We introduced on-site aflatoxin analysis to ensure compliance with KEBS specifications.

Furthermore, we adopted new methods in our ISO accredited laboratory which reduced turnaround time to 5 hours from 24 hours. This also helped improve our laboratory accuracy level from 0.8 to 0.58.

This is through alignment of raw material and finished product specifications formulated to ensure consistency in quality by introducing biosecurity audits to eliminate product contamination. We have continued to improve the quality of our animal feeds across the different lines for poultry, dairy and fish feeds.

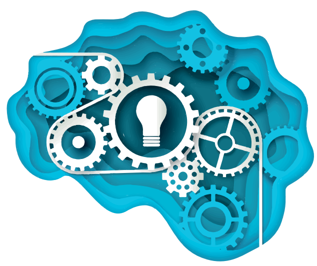
We reduced our laboratory turnaround time to **5 hours** from **24 hours**.



10

OUR PEOPLE

Our employees remain one of the most important cogs in our value creation process. Unga cannot exist without them. As a result, we will continue to implement strategies to make Unga the best place to work.



OUR HUMAN **CAPITAL**

We are proud of our people whose passion, skill and excellence make the essential building blocks for our quality output.
Our people culture is enshrined within these 5 principles:

All our employees have equal access to opportunities to develop their knowledge, skills and abilities through a blend of learning methods including mentoring, coaching, on-the-job training, courses, conferences, and seminars.

i. Human rights

Unga upholds human rights and maintains a policy of non-discrimination or harassment on grounds of race, color, sex, language, religion, political or other opinion, nationality, ethnic or social origin, disability, pregnancy, mental status or HIV status.

ii. Occupational health and safety

We are committed to the safety of our employees, clients and visitors in compliance with the Occupational Health and Safety Act, 2007. We have implemented an effective and integral Occupational Safety Management System that is aligned to international best practices and standards.
The Occupational Safety Management System identifies risks and emerging risk factors associated with our business activities and puts in place effective controls to eliminate, mitigate and manage these risks. The system adheres to the requirements of OSHA, 2007 through a structured program that provides and maintains a healthy and safe working environment while fulfilling our customers' expectations of quality and safe human and animal nutrition products.

iii. Labor and working conditions

Agile Working – Unga is committed to creating a positive and supportive culture where employees can experience work-life balance. We also recognize that diversity within our workforce adds value to the way we work and the service we deliver to our customers. Unga is, therefore, committed to providing a range of appropriate working patterns through the agile working policy.

Flexible Working Hours – Through our Flexitime policy, we provide our employees with flexible working hours that best fit their work-life balance.

iv. Learning and development

All our employees have equal access to opportunities to develop their knowledge, skills and abilities through a blend of learning methods including mentoring, coaching, on-the-job training, courses, conferences, and seminars. We have been very keen to entrench these methods for the development of our staff across all levels.

v. Diversity and inclusion

Persons living with disabilities - Guided by the provisions of the Constitution of Kenya and the Persons with Disabilities Act, 2003, we maintain a policy of disability mainstreaming to ensure a diverse workforce. To this effect, we are currently rolling out an all-inclusive workplace where persons with disability will continue to enjoy opportunities for employment.

OUR HUMAN CAPITAL continued

Talent acquisition – To ensure fair and objective decisions are made, and to meet both business and personal development trends, we have designed a policy that guides recruitment and selection in ways that uphold the highest standards of professionalism and fairness.

Staff headcount

Through the year under review, we saw a 2% decrease in our permanent staff headcount to 26% of total population. This was primarily driven by the decision taken to outsource our frontline sales team. The changes in our contracted and outsourced staff were as indicated in the table below:

Headcount Compliment

	June 20/21	June 21/22
Permanent	28%	26%
Contract	3%	3%
Outsourced	69%	71%

Labor turnover

Our total turnover rate through the period under review stood at 12.67%, which is higher than the industry average. The high turnover was attributed to the increased competition for talent within and outside industry.

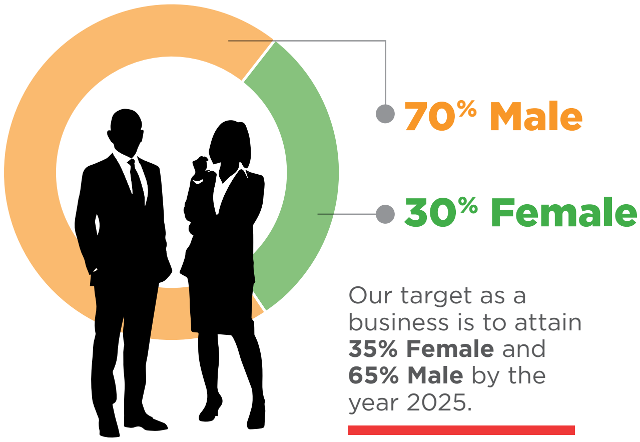
We prioritised internal hiring and promotion mechanisms, which we used to fill 19% of our animal nutritions and 71% of human nutrition business positions.

Diversity

Diversity and inclusion is at the heart of our people strategy; it is a critical component to maintaining a thriving organisational culture and our competitiveness in the market. We encourage a culture of plurality and tolerance that promotes diversity and inclusion in our workplace.

Gender and age

Our current gender split for the Group currently stands at **70% male** and **30% female**.



Our target as a business is to attain **35% Female** and **65% Male** by the year 2025.

We are confident that we will be able to achieve this additional step towards enhanced gender diversity through the laid out frameworks and concepts.

Unga is now a middle-aged millennial organization with an average age of 39 years. This is a good edge for the business in terms of driving creativity and innovation whilst leveraging on valuable experience, both of which are critical for a sustainable business.

Performance management

Throughout 2021, businesses around the globe were still reeling from the effects of Covid-19, whose effects were compounded by economic downturn. This had adverse impact on the cost of our raw materials, which are key determinants to the profitability of our business. Furthermore, the pandemic necessitated changes in our way of working including where we work and how we deliver results. Similar to other businesses around the world, we faced significant challenges in driving productivity while managing a virtual workforce.

We continued with Unga's monthly Hoshin Kanri performance review sessions, which provided essential touch points to encourage our employees to focus on their performance, and strategise on improving any sub-par output.

The sessions were also a good opportunity to drive employee engagement through one-on-one interactions between employees and their line managers.

Talent management

Talent management continues to be a key pillar in our people agenda. During the last financial year, we had the opportunity to review and nominate candidates into various talent pools. Candidates nominated into these pools were mapped out to fill various roles within the business in between 1 and 5 years. Line managers were deeply involved in supporting their teams to draw up development plans that were aligned to career paths mapped out for them. Through the talent pool we had the opportunity to accord various development opportunities to our internal talent as shown below:

Talent Pool Development

Intervention	Unga Farm Care	Unga Limited
Promotions	19%	71%
Redeployments	14%	14%
Transfers	67%	15%

Learning and development

Our learning approach is centered on the 70:20:10 model whose focus is ensuring that each employee enjoys the full learning experience in their day-to-day engagements. In the period under review, all of our employees got an opportunity to attend either an external learning experience or an in-house structured program. In the same period 57% also had access to our internal eLearning platform with 43% having successfully completed the courses assigned to them.

Over the past two years, we have developed a robust talent management framework through which we have been able to nominate staff exhibiting growth potential to the talent decks and conducted analysis of the skills shown by the team members. We have subsequently rolled out personal development plans at all levels to allow for staff development with the aim of closing any gaps that may hinder employee growth.

We are also in the process of on-boarding SAP SuccessFactors®, an automated succession planning module which will enable line managers to track their employees and measure the success of the development plans arrived at between staff and the line managers.

Through our various learning partners we have up-skilled our workforce through in-house refresher trainings that support with skills acquisition and reinforcement.

Leadership development

Leadership development was a key focus area for Unga in the year. We rolled out initiatives that continue to support our leadership development agenda:

i. **Coaching for accelerated performance**
Unga recognises coaching as a key people and business leadership skill that positively drives high performance. During the year, we sought an appropriate leadership development program anchored on coaching for 34 executive & senior leaders. This intervention was aimed at empowering our leaders to embrace and embed a sustainable culture of leading with coaching.

The specific objective of this initiative is to empower leaders to have meaningful and transformational conversations with their teams whilst instituting a sub-culture of peer-peer coaching where leaders can offer each other sounding boards for navigating business and personal challenges. The program also sought to deliver and entrench a sustainable high-performance culture where employees are engaged at every level.

ii. **Unga leadership academy**
The Unga leadership academy consists of leadership development programmes aimed at providing the leadership team at different levels with the competencies to make them great leaders.

The flagship programme, is a one-year in-house program developed by our Learning & Development unit in conjunction with the Unga Group leadership team, designed for senior management and talented managers being groomed for senior management roles.

OUR HUMAN CAPITAL continued

Employee recognition

We acknowledge that our employees provide the largest contribution to our success as an organisation. In 2021/22, we continued various activities to recognize their efforts. These were:

i. Employee of the Month

Employees who show innovation and consistency in performance, are either highlighted on the site wall of fame or receive a gift to appreciate their outstanding efforts.

ii. PaTaMu Championship Awards

An annual celebration to recognize the best continual improvement projects and innovations. Each site willing to participate in the championship submits their best innovations or projects for evaluation and awarding.

iii. STRIICT Nominations

Every month, all sites pick a day for all staff to remind ourselves of the Unga values. During this STRIICT meeting, employees who have exceeded their job requirements in pursuit of excellence are given a token of appreciation.

Commercial Street team posing with the PaTaMu championship trophy

Central Support Office QA Team posing with their CI certificates

Eldoret team celebrating with the Energy Management trophy

Incoming GMD Joseph Choge with the outgoing GMD Nick Hutchinson

Strategy Formulation meeting with the sales team

Management trade visit in Kawangware.

Organization change and development

2021/22 was marked various significant organisational changes aligned with our strategy to optimise talent and deliver value. These changes included:

- **Leadership transitions** – Mr. Nick Hutchinson who had been the Group Managing Director for 21 years retired from the business and was replaced by Mr. Joseph Choge.
- **Strategy and business development** – As we refocus efforts to deliver business strategy and forge partnerships for continued success, we re-instituted the Strategy and Business Development unit led by a Group Head of Strategy and Business Development.
- **Human nutrition sales** – We outsourced our sales division in order to explore additional route-to-market options that will get our products from factory to end-user even at the last mile.
- **Industrial and digital Marketing** – We have on-boarded an Industrial and Digital Marketing Manager to oversee frontline sales through the industrial channel while driving our digital marketing agenda.
- **New products** – As innovation took center stage in our business agenda, we brought on board a new Technical Products Manager – New Products to support, design and delivery of new products for the benefit of our consumers.
- **Bakery business** – we divested from the bakery business and reorganised our resources accordingly.

11

DIGITAL TRANSFORMATION

We are transforming ourselves to become a future fit for purpose organisation that is digitally enabled, all as part of our continuous commitment to ensuring we reach and serve our customers in the most efficient ways.

OUR INTELLECTUAL **CAPITAL**

Patents, copyrights, software, rights, and licenses are examples of intellectual capital. Tactic knowledge, processes, procedures, and protocols, as well as other types of organizational capital, are also included.

Digital Transformation

We implemented an e-commerce platform, '*Bidhaa Mlangoni*,' at the height of the pandemic in FY 2020/21, to reach more customers. Although adoption has been slower than anticipated, we are continuously reviewing it and recommendations are being implemented as interventions to increase e-commerce uptake.

We are also increasing digital awareness and expanding its reach throughout Kenya.

The process of acquiring a fit-for-purpose Electronic Document Management System (EDMS) has commenced to ensure quick access to information. Digitising our documents will improve security by lowering the risks associated with physical information that is currently at risk of loss in the event of fire, flooding, or fraud.

Robotics and the Internet of Things (IoT) are two emerging areas that are seen as critical components of Industry 4.0. In financial year 2021/22, we evaluated Robotic Process Automation (RPA) as a strategy to improve operational efficiency. However, the potential value did not present a strong enough business case. RPA implementation has thus been postponed until the metrics justify the significant investment required to operationalise.

Despite the suspension of RPA, a study is underway to determine the long-term viability of Internet of Things (IoT) technology in silos and fuel depots in order to improve information availability and decision making.

Cyber security

We continued to invest in cyber security during the period under review. We chose CSI (SANS) 20 as our security framework because of ease of implementation. So far, we have implemented 70% of the SANS 20 framework and expect to achieve 100% by the end of 2022/23.

Adoption of CSI (SANS) 20 in terms of service delivery and change management, combined with the use of ITIL has resulted in improvement in Cyber and Internal Controls.

The Covid-19 pandemic highlighted the importance of flexible work, as movement restrictions and lockdowns necessitated more remote work.
Unga's staff can now safely work remotely thanks to the deployment of end point security. Devices are continuously being scanned for safety.

OUR INTELLECTUAL CAPITAL continued

We also have a cutting-edge firewall to secure the organisation's digital perimeter and to provide Virtual Private Network functionality to employees working remotely.

We also increased user cyber security awareness by leveraging KnowBe4, an integrated security awareness platform.

In addition, we conduct continuous Vulnerability Assessment and Penetration Testing (VAPT) and to collect daily logs from the firewall, servers, and network devices in order to identify potential threats and respond rapidly.

Knowledge property

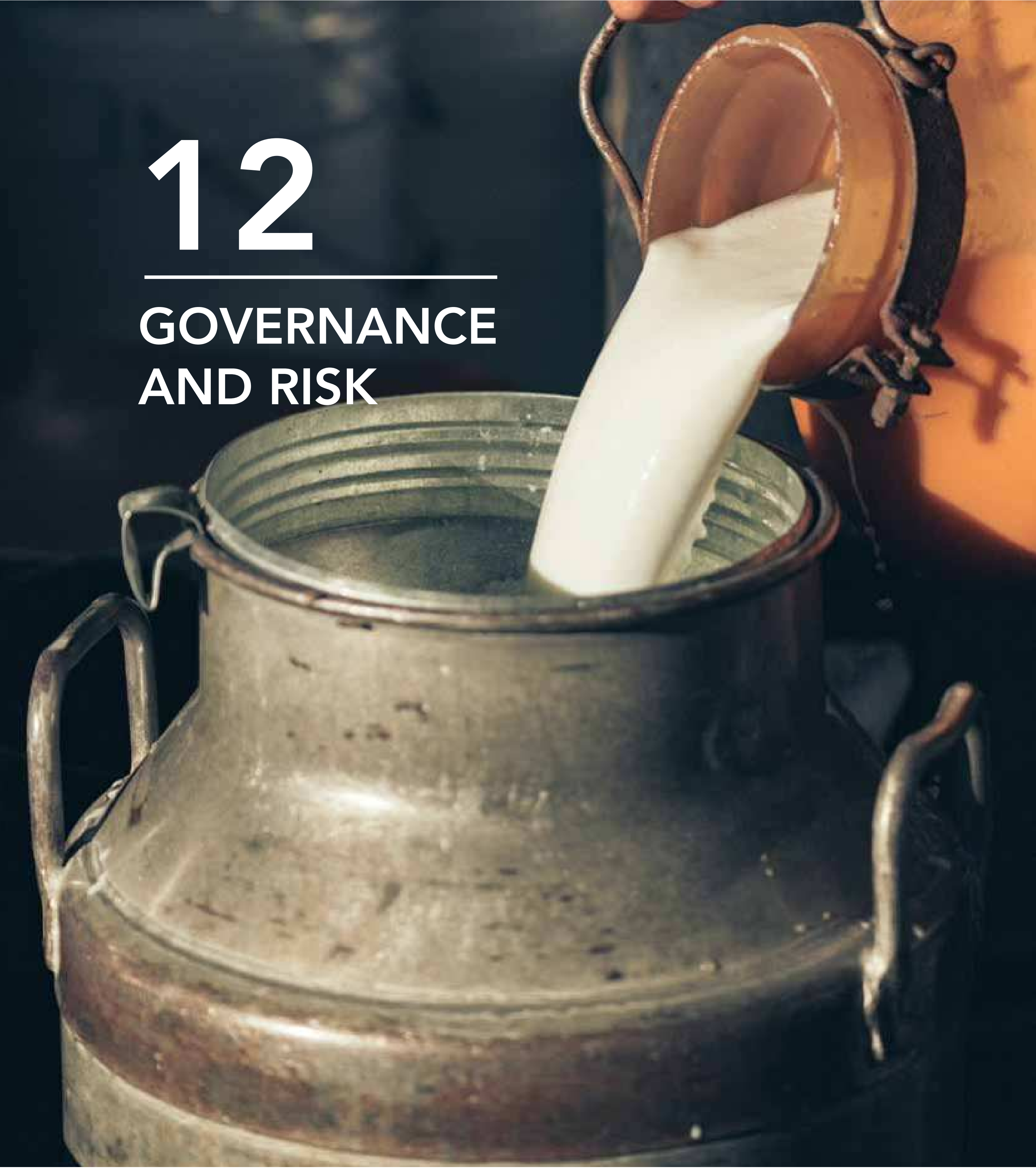
We also continued to invest in knowledge property by conducting education and training of employees on our marks, the risks and exposures relating to employees directly and indirectly, as well as those posing exposure to our brand and respective products through the various intellectual properties, and how to handle any such breaches and exposures.

Statutory and Regulatory Compliance of Intellectual Capital

Through registration and renewal of all our marks (Trademarks, Copyrights, Patents) and partnership with consultants in ensuring the organisation is compliant with the Data Protection Act 2019, steps are being taken to ensure each entity in the Group is registered with the Office of the Data Commissioner. This process is now complete.

Policy on Information and Communication Technology (ICT)

To guide the implementation of the information and cyber security objectives, the Company has put in place a comprehensive and robust policy on ICT.



12

GOVERNANCE AND RISK

Risk Management is an integral part of our operations which drives sound commercial decision-making, protecting our assets, and supporting sustainability of our business.

COMPLIANCE AND RISK **MANAGEMENT**

Risk Management is an integral part of the Company's operations. The Board has overall responsibility for risk management in the Group and ensures that adequate risk management structures and a sound internal control framework are in place to support the delivery of business objectives. The Company's focus is on managing material risks and strategies that affect the achievement of business objectives. These risks are managed within the risk appetite framework set by the Board.

Our risk management approach

Our approach is designed to:

- Identify the principal risks to the achievement of the Group's objectives;
- Analyse and evaluate the nature and extent of those risks;
- Collaborative risk management to ensure that risks are within the risk appetite set by the Board;
- Monitoring the risks, reviewing & reporting.

Our Risk management approach is shown in the framework below

Our risks are categorised into Strategic, Operational, Financial, Compliance, and Environmental.

Risk-based decision making

During the year, we continued to integrate risk management practices into our business processes and decision-making. We are cognisant of the fact that our decision-making processes could lead to risk exposures of various impacts and have therefore embedded continuous risk assessments into these processes. This ensures that strategic and business options chosen, and the assumptions made are supported by our risk management principles.

Compliance management

We are committed to complying with legal and statutory requirements. We continue to ensure compliance through the deployment of relevant policies, procedures, and controls, and regular training of staff. Annual mandatory training for all staff on policies that address matters relating to bribery, corruption, fraud, whistleblowing, money laundering, data privacy and protection, and other relevant laws and regulations was undertaken during the year. The effectiveness of compliance management is regularly checked through audits by independent internal and external auditors and improvement areas reported are acted upon promptly.

Business compliance status is tracked regularly, and reports are presented to both the Executive Risk Management Committee and the Board Audit and Risk Committee on a quarterly basis. Our whistleblower programme and procedures allow for both internal and external reporting through multiple reporting channels. 'Speak Up', one of our externally managed reporting channels includes toll-free call lines, email addresses, and web portals which can be accessed from different geographical regions where we conduct business.

Principal risks/materiality review

Discussions and reviews of principal risks are carried out on a quarterly basis by the Board Audit & Risk Committee and remediation action is taken, as appropriate. The Group's current principal risks remain broadly unchanged from prior year and are presented in this report as our material matters as outlined in **page 13**.

INTERNAL **AUDIT**

The Internal Audit department's influence is more important than ever as two years of Covid-19 continue to accelerate business at an unprecedented pace. While some organisations historically maintained manual processes with little urgency to digitize, the need to change business systems, processes, cultures and workflows has made adoption of a digital transformation strategy essential.

The shift to digital has increased security risk amidst rising cyber-attacks and online fraud incidents. Our internal audit team is rising to the challenge by adopting digital technologies that help combat fraud risks.

Changes in the business environment demand data and technology-enabled audit processes that can deliver increased efficiency and risk assurance. This also calls for adoption of a robust continuous monitoring programme to optimise the efficiency and effectiveness of audit operations and facilitate deployment of audit resources to more strategic efforts.

The Internal Audit department conducts auditing in accordance with the International Professional Practices Framework and adheres to the Code of Ethics established by the Institute of Internal Auditors (IIA). Throughout the year, the department remained independent and fully discharged its mandate.

Audit charter

In line with best practices, the Internal Audit department has written an Internal Audit Charter, approved by the Board Audit and Risk Committee, which spells out the purpose, authority and responsibility of the internal audit function and gives mandate to the function to carry out audit of the operations of Unga. The Charter is reviewed every three years and was last reviewed in November 2020.

The Charter stipulated the department's key responsibilities which include:

- Conducting independent and objective assessment of the Group's governance, risk management and internal control systems.
- Evaluating risk exposure relating to achievement of the Group's strategic objectives.
- Evaluating the reliability and integrity of information and the means used to identify, measure, classify and report such information.
- Evaluating the means of safeguarding assets, verifying the existence of such assets and the effectiveness and efficiency with which resources are employed.
- Undertaking special assignments at the request of the Audit Committee or management.
- Carry out follow-up reviews to ensure that audit recommendations have been implemented.

Audit plan

An annual audit plan is developed using a structured risk assessment that considers inherent risk and control effectiveness of each auditable area in the Group. In preparing the plan, the department draws upon its experience and prioritizes audits based on updated risk assessments in liaison with Risk and Compliance Office. The Board Audit and Risk Committee reviews and approves the audit plan and any updates to the plan in response to changes in the Group's environment.

During the 2021/22, the department performed assignments in line with the plan realising 86% of the approved audit plan.

Audit scope in 2021/22

The Internal Audit department has adopted a risk-based approach which provides a systematic method for identifying, prioritizing and scheduling audits, while at the same time providing a means by which scarce audit resources can be targeted to areas of high risk.

The major risks identified as part of the Group's risk management framework were mapped to relevant audit areas that were included in the scope of audit work during the year.

The key audit areas included:

- Digital transformation
- Business continuity and disaster recovery
- Governance and strategy
- Organisation culture and behavior
- Procure-to-pay
- Legal and compliance
- Supply chain
- Manufacturing and marketing

Emphasis was also placed on emerging risks and threats including cyber security and data privacy in the expanded work environment.

Adjusting to the business environment

The changes in the business environment, partly due to disruptions of the pandemic, necessitated scrutiny of the audit plan and reprioritisation of audits based on their significance, regulatory requirements, and the ability to execute them in a disrupted environment.

As a result, some audits were rescheduled or adapted to accommodate remote working with more focus on data analysis.

In the disrupted environment, Internal Audit recognises the need to leverage on technology to provide greater insights to the business.

Some of the initiatives already in place to improve the function's capacity and effectiveness include:

- Automation of the audit process using an audit management software.
- Deployment of a data analysis tool and increasingly adopting data analytics for efficiency of audits and more timely review to add value to the business.
- Improvement of tracking of audit recommendations through automation.
- Continuous professional training for Internal Audit staff through e-learning, virtual seminars and certification.

Monitoring and reporting

Audit findings are reported to both management for remediation and to the Board Audit and Risk Committee. A tracking system via the audit software is in place to ensure remedial actions for all issues identified during the audit process are tracked to completion and remediation independently validated.

CORPORATE **GOVERNANCE STATEMENT**

The Board and management are committed to promoting and maintaining the highest standards of corporate governance framework that underpins Unga's vision of "Nutrition for Life" and the mission "to achieve and maintain market share leadership in the provision of superior human nutrition, animal nutrition and health products and services for the benefit of all stakeholders within Eastern Africa". The Board recognizes that good corporate governance augments good performance of the Company.

Unga supports the intent and purpose of the provisions of the Capital Markets Authority (CMA) Code of Corporate Governance practices for Issuers of Securities to the Public 2015 (the CMA Code). In addition, Unga abides by the tenets of the Constitution of Kenya and all other laws as a law-abiding corporate citizen.

Unga's corporate governance policies are available in the Investor Relations section of the Company's website.

The Board regularly reviews these policies and the Company's corporate governance practices against the requirements of both the Companies Act 2015, the CMA Code and best practice

Below is a list of the Company's core governance framework documents, set out against the relevant principles of the CMA Code.

CMA Principles	Relevant documents and information
• **Formal and transparent procedure in the appointment of directors** • **Structure of the Board to add value** • **Lay solid foundation for management and oversight** • **Deployment of effective Board tools** • **Remunerate fairly and responsibly** • **Act ethically and responsibly** • **Safeguard integrity in corporate reporting** • **Make timely and balanced disclosure** • **Respect the rights of share holders** • **Recognise and manage risk**	**Governance documents** **Board charter** Board committee terms of reference: • Nominations and Remuneration • Audit and Risk • Investments and Operations • Human Resource Code of conduct and ethics Board work plan **Governance Policies** • Insider trading policy • Whistle blowing policy • Anti-Money Laundering policy • Anti-fraud, Bribery and Corruption policy • Board Remuneration policy • Various operational policies

OVERVIEW OF UNGA'S CORPORATE GOVERNANCE FRAMEWORK

The purpose of our corporate governance framework is to assist our people to make good decisions that promote the long term success of Unga. Our corporate governance framework is comprised as follows:

- The Board of Directors
- The Board Audit and Risk Committee
- The Board Nominations and Remunerations Committee
- The Board Investment and Operations Committee.
- The Board Human Resources Committee.

The Board is guided by a Board Charter which documents the constitution, roles and responsibilities of the Board. It also contains the vision, mission and core values of the company. Unga's values inform the behaviors, leadership attributes and decision making of all employees. They reflect how Unga's employees work, treat each other and interact with people and communities around Unga. These values are:

Self-Responsibility

Every one of us is a leader. We take pride, set the right example and hold ourselves accountable for achieving our individual and collective goals. We take responsibility for our success and setbacks. We celebrate success and see setbacks as an opportunity for growth.

Innovation

We are a learning organization, constantly looking for ways to improve. We embrace creativity, change and opportunity, deliver innovative solutions to the marketplace and will take informed, responsible risks.

Trust

We build trust and honour our commitments to one another by communicating actively and openly.

Continual Improvement

We develop in our people the ability to continually improve our processes, products and services through living *PaTaMu*.

Respect

We treat each and every person with respect and value the diversity they bring to the company.

Teamwork

Our success is dependent on the collective energy, expertise and intellect of our team members. We foster collaboration while maintaining individual accountability. We strive to create a work environment where motivated team members can flourish and succeed to their highest potential.

Integrity

We are fair and honest in all our interactions with one another. We earn our reputation by adhering to the highest moral and ethical standards.

Unga has also put in place a Code of Ethics and Conduct which applies to directors, employees, partners, consultants, outsourced labor and other workers at any Group entities, including all personnel affiliated with third parties.

The Code of Ethics and Conduct contains the following core requirements:

- We work safely and look out for the safety of our colleagues.
- Our workplace is free from harassment, discrimination and bullying.
- We act ethically and lawfully in all business conduct.
- We understand and manage the impact of our operations on the environment and engage with our stakeholders with respect.
- We communicate accurately and honestly with investors, government and the community.
- All trading in Unga's securities occurs in compliance with the Nairobi Securities Exchange's rules.
- Everyone affected by the Code is expected to understand and comply with the standards in the Code of Ethics and Conduct.
- All breaches of the Code of Ethics and Conduct must be reported.

These values and requirements form the foundation of Unga's Corporate governance framework.

CORPORATE GOVERNANCE STATEMENT continued

PART 1: BOARD RESPONSIBILITIES

The Board recognizes that it has responsibilities to its shareholders, customers, employees, and business partners as well as to the communities in which the entities it controls operate. The Board's focus is to enhance and protect the interests of shareholders and other key stakeholders and to ensure that the Company is properly governed. The Board understands the importance of a strong and healthy working relationship with management.

The Board of Directors meets at least once every quarter and operates within a formal schedule based on the agreed Board work plan and Board calendar. The Chairman is responsible for managing the Board and providing leadership to the Group, while the Group Managing Director is responsible to the Board for strategically overseeing and managing the business units of the Group in accordance with the Board instructions.

The Directors are given appropriate and timely information on key activities of the business, regularly, and on request. Information on agenda items is provided prior to meetings as well as through additional presentations to the Board.

Board members have open access to management through the Chairman, Group Managing Director and Company Secretary. Directors may seek briefing from management on specific matters as well as seek independent professional advice.

Responsibilities

The Board is responsible for the overall corporate governance of the Company, including approving the strategic direction and financial objectives, oversight of the performance and operations of the Company, establishing goals for management and monitoring the attainment of these goals.

Each Director is required to ensure that they are able to devote sufficient time to discharge their duties and to prepare for Board and Committee meetings and associated activities.

The Company Secretary is accountable directly to the Board, through the Chair, on all matters to do with the proper functioning of the Board. All Directors have direct access to the Company Secretary and the Company Secretary has a direct reporting line to the Chair.

The Board is responsible for:

- Overseeing the Company's strategic direction and management of the Company.
- Approving delegations of authority to management.
- Approving significant acquisitions and disposal of assets.
- Approving significant expenditure decisions outside of the Board approved corporate budget.
- Approving and monitoring financial performance against strategic plans and corporate budgets.
- Approving the Company's values, ethical standards and codes of conduct.
- Review and approve management's strategic and business plans, including developing a depth of knowledge of Unga Group's business, understanding and questioning the assumptions upon which such plans are based, and reaching an independent judgment as to the probability that the plans can be realized.
- Ensure that the key strategic risks of Unga Group are identified, evaluated and mitigation plans set up, and their on-going status and management effectively monitored.
- Ensure that appropriate and effective risk management and internal control processes operate in the Company.

The Board is responsible for:

- Provide effective leadership in collaboration with the executive management team.
- Facilitate set up of appropriate corporate governance structures for the management of the business operations.
- Establish Board Committees, policies and procedures that shall facilitate the most effective discharge of the Board's roles and responsibilities.
- Review and approve the Company's annual budget proposed by the executive management team including the Company's financial objectives, plans, and actions, including significant capital allocations and expenditures.
- Facilitate Board accountability through effective Board evaluation and succession planning.
- Monitor corporate performance against strategic and business plans, including overseeing the operating results on a regular basis to evaluate whether the Company is being properly managed.
- Determining the Company's purpose and values, providing governance, and adopting strategic plans.
- Selection, evaluation and succession planning for Directors, the Group Managing Director (GMD) and Company Secretary and generally endorsing the same for the GMD's direct reports.
- Setting the remuneration of Directors and the GMD and generally endorsing the same for the GMD's direct reports, and monitoring whether the Company's remuneration policies and practices are aligned to the Company's values, strategic direction and risk appetite.
- Setting the Company's risk appetite and overseeing the integrity of material business risk management.

Delegation of Authority

The Board delegates management of the Company's operations and resources to the Company's executive management team under the leadership of the Group Managing Director. Management is accountable to the Board for the discharge of this delegated authority and for compliance with any limits on that authority (including complying with the law and Company policy).

Responsibilities delegated by the Board to Management:

- The conduct and operation of the Company's business in the ordinary course;
- Implementing corporate strategies; and
- Operating under approved budgets and written delegations of authority.

The Group Managing Director and other Senior Executives are employed under written employment agreements, which set out their rights, duties and responsibilities.

Management's discharge of its responsibilities is monitored through regular Board reporting and performance evaluations against pre-determined performance objectives.

Performance evaluations of Senior Executives are usually undertaken by the Group Managing Director. The Board Chairman undertakes the Group Managing Director's annual review. Performance evaluations were undertaken in accordance with this process.

The results of these reviews are used in determining succession plans, performance and development plans and remuneration in consultation with the Human Resources Committee.

CORPORATE GOVERNANCE STATEMENT continued

PART 2: COMPOSITION OF THE BOARD

Board composition and Director Independence

The Company seeks to have a Board that has the right mix of individuals with relevant attributes, skills, knowledge and experience and who jointly have the overall collective competence to deal with current and emerging issues and effectively guide management in ensuring the highest performance of the Company. The Board regularly reviews the skills, knowledge and experience represented on the Board against the skills and experience needed to effectively deliver the strategy of the Company.

Under the Company's Articles of Association, the Board must have a minimum of five directors (not including the Alternate directors) and a maximum of ten.

At every annual general meeting of the Company, one third of directors must retire from office (after excluding the Managing Director and any new directors standing for election for the first time).

To ensure regular Board renewal, the Board Nominations and Remunerations Committee reviews the Board composition on an annual basis. The Committee determined that the Board composition was currently adequately structured to carry out the mandate of the Board.

The Board assesses the independence of each Director having regard to the definition of independence set out in the CMA Code. Each Director's independence is assessed by the Board on an individual basis, focusing on an assessment of each Director's capacity to bring independence of judgement to Board decisions. In this context, Directors are required to make prompt disclosure to the Board of any changes in interests in material shareholdings, contracts, family ties and cross-directorships that may be relevant in considering their independence.

At the start of the calendar year, the Directors submit an annual declaration on their independence. Thereafter, Directors must declare any conflict of interest that they may have at the start of all Board meetings. Where a material personal interest arises with respect to a matter that is to be considered by the Board, the Director is required to declare that interest and must not take part in any Board discussion or vote in relation to that matter, unless permitted in accordance with the Companies Act 2015.

Name	Independent Non-Executive/Non-Executive Director (NED)	Period in office	Board meeting attendance	Board Strategy attendance	For re-election
Isabella Ochola-Wilson	Non-Executive Chairman	Full year	5/5	2/2	Yes
Nicholas Charles Hutchinson	Group Managing Director	Five months	2/5	n/a	n/a
Joseph Choge	Group Managing Director	Seven months	3/5	2/2	n/a
Andrew Ndegwa	NED	Full year	5/5	2/2	No
Alan Mckittrick	NED	Full year	4/5	2/2	No
Vitalis Ojode	NED	Full year	5/5	2/2	No
Jinaro Kibet	NED	Full year	5/5	2/2	Yes
Patrick Obath	Independent NED	Full year	5/5	2/2	Yes
Shilpa Haria	Independent NED	Full year	5/5	2/2	No
Ciiru Miring'u	Independent NED	Full year	5/5	2/2	Yes
Wangari Murugu	Independent NED	Full year	5/5	2/2	No

Board capabilities

In determining the composition of the Board, consideration is given to the optimal mix of background, skills, experience and diversity that will best position the Board to guide the Company. As the needs of the Board are dynamic, these skills and experiences may change over time.

Directors are appointed primarily based on their capacity to contribute to the Company's development and success. The Board Charter also recognizes that the Board should include at least some members with relevant experience in manufacturing.

Director selection and succession planning

There is a formal and transparent procedure in the appointment of Directors to the Board and all persons offering themselves for appointment as Directors should disclose any potential areas of conflict that may undermine their position or service or impair their independence as Director.

The Nominations and Remuneration Board Committee is responsible for reviewing with the Board, on an annual basis, the appropriate skills and characteristics required of Board members in the context of the current make-up of the Board. Final approval of a candidate as a Director of the Company is determined by the full Board.

The Board renewal process is overseen by the Nominations and Remuneration Committee and involves regularly reviewing the composition of the Board to ensure that the Directors bring to the table an appropriate mix of background, skills, experience and diversity relevant to the management of a manufacturing company.

In making recommendations relating to Board composition, the Committee takes into account both the current and future needs of the Group. The Committee specifically considers each of the Directors coming up for re-election and makes an assessment as to whether to recommend their re-appointment to shareholders. This assessment considers matters including their contribution to the Board, the results of a Board Evaluation and the ongoing needs of the Company. The Committee also considers the succession plans of the Directors more broadly.

The Committee is also responsible for defining the desired attributes and skill sets for a new Director. The Committee reviews prospective candidates and arranges for appropriate background checks to be undertaken, then makes recommendations to the Board regarding possible appointments of Directors, including recommendations for appointments to Committees.

When director candidates are submitted to shareholders for election or re-election, the Company includes in the notice of meeting all information in its possession that is material to the decision whether to elect or reelect the candidate.

Director induction and continuing education

The Board (through the offices of the Group Managing Director and Company Secretary) and management conducts a comprehensive induction and orientation process for new Directors to acquaint them with the Company's vision, strategic direction, core values, financial matters, corporate governance practices and other key policies and practices. This may be achieved through a review of the Company's Memorandum and Articles of Association, Board Charter, Minute Books, any relevant background material, meetings with senior management and visits to the Company's key facilities. The expectations of the Board in respect of a proposed appointee to the Board and the workings of the Board and its Committees are also conveyed in interviews with the Chair. Induction procedures include site visits, access to appropriate executives in relation to details of the business of the Company and functional overviews of the Company's strategic objectives and operations.

The Board also recognizes the importance of continuing education for its Directors and is committed to provide such education in order to improve both Board and Committee performance. The Board acknowledges that such continuing education may be provided in different forms including: external or internal education programs, presentations or briefings on particular topics, educational materials, meetings with key management and visits to the Company's key facilities. It is the policy of the Board that continuing education is undertaken in line with Capital Markets Authority requirement to achieve 12 CPD hours.

Directors are encouraged by the Board to continue their education by attending both internal and external training and education relevant to their role.

All directors have the right to access Company information and the Board Charter sets out the circumstances and procedures pursuant to which a Director may seek independent professional advice at the Company's expense.

Separation of the role of Chairman and the Group Managing Director

In line with best practice in Corporate Governance, the positions of Chairman and Group Managing Director are separate, facilitating balance of power and authority. The Board Charter, which is regularly reviewed also provides for a clear definition of the roles and responsibilities of the Board Chairman, Directors, Group Managing Director, and the Company Secretary. The Chairman is responsible for leadership of the Board and ensuring its effectiveness. The separation of the functions of the Chairman (a Non-Executive Director) and the Group Managing Director supports and ensures the independence of the board and management. The balance of power, increased accountability, clear definition of responsibilities and improved decision-making are attained through a clear distinction between the Non-Executive and executive roles.

The Chairman is also responsible for ensuring that the interests of the Company's shareholders, including minority shareholders are safeguarded. The Chairman promotes good corporate governance and the highest standards of integrity and probity. The Group Managing Director has overall responsibility for the performance of the business, provides leadership to management in day-to-day operations and implements strategies, plans, objectives and budget approved by the Board. The Chairman and the Group Managing Director, meet from time to time in between Board meetings to set Board agenda, to discuss current and future developments and any material issues impacting the Company.

Review of Board, Board Committees and individual Director performance

As specified in the Board Charter, reviews of Board, Committee and individual Director performance are conducted annually. At least once every three years, the annual review of the Board, Committees and individual Directors is carried out by an independent consultant.

The scope of the external review is agreed in advance with the Board. Internal reviews are facilitated by the Chair, in consultation with the Nomination Committee and involve questionnaires and formal interviews with each Director culminating in a written report prepared by the Chair. Where the review relates to the performance of the Chair, the two senior independent non-executive Directors conduct the review.

The Board is undertaking an independent Board evaluation for the year ended 2021/2022. The recommendations from the evaluation exercise will be incorporated into the annual Board work plan.

PART 3:
BOARD COMMITTEES

The Board has established several Committees to assist with the effective discharge of its duties. The role of each Committee is set out in the Section below.

Each Committee operates under a specific terms of reference (TORs) approved by the Board. Board Committees conduct their own internal review of their performance, structure, objectives and purpose from time to time.

Board Committees have access to internal and external resources, including access to advice from independent external consultants or specialists.

The Chair of each Committee provides a report at the next Board meeting, and Committees refer to the Board and other Committees any matters that come to their attention that are relevant for them. Each Committee is responsible for satisfying itself that an appropriate framework exists for relevant information to be reported by management to the Committee. Minutes of each Committee meetings are distributed to all Board members. The membership requirements of each Committee are outlined in each Committee's TORs. The Board reviews Committee membership on at least an annual basis. Each Committee's membership currently satisfies the membership requirements in the Charters and the composition requirements in the CMA Code. Non-Committee members may attend Committee meetings by invitation.

Details of the number of times the Board and each Committee met during the year, including the Committee memberships of each Director and their attendance at Board and Committee meetings have been detailed in this Report.

Members of Management attend relevant parts of Board and Committee meetings, at which they report to Directors within their respective areas of responsibility. Where appropriate, advisers to the Company attend meetings of the Board and of its Committees. Board meetings regularly include a session at which the non-executive Directors meet without the Group Managing Director or other members of Management present. The Board Committees did not utilise services of any adviser during the review period.

The Board may, from time to time and where circumstances require, form ad hoc committees to consider specific matters as requested by the Board. No ad hoc Committee was formed during the review period.

Role and activities of Committees

Board Audit and Risk Committee

Composition	Membership in 2021/22		Purpose and responsibilities
Minimum, 4 non-executive directors, out of whom at least three should be independent non-executive directors. **Chaired by an independent Non-Executive director.**	**Member**	**Attendance**	• Integrity of the Group's financial statements • Compliance with legal and regulatory requirements • Effectiveness of internal controls • Review of business operations policies • Corporate governance • Risk management • ICT governance and oversight
	Shilpa Haria - Chairman	4/4	
	Andrew Ndegwa	1/4	
	Vitalis Ojode	4/4	
	Wangari Murugu	4/4	
	Ciiru Muring'u	4/4	

Key deliberations:
- Risk management reporting
- ICT Reporting.
- Review of Management accounts
- Internal audit reporting
- Review of audit plan
- Litigation updates
- External audit reporting
- Incidents reporting
- Review of key audit and management issues from the external audits
- Review of policies

Role and activities of Committees continued

Board Nominations and Remuneration Committee

Composition

Minimum, 4 non-executive directors

Chaired by an independent Non – Executive director.

Membership in 2021/22

Member	Attendance
Patrick Obath - Chairman	5/6
Isabella Ochola Wilson	6/6
Andrew Ndegwa	6/6
Jinaro Kibet	4/6

Purpose and responsibilities

- Review the size and structure of the Board
- Board evaluation
- Governance Audit
- Review of governance policies
- Board development
- Succession planning of the Board and the Group Managing Director
- Review of Board appointments.

Key deliberations:

- Tracking the actions of the Governance Audit and the Board Evaluation Reports.
- Group Managing Director succession and recruitment
- Governance of the new joint venture.
- Review of GMD performance.
- 2021/2022 Board evaluation,
- Review of the 2020/2021 Governance audit report.

Board Investments and Operations Committee

Composition

Minimum of 3 non-executive directors and the Group Managing Director.

Chaired by a Non-Executive Director

Membership in 2021/22

Member	Attendance
Patrick Obath - Chairman	5/5
Nicholas Hutchinson	2/5
Joseph Choge	3/5
Alan McKittrick	3/5
Andrew Ndegwa	5/5
Ciiru Miringu	5/5
Wangari Murugu	5/5

Purpose and responsibilities

- Review of projects and Investments
- Review of Business operational matters
- Review of major capital projects
- Financial Planning
- ICT governance framework
- Occupational health and safety

Key deliberations:

- Review of budget
- Review of operational KPIs against company performance.
- Sustainability Report and Sustainability policy.
- Project updates
- ICT updates and investment
- Review of financial performance
- Business development proposals
- Sale of Ennsvalley Bakery Limited’s assets
- joint ventures with Nutreco

Role and activities of Committees continued

Board Human Resources Committee

<table>
<tr><th>Composition</th><th>Membership in 2021/22</th><th>Purpose and responsibilities</th></tr>
<tr><td>Minimum of 3 non-executive directors and the Group Managing Director.

Chaired by a Non-Executive Director</td><td>
<table>
<tr><th>Member</th><th>Attendance</th></tr>
<tr><td>Alan McKittrick-Chairman</td><td>3/4</td></tr>
<tr><td>Nicholas Hutchinson</td><td>2/4</td></tr>
<tr><td>Joseph Choge</td><td>2/4</td></tr>
<tr><td>Isabella Ochola Wilson</td><td>4/4</td></tr>
<tr><td>Jinaro Kibet</td><td>4/4</td></tr>
</table>
</td><td>• Human Resources Management strategy
• Human Resource policies
• Performance management.
• Staff remuneration and benefits
• Staff development plans
• Succession planning</td></tr>
<tr><td colspan="3">Key deliberations:
• Talent Management and transition planning.
• Organisation structure and establishment.
• HR Strategy review.
• Learning and development.
• Review of HR Matrix
• Leadership development
• Review of management reports
• Re-designing of staff pension scheme
• Review of HR efficiencies and effectiveness
• 2020-2021 variable pay proposal
• Staff pension schemes
• Update on the recruitment policy</td></tr>
</table>

Company Secretary

The Company Secretary provides a central source of guidance and advice to the Board on matters of ethics, statutory compliance, compliance with the regulators and good governance.

The Company Secretary is appointed by the Board and is responsible for ensuring adherence to the proper governance of the Company, proper and effective functioning of the Board and integrity of the Board governance process. In addition to the statutory duties of the Company Secretary, she provides the Board as a whole and Directors individually with detailed guidance as to how their responsibilities should be discharged.

The Company Secretary is also responsible for facilitating good information flow within the Board and its committees and between the Directors and management, The performance of the Company Secretary is assessed by the Board as part of the annual Board evaluation process.

The Company Secretary is a member in good standing with the Institute of Certified Secretaries (ICS).

Role of the Company Secretary

- Providing a central source of guidance and advice to the Board and the Company, on matters of statutory and regulatory compliance and good governance;
- Providing the Board and the Directors individually with guidance on how their responsibilities should be discharged in the best interests of the Company;
- Facilitating the induction training of new Directors and assisting with the Directors' professional development as required. This includes identifying and facilitating continuous Board education;
- In consultation with the GMD and the Chairman, ensuring effective flow of information within the Board and its committees and between senior management and Non- Executive Directors. This includes timely compilation and distribution of Board papers and minutes, as well as communication of resolutions from Board meetings;
- Guiding the company in taking the initiative to not only disclose corporate governance matters as required by law, but also information of material importance to decision making by shareholders, customers and other stakeholders;
- Keeping formal records of Board discussions and following-up on the timely execution of agreed actions.
- Seeing to the proper development of Board meetings and providing directors with clear advice and information.
- Assisting the Chairman in ensuring that regular assessments on the effectiveness of the Board and its committees, as well as the contribution of individual Directors, are carried out.

PART 4:
RISK MANAGEMENT

Risk management roles and responsibilities

The risk management and control model deployed by the Group is based on principles which are aligned with the Group's strategy and consider, the regulatory and supervisory requirements, as well as the best market practices. These principles, combined with a series of relevant interrelated tools and processes in the Group's strategy planning make up our risk management and control framework.

The Board is responsible, with the assistance of the Committees, for overseeing the implementation of, and ensuring the adequacy and effectiveness of the risk management framework and internal controls. This extends to overseeing that management is operating with due regard to the risk appetite set by the Board and making recommendations for any changes that should be made to the framework or risk appetite set by the Board.

The Audit and Risk Committee assists the Board in performing its role in relation to risk management by reviewing, at least annually, the effectiveness of Unga's enterprise risk management framework and reporting that it continues to be sound, and that management is operating with due regard to the risk appetite set by the Board.

The Committee makes recommendations to the Board following its review. An independent review of the framework is also performed periodically to assure effectiveness and continuous improvement.

The Audit and Risk Committee also annually assess that management is operating with due regard to the Risk Appetite.

The Board will consider recommendations made to mature the risk management framework and continue to oversee the effective implementation of the framework and management's efforts to effectively implement the elements.

The Audit and Risk Committee reviewed the enterprise-wide risks, including any new or emerging risks, including risks related to the recent COVID – 19 pandemic.

Management has put in place a risk management framework to monitor the risks in the business.

Internal Audit

Independent and objective assurance with respect to the Company's system of risk management, internal control and governance are provided by the internal audit function. The function maintains and improves the risk management framework, undertakes audits and other advisory services to ensure risk management across the Company and reports to the Audit and Risk Committee. The internal auditor is independent of the external auditor. The Head of Internal Audit reports functionally to the Group Managing Director.

Internal audit adopts a risk-based approach in developing annual internal audit plans to align audit activities to the key risks and control frameworks across the Company.

In addition to internal audit activities conducted by Internal Audit, audit, review, oversight and monitoring activities are undertaken across the business to provide a breadth of assurance in the management of operational, technical and environment of, health and safety risks. The findings from these assurance activities are reported through operational governance structures and to the relevant Board Committee.

Independence of auditors and non-audit services

The Audit and Risk Committee makes recommendations to the Board about the selection, appointment and independence of the Company's external auditor.

The Board has adopted a policy in relation to the provision of non-audit services by the Company's external auditor. The policy can be found as an appendix to the Audit and Risk Committee Charter. The policy requires that services which are considered to be in conflict with the role of statutory auditor are not performed by the Company's external auditor and prescribes the approval process for non-audit services where the Company's external auditor is used.

A copy of the auditor's independence declaration as required under section 774 of the Companies Act 2015 is set out on page **85 of the 2022 Annual Report.**

Governance Audit and the Legal and Compliance Audit

The Company undertakes the statutory governance audit and legal and compliance audit as stipulated in the CMA Code.

The Legal and Compliance Audit for 2021/2022 is ongoing.

The Governance Audit for 2020/2021 was done and the Report approved in 2022. The Governance audit is performed biennially and next audit will be done for the period ended 2022/2023.

LEGAL AUDIT OPINION

The Code of Corporate Governance for Issuers of Securities in Kenya requires the Boards of listed companies to ensure that a comprehensive, independent legal compliance audit is carried out at least once every two years by a legal professional in good standing with the Law Society of Kenya. The code also requires that an internal legal compliance audit is carried out on an annual basis (save when an external audit is carried out) and that the findings from the audits are acted upon and any non-compliance issues arising corrected as necessary.

Unga Group Plc (UG Plc) undertook an independent comprehensive legal and compliance audit in the 2020/2021 and 2021/2022 Financial Years. The audit was conducted by Charles B.G. Ouma, a qualified legal compliance auditor presently practicing as such with the firm of Dorion Associates LLP.

The Auditor is of the opinion that during the **2020/2021** and **2021/2022** Financial Years., UGPlc and its subsidiaries substantially complied with the requirements of the internal and external legal framework. Instances of non-compliance, none of which has been ranked as posing a serious risk to the legal health of the UG Plc have been identified and specifically reported.

....

Mr. Charles B. G. Ouma
Legal & Compliance Auditor
25th October 2022

CORPORATE GOVERNANCE STATEMENT continued

PART 5:
DIVERSITY, ETHICS AND CONDUCT

The Group values the uniqueness of people and diversity of thought particularly in relation to generational, gender, and geographical differences. Embracing diversity comes with opportunities relating to ideas, skills, competencies, experience and work ethic.

We recognize that to fully realize the Group's values, continuing to grow an inclusive culture that promotes inclusion, diversity and difference of thought is imperative.

The Board has set out to achieve a Gender diversity target and Persons with Disability target of 35% and 5% respectively. Unga has continuously made improvements to the parental leave provisions and childcare support.

The gender balance at the Board level is 40% female and 60% male.

Ethical standards and Code of Conduct

Unga's Directors, employees and contractors are expected to demonstrate high standards of business conduct and to comply with legal requirements wherever the Company operates.

The Company's Code of Ethics and Conduct, sets out Unga's values, policies and guidelines with respect to safety, business conduct, environmental and other requirements.

The Code of Conduct outlines the main requirements and behaviors expected of anyone who works for Unga.

Unga treats breaches of its policies seriously, and has an independent, externally managed whistle blowing hotline enabling employees and third parties to report misconduct confidentially.

Insider Trading Policy

This policy is used to institute structures to prevent insider dealings by the directors and management. The policy prohibits Directors, executives, and employees (as well as connected persons over whom they may be expected to have control or influence) from acquiring, selling, or otherwise trading in the Company's securities where they are in possession of material price-sensitive information which is not in the public domain. It also limits "Designated Persons" from dealing in Unga's securities during the closed period.

Through this policy, the Company endeavors to preserve the confidentiality of un-published price sensitive information and to prevent misuse of such information. The Group is committed to transparency and fairness in dealing with all stakeholders and in ensuring adherence to all laws and regulations.

The policy ensures that the Group continually and appropriately discloses all insider dealings that come to its attention. The Board is glad to report that during the year 2021/2022, there were no known or identified instances of insider trading. The policy has been published on the Group's website.

Market communication and continuous disclosure

The Company is committed to giving all shareholders timely and equal access to information concerning the Company.

The Company has developed policies and procedures to ensure that Directors and Management are aware of and fulfil their obligations in relation to the timely disclosure of material price-sensitive information.

The Company Secretary is responsible for communications with the Capital Markets Authority and the Nairobi Securities Exchange. All material information disclosed to the NSE is posted on the Company's website. This includes CMA announcements, annual reports, notices of meetings, media releases, and materials presented to investors.

The Company at its Annual General meeting held in 2020 obtained shareholder approval to hold virtual general meetings in the future. This has enabled webcasting of general meetings to all regardless of their location.

Additionally, the Company's external auditor attends Annual General Meetings to be available to answer shareholder questions relevant to the conduct of the audit. The Annual General

Meeting also provides an opportunity for any shareholder or their proxy to attend and ask questions of the Board and exercise their vote.

The Company has a well-established culture on shareholder management which is supported by the Company Secretary's office and the Shares Registrar – Custody and Registrar Services Limited.

Directors' Shareholding

Directors can purchase or sell shares of the Company in the open market. None of the Directors as at the end of financial year under review held shares in their individual capacity of more than 1% of the Company's total equity.

Shareholders

The ten largest shareholders as at 30 June 2022

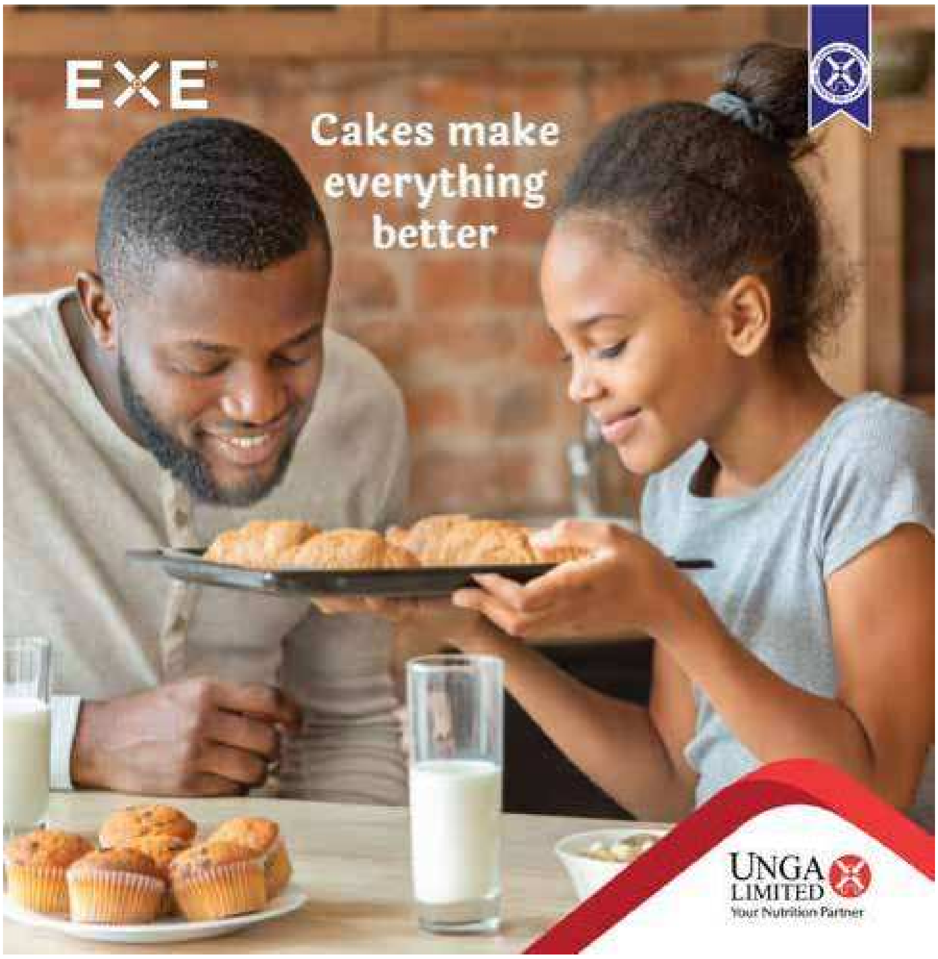
RANK	NAME	DOMICILE	TOTAL SHARES	%
1	VICTUS LIMITED	LC	38,557,190	50.93%
2	CSFS NOMINEES	LC	13,917,074	18.38%
3	INVESTMENTS & MORTGAGES NOMINEES LTD A/C 028950	LC	3,231,920	4.27%
4	BID PORTFOLIO MANAGEMENT LTD	LC	2,627,000	3.47%
5	STANDARD CHARTERED KENYA NOMINEES LTD A/C KE000954	LC	1,847,300	2.44%
6	KESTREL CAPITAL NOMINEES LIMITED A/C 009	LC	1,388,200	1.83%
7	BROADWAY BAKERY LIMITED	LC	1,149,700	1.52%
8	SHAH, DIP	LI	328,200	0.43%
9	POPAT, VIJYALAXMI JITENDRA	LI	273,000	0.36%
10	BID, CHANDRIKA KAMLESH SOMCHAND	LI	206,300	0.27%

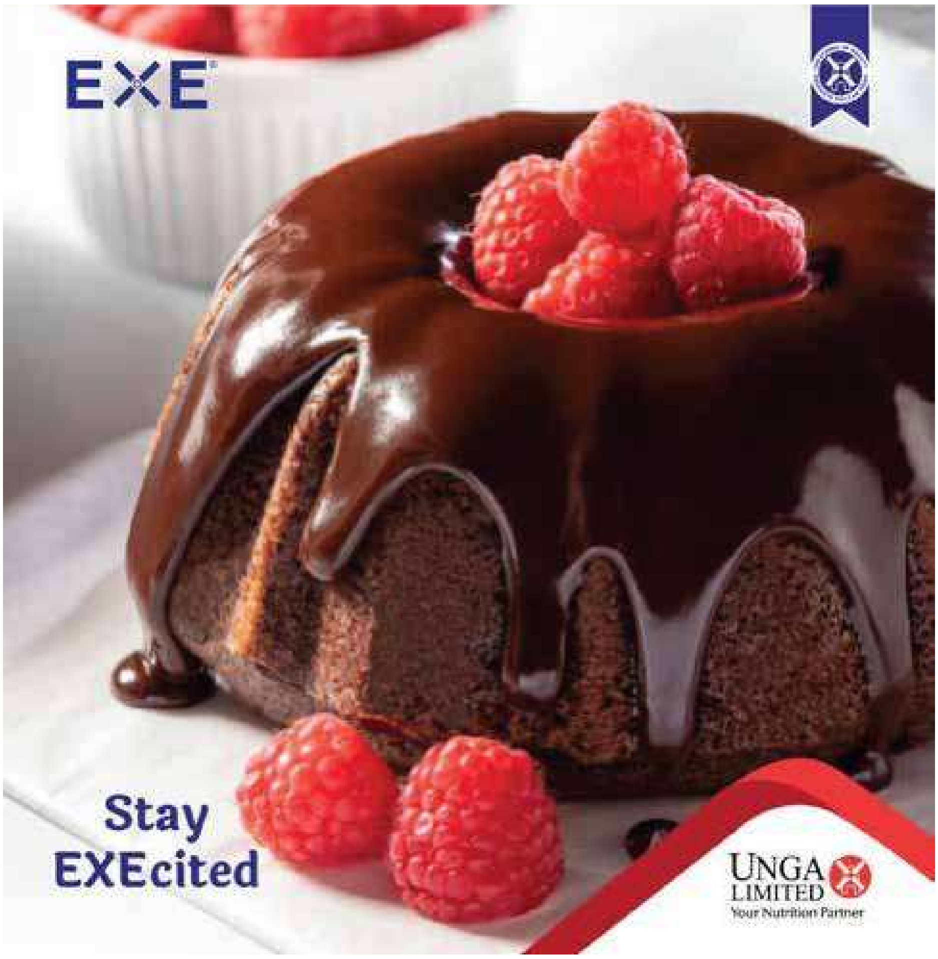
By category of shareholders

DOMICILE	SHARES	%	HOLDERS
FOREIGN COMPANIES	162,160	0.21%	7
FOREIGN INDIVIDUALS	1,449,122	1.91%	239
LOCAL COMPANIES	63,279,517	83.58%	152
LOCAL INDIVIDUALS	10,818,074	14.29%	5,777
TOTAL	75,708,873	100%	6,175

Going Concern

The Board confirms the financial statements are prepared on a going concern basis and is satisfied that the Group has adequate resources to continue in business for the foreseeable future. In making this assessment, the directors consider a wide range of information relating to present and anticipated future conditions, including future projections of profitability, cash flows, capital and other resources. This Corporate Governance Statement is current as at **September 2022** and has been approved by the Board of Unga Group Plc.


EXE
Cakes make everything better
UNGA LIMITED
Your Nutrition Partner


EXE
Stay EXEcited
UNGA LIMITED
Your Nutrition Partner

13

FINANCIAL REVIEW

The principal activities of the Group continue to be the manufacturing of human nutrition products, animal nutrition products and the distribution of animal health products.

DIRECTORS' REPORT

DIRECTORS' REPORT

The Directors submit their report together with the audited financial statements for the year ended 30 June 2022, which disclose the state of affairs of Unga Group Plc (the "Company") and its subsidiaries (together, the "Group").

PRINCIPAL ACTIVITIES

The principal activities of the Group continue to be the manufacturing of human nutrition products, animal nutrition products and the distribution of animal health products.

BUSINESS REVIEW

The Group's revenue increased by 1% while the profit after increased by 6%.

Overall operating profit was affected by reduced margins, impairment of assets and finance costs. Gains from transfer of assets to the new ventures with Nutreco helped to reduce the negative impact.

Wheat and maize prices increased during the year due to poor harvest, weakened local currency and adverse fiscal measures imposed by some of the exporting countries. Other raw material prices were also relatively high in the period.

Depreciation of the Kenya Shilling against the US Dollar impacted importation costs and led to substantial forex losses.

Credit risk remained high, but the Group continued to make every effort to accommodate its customers to ensure product availability.

Two ventures with Nutreco BV were operationalized in the year; one to expand aquafeed production and marketing capability in the region, the other to manufacture animal feed and expand the sale of feed premixes in Uganda. The Company's contribution into the ventures includes cash and transfer of assets and customer relationships. Divesture from bakery business was completed in the first half of the financial year. An impairment of Kes 492 million was booked to reflect decline in capacity utilization of wheat mills.

	As at 30 June	
	2022 **Shs'000**	2021 **Shs'000**
Revenue	18,032,334	17,812,638
Gross profit	1,409,061	1,889,074
Gross profit margin	8%	11%
Operating (loss)/ profit	(502,040)	616,202
Profit/ (loss) from discontinued operations	802,524	(13,488)
Profit for the year	311,361	293,477
Total assets	**10,287,650**	**10,048,779**

RESULTS AND DIVIDEND

The profit attributable to equity holders of Shs 187,414,000 (2021: Shs 179,175,000) has been added to retained earnings. The directors do not recommend payment of dividend in respect of the financial year (2021: Nil).

In view of the need to ensure existing businesses maintain healthy liquidity levels in the current tough economic conditions, Directors do not recommend the payment of a dividend.

DIRECTORS

The directors who served during the year and to the date of this report are set out on pages 24 to 27.

DISCLOSURES TO AUDITORS

The directors confirm that with respect to each director at the time of approval of this report:

a) there was, as far as each director is aware, no relevant audit information of which the company's auditor is unaware; and

(b) each director had taken all steps that ought to have been taken as a director so as to be aware of any relevant audit information and to establish that the company's auditor is aware of that information.

TERMS OF APPOINTMENT OF AUDITORS

PricewaterhouseCoopers LLP continue in office in accordance with the Company's Articles of Association and Section 721 of the Companies Act, 2015.

The Board Audit and Risk Committee monitors the effectiveness, objectivity and independence of the auditor. This responsibility includes the approval of the audit engagement contract and fees.

APPROVAL OF FINANCIAL STATEMENTS

The financial statements were approved by the Board of Directors on 29 September 2022.

By order of the Board

W Jumba

Winniefred N Jumba

SECRETARY

DIRECTORS'
REMUNERATION REPORT
FOR THE YEAR ENDED 30 JUNE 2022

1.0 ANNUAL STATEMENT BY THE CHAIRMAN OF THE BOARD NOMINATIONS AND REMUNERATION COMMITTEE

Dear Shareholder

Directors' Remuneration Report for the year ended 30 June 2022.

This Report complies with regulations contained in the tenth schedule of the Companies Act 2015 ("the Act") in relation to quoted companies Directors' Remuneration Report and the Capital Markets Code of Corporate Governance for Issuers of Securities ("The CMA Code").

This Report contains:
- The background information on the Committee's members and roles;
- A highlight of the current directors' remuneration policy which was approved at the 2018 AGM; and
- The annual remuneration report, describing how the remuneration policy has been put in practice during the year ended 30 June 2022 and how it will be implemented in the year ending 30 June 2023.

Role of the Committee

The members of BNRC during the year were Mr Patrick Obath (Chairman), Mrs Isabella Ochola-Wilson, Mr Jinaro Kibet and Mr Andrew Ndegwa. All members are Non-Executive Directors and Mr Patrick Obath was determined by the Board to be independent throughout the year.

During the year, the Committee met five times. Details of attendance at meetings by Committee members are shown in the Corporate Governance section of the Integrated Report.

The Committee has specific terms of reference which are placed on the Group's website at www.unga-group.com. It considers and recommends to the Board the Group's remuneration policy and agrees the individual remuneration package for the Group Managing Director.

Our remuneration principles

The Board Nominations and Remuneration Committee in union with the Board Human Resources Committee were guided by the Group's remuneration principles in decision making during the year. This was mainly geared towards ensuring that the remuneration structures are designed in a way that enables the right outcomes for the business in line with its long-term strategy, making sure that we have the best people in place to deliver the strategy and ensuring that its executive pay is appropriate in the wider context in which the business operates.

Similar to many listed companies, the Group needs to attract and retain the best people to lead our business in an increasingly competitive marketplace. Remuneration is a key part of our offering and the significant market pay differential within the manufacturing industry continues to be challenging. We continue to monitor external practices across our key strategic markets and set out our remuneration policy and practices in a way that provides appropriate risk and reward, delivering market competitive packages in return for high performance against the company's strategic objectives and stretching performance targets.

DIRECTORS' REMUNERATION REPORT (Cont'd)

Value creation and pay for performance is at the center of our remuneration policy and practices. The success of the Group depends upon the performance and commitment of talented employees. The Group's reward programs support and drive its business strategy and reinforce its values. The principles for setting executive remuneration are outlined below in more detail.

Delivery of Business Strategy	Sustainable performance	Competitive remuneration	Alignment with shareholder interests
The remuneration plans reward the delivery of our business strategy and performance targets. Although target remuneration levels are aligned to the market, excellent performance by both the Group and by the individual executive director is rewarded with bonus incentive plans. Performance measures are reviewed regularly and are set relative to the Company's growth plans.	A portion of remuneraton is delivered in variable pay linked to business and individual performance. Performance against targets is assessed in the context of underlying business performance and the quality of earnings.	Competitive reward that reflects the nature of the Group and enables it to attract and retain talented executives of the highest quality. Executive decisions are made in the context of the broader external environment.	A strong performance-oriented culture relates directly to the performance of the Group as a whole and shareholders' interests.

Executive Directors

Target remuneration levels for the executive directors are set with reference to individual experience as well as the pay levels in the Group's competitors with business characteristics similar to the Group such as scope of operations, complexity and size (both in financial terms and with regard to numbers of employees) and represent organisations which compete alongside the Group for talent.

Other Employees

The Group considers the remuneration policy in the context of all Group employees.

Base salaries of employees are determined in a similar way to those of executive directors. The Group's approach is to ensure that target total compensation is bench marked to the relevant market in which the individual is employed. Potential total compensation is set at the 50th quartile for excellent individual and business performance.
In addition:

- All employees are eligible to receive a bonus dependent upon performance and their contractual position. The bonus is premised on an approved variable pay payout model;
- Core benefits are provided to all employees based on prevailing regulations and competitive practice. These include retirement benefits, medical insurance, life assurance and annual leave;
- The Group is keen that an element of each employee's total compensation is performance related. The proportion of this variable compensation (which is delivered through bonus) increases with seniority.

DIRECTORS' REMUNERATION REPORT (Cont'd)

Approach to recruitment remuneration

The BNRC's overarching principle for recruitment remuneration is to pay no more than is necessary to attract an Executive of the caliber required to shape and deliver Unga's business strategy in recognition that Unga competes for talent in the marketplace. The Committee seeks to align the remuneration package with Unga's remuneration policy as laid out but retains the discretion to offer a remuneration package which is necessary to meet the individual circumstances of the recruited Executive and to enable hiring of an individual with the necessary skills and expertise. However, variable pay will follow the policy. In case an internal candidate is promoted to Executive position, legacy terms and conditions would be honoured, including pension entitlements and any outstanding awards.

Service contracts and policy on payment for loss of office

Executives have rolling employment contracts. The contracts provide for payment of outstanding pay and bonus, or termination following changes in the Group.

Overview of Remuneration in 2022

	Key features	Purpose and link to strategy	Implementation in 2021
Salary	• Reviewed annually in July of every year. • Salaries take account of external market and internal employee context.	• Supports the attraction and retention of talent with the capacity to deliver Unga's strategy.	• There was a 6% COLA increase awarded for all qualifying employees during the year. • Supported by a comprehensive review of total target remuneration versus the external market.
Allowances and benefits	• Provision of competitive benefits. • Maximum Company pension contribution is 6% (7.5% of base salary for other employees.	• Provision of market competitive and cost-effective benefits supports attraction and retention of talent.	• Changed from prior year: - 7.5 % of salary for new GMD in line with all employees. Previously 6% in line with Seaboard policy.
Annual incentive	• Performance bonus. • Paid out in cash after the end of the financial year.	• Incentivises delivery of Unga's annual financial and strategic targets. • Provides focus on key financial metrics and the individual's contribution to the Company's performance.	• There was no bonus payout for 2022 financial year as the Company did not meet its operational targets.
Long term incentives	There is presently no long-term incentive scheme within the Group.	• Rewards long-term consistent performance in line with Unga's Business strategy. • Provides focus on delivering superior long-term returns to the shareholders.	• Leadership Development Program
Shareholding requirement	There is presently no Employee Share Ownership Plan.	• Ensure alignment between the interests of Executive Directors and shareholders	• N/A

DIRECTORS'
REMUNERATION REPORT (Cont'd)

Commentary on Significant Changes to Directors Remuneration

During the year, the Committee's work was centred on overseeing the implementation of the policy.

The Board undertakes a review on the adequacy of the policy each year to ensure that it supports the Company's Strategy.

The Board is satisfied that the current remuneration policy continues to be appropriate for the Company and will support the implementation of the Group's short term and long-term objectives and therefore there were no significant changes to the Directors Remuneration.

Statement of Voting on the Directors Remuneration Report at the previous Annual General Meeting.

During the Annual General Meeting held on 10 December 2021, the shareholders in attendance approved the Directors' Remuneration policy and Directors' Remuneration Report for the year ended 30 June 2021.

At the Annual General Meeting to be held on 8 December 2022, the shareholders will also consider the Directors' Remuneration Report for the year ended 30 June 2022.

The results on voting were as follows:

	RESOLUTION	Voted in Favour	% In Favour	Voted Against	% Against	Abstained	% Abstained	RESULT
7.a)	Directors Remuneration To approve the Directors' Remuneration Policy as shown in the audited Financial Statements for the year ended 30 June 2021	52,462,109	88.21%	7,007,183	11.78%	1,625	0.00%	PASSED
7.b)	To approve the Directors' Remuneration Report as shown in the audited Financial Statements for the year ended 30 June 2021	52,462,634	88.22%	7,006,436	11.78%	1,847	0.00%	PASSED

The Current Directors' Remuneration Policy and Strategy

Current Policy

The current Directors' Remuneration Policy was tabled and approved by the shareholders at the Company's Annual General Meeting held on 6 December 2018 and has remained unchanged.

The principles which underpin the remuneration of the Non-Executive Directors (NEDs) are as follows:-

a) The Company should remunerate its Directors fairly and responsibly.
b) The remuneration should be sufficient to attract, motivate and retain directors to run the Company effectively.
c) The remuneration should be consistent with recognised best practice standards and is competitive in line with remuneration for other directors in competing sectors.
d) The remuneration should reflect the Directors' responsibilities, expertise and the complexity of the Company's activities.

The directors have not recommended any change to the remuneration policy for the year ending 30 June 2022.

Payments to past Directors

There was no payment of Directors' fees to past Directors during the year.

Approval by shareholders

As per section 681 (4) of the Companies Act, 2015, the Directors Remuneration Report has been presented to the members for approval.

2.0 INFORMATION SUBJECT TO AUDIT

The following table shows a single figure remuneration for the Executive Director, Chairman and Non-Executive Directors in respect of qualifying services for the year ended 30 June 2022 together with the comparative figures for 2021. The aggregate Directors' emoluments are shown in Note 31(iv) of the audited financial statements.

Year ended 30 June 2022	Salary Shs 000	Fees Shs 000	Bonuses Shs 000	Expense allowances Shs 000	Loss of office/ Termination Shs 000	Estimated value for non-cash benefits Shs 000	Total Shs 000
Nicholas Hutchinson	24,912	-	-	111	-	12,250	37,273
Joseph M Choge	29,342	-	-	5,995	-	-	35,337
Isabella Ochola Wilson	-	4,368	-	-	-	-	4,368
Alan McKittrick	-	2,118	-	-	-	-	2,118
Andrew S Ndegwa**	-	2,532	-	-	-	-	2,532
Patrick Obath	-	3,132	-	-	-	-	3,132
Jinaro Kipkemoi Kibet	-	2,802	-	-	-	-	2,802
Vitalis Ondeke Ojode	-	2,022	-	-	-	-	2,022
Shilpa Haria	-	2,094	-	-	-	-	2,094
Maureen W Miring'u	-	2,412	-	-	-	-	2,412
Wangari Murugu	-	2,412	-	-	-	-	2,412
Patrick Mugambi**	-	288	-	-	-	-	288
	54,254	**24,180**	**-**	**6,106**	**-**	**12,250**	**96,790**

Year ended 30 June 2021	Salary Shs 000	Fees Shs 000	Bonuses Shs 000	Expense allowances Shs 000	Loss of office/ Termination Shs 000	Estimated value for non-cash benefits Shs 000	Total Shs 000
Nicholas Hutchinson	25,313	-	-	1,157	-	9,467	35,937
Isabella Ochola Wilson	-	3,972	-	-	-	-	3,972
Alan McKittrick	-	2,604	-	-	-	-	2,604
Andrew S Ndegwa**	-	2,706	-	-	-	-	2,706
Patrick Obath	-	2,592	-	-	-	-	2,592
Jinaro Kipkemoi Kibet	-	2,004	-	-	-	-	2,004
Vitalis Ondeke Ojode	-	2,004	-	-	-	-	2,004
Shilpa Haria	-	2,076	-	-	-	-	2,076
Maureen W Miring'u	-	2,472	-	-	-	-	2,472
Wangari Murugu	-	2,472	-	-	-	-	2,472
Patrick Mugambi**	-	288	-	-	-	-	288
	25,313	**23,190**	**-**	**1,157**	**-**	**9,467**	**59,127**

DIRECTORS' REMUNERATION REPORT (Cont'd)

**Payment for qualifying services provided by Andrew Ndegwa and Patrick Mugambi as stated in the tables above was made to First Chartered Securities Limited.*

The Annual Remuneration Report will be put forward for your consideration and approval by vote at the AGM to be held on 8 December 2022.

We were pleased to receive a strong vote in favour of our remuneration policy report last year. I highly value the engagement from our shareholders and look forward to welcoming you and receiving your support again at the AGM this year.

On behalf of the Board of Directors

Patrick Obath
Chairman, Nominations and Remuneration Committee
29 September 2022

STATEMENT OF DIRECTORS' **RESPONSIBILITIES**

FOR THE YEAR ENDED 30 JUNE 2022

The Kenyan Companies Act 2015 requires the directors to prepare financial statements for each financial year which give a true and fair view of the financial position of the Company at the end of the financial year and its financial performance for the year then ended. The directors are responsible for ensuring that the Company keeps proper accounting records that are sufficient to show and explain the transactions of the Company; disclose with reasonable accuracy at any time the financial position of the Company; and that enables them to prepare financial statements of the Company that comply with prescribed financial reporting standards and the requirements of the Kenyan Companies Act 2015. They are also responsible for safeguarding the assets of the Company and for taking reasonable steps for the prevention and detection of fraud and other irregularities.

The directors accept responsibility for the preparation and presentation of these financial statements in accordance with International Financial Reporting Standards and in the manner required by the Kenyan Companies Act 2015. They also accept responsibility for:

i. Designing, implementing, and maintaining such internal control as they determine necessary to enable the preparation of financial statements that are free from material misstatements, whether due to fraud or error.
ii. Selecting suitable accounting policies and applying them consistently; and
iii. Making accounting estimates and judgements that are reasonable in the circumstances.

Having assessed the Group and the Company's ability to continue as a going concern, the directors are not aware of any material uncertainties related to events or conditions that may cast doubt upon the Group and the Company's ability to continue as a going concern.

The directors acknowledge that the independent audit of the financial statements does not relieve them of their responsibilities.

Approved by the Board of Directors on 29 September 2022 and signed on its behalf by:

I Ochola - Wilson (Mrs)
Chairman

J Choge
Group managing director

INDEPENDENT AUDITOR'S REPORT TO THE SHAREHOLDERS OF UNGA GROUP Plc

Report on the audit of the financial statements

Our opinion

We have audited the accompanying financial statements of Unga Group Plc (the Company) and its subsidiaries (together, the Group) set out on pages 104 to 167 which comprise the consolidated statement of financial position as at 30 June 2022, consolidated statement of profit or loss, consolidated statement of comprehensive income, consolidated statement of changes in equity and consolidated statement of cash flows for the year then ended, together with the Company statement of financial position as at 30 June 2022, statements of profit or loss and other comprehensive income, changes in equity and cash flows for the Company for the year then ended, and the notes to the financial statements, which include significant accounting policies and other explanatory information.

In our opinion the accompanying financial statements of Unga Group Plc give a true and fair view of the financial position of the Group and the Company at 30 June 2022 and of their financial performance and cash flows for the year then ended in accordance with International Financial Reporting Standards and the requirements of the Companies Act, 2015.

Basis for opinion

We conducted our audit in accordance with International Standards on Auditing (ISAs). Our responsibilities under those standards are further described in the *Auditor's responsibilities for the audit of the financial statements* section of our report.

We are independent of the company in accordance with the International Code of Ethics for Professional Accountants (including International Independence Standards) issued by the International Ethics Standards Board for Accountants (IESBA Code) together with the ethical requirements that are relevant to our audit of the financial statements in Kenya. We have fulfilled our other ethical responsibilities in accordance with the IESBA Code.

We believe that the audit evidence we have obtained is sufficient and appropriate to provide a basis for our opinion.

Key audit matters

Key audit matters are those matters that, in our professional judgement, were of most significance in our audit of the consolidated financial statements of the current period. These matters were addressed in the context of our audit of the consolidated financial statements as a whole, and in forming our opinion thereon, and we do not provide a separate opinion on these matters.

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Partners: E Kerich B Kimacia M Mugasa A Murage F Muriu P Ngahu B Ngunjiri R Njoroge S O Norbert's B Okundi K Saiti

INDEPENDENT AUDITOR'S REPORT TO THE SHAREHOLDERS OF UNGA GROUP Plc (cont'd)

Key audit matter	How our audit addressed the key audit matter
Impairment of property plant and equipment As explained under note 22, an impairment assessment test was carried out to assess the carrying value of milling plant and equipment included in property, plant and equipment as required by IAS 36. The test for impairment was significant to our audit because the net carrying value for the assets amounting to Shs 830 million is material to the financial statements and also because the value-in-use calculations prepared by management for assessing whether there is impairment involve the use of significant estimates and assumptions. The assumptions with the most significant impact to the value in use calculations are: • Volume growth rate • Gross profit margin • The discount rate • Selling General & Aministrative (SG&A) cost as a percentage of revenue	We evaluated management's value-in-use calculations based on the historical performance of the business, approved budgets, and the macro- economic and business outlook. We tested the value-in-use calculations for accuracy and consistency and tested the key assumptions for reasonableness including sensitivity analysis. We assessed the adequacy of the disclosures in the financial statements.
Investment in Associate- Valuation of customer relationships Management finalised their investment in Tunga Nutrition (K) Limited and Tunga Nutrition (U) Limited ventures during the year. Accounting for the investment in the associates involved fair valuation of customer relationships transferred as explained in Note 33. Fair valuation of customer relationships is considered a key audit matter because there are significant assumptions and estimates involved in the fair value calculations and the amounts calculated are material to the financial statements. The assumptions with the most significant impact to the fair value calculations are: • Projected customer relationships life • Revenue growth rate • Customer attrition rate • Net margin projection • The discount rate • Contributory asset charge	We evaluated management's fair value calculations based on the historical performance of the respective businesses, approved budgets, and the macro-economic and industry outlook. We tested the fair value calculations for accuracy and consistency and tested the key assumptions for reasonableness including sensitivity analysis. We assessed the adequacy of the disclosures in the financial statements

INDEPENDENT AUDITOR'S REPORT TO THE SHAREHOLDERS OF UNGA GROUP Plc (cont'd)

Other information

The other information comprises the Corporate Information, Chairman's Statement, Group Managing Director's Statement, Directors' report, Directors' remuneration report, and the Statement of Directors' Responsibilities which we obtained prior to the date of this auditor's report, and the rest of the other information in the Annual Report which are expected to be made available to us after that date but does not include the financial statements and our auditor's report thereon. The directors are responsible for the other information. Our opinion on the financial statements does not cover the other information and, except to the extent otherwise explicitly stated in this report, we do not and will not express any form of assurance conclusion thereon.

In connection with our audit of the financial statements, our responsibility is to read the other information identified above and, in doing so, consider whether the other information is materially inconsistent with the financial statements, or our knowledge obtained in the audit, or otherwise appears to be materially misstated.

If, based on the work we have performed on the other information we have received prior to the date of this auditor's report we conclude that there is a material misstatement of this other information, we are required to report that fact. We have nothing to report in this regard.

When we read the rest of the other information in the Annual Report and we conclude that there is a material misstatement therein, we are required to communicate the matter to those charged with governance.

Responsibilities of the directors for the financial statements

The directors are responsible for the preparation of financial statements that give a true and fair view in accordance with International Financial Reporting Standards and the requirements of the Companies Act, 2015, and for such internal controls as the directors determine is necessary to enable the preparation of financial statements that are free from material misstatement, whether due to fraud or error.

In preparing the financial statements, the directors are responsible for assessing the Group's ability to continue as a going concern, disclosing, as applicable, matters related to going concern and using the going concern basis of accounting unless the directors either intend to liquidate the Group or to cease operations, or have no realistic alternative but to do so.

Auditor's responsibilities for the audit of the financial statements

Our objectives are to obtain reasonable assurance about whether the financial statements as a whole are free from material misstatement, whether due to fraud or error, and to issue an auditor's report that includes our opinion. Reasonable assurance is a high level of assurance but is not a guarantee that an audit conducted in accordance with ISAs will always detect a material misstatement when it exists. Misstatements can arise from fraud or error and are considered material if, individually or in the aggregate, they could reasonably be expected to influence the economic decisions of users taken on the basis of these financial statements.

INDEPENDENT AUDITOR'S REPORT TO THE SHAREHOLDERS OF UNGA GROUP Plc (cont'd)

As part of an audit in accordance with ISAs, we exercise professional judgement and maintain professional scepticism throughout the audit. We also:

- Identify and assess the risks of material misstatement of the financial statements, whether due to fraud or error, design and perform audit procedures responsive to those risks, and obtain audit evidence that is sufficient and appropriate to provide a basis for our opinion. The risk of not detecting a material misstatement resulting from fraud is higher than for one resulting from error, as fraud may involve collusion, forgery, intentional omissions, misrepresentations, or the override of internal control.
- Obtain an understanding of internal control relevant to the audit in order to design audit procedures that are appropriate in the circumstances, but not for the purpose of expressing an opinion on the effectiveness of the Group's internal control.
- Evaluate the appropriateness of accounting policies used and the reasonableness of accounting estimates and related disclosures made by the directors.
- Conclude on the appropriateness of the directors' use of the going concern basis of accounting and, based on the audit evidence obtained, whether a material uncertainty exists related to events or conditions that may cast significant doubt on the Group's ability to continue as a going concern. If we conclude that a material uncertainty exists, we are required to draw attention in our auditor's report to the related disclosures in the financial statements or, if such disclosures are inadequate, to modify our opinion. Our conclusions are based on the audit evidence obtained up to the date of our auditor's report. However, future events or conditions may cause the Group to cease to continue as a going concern.
- Evaluate the overall presentation, structure and content of the financial statements, including the disclosures, and whether the financial statements represent the underlying transactions and events in a manner that achieves fair presentation.
- Obtain sufficient appropriate audit evidence regarding the financial information of the entities or business activities within the Group to express an opinion on the Group's financial statements. We are responsible for the direction, supervision and performance of the Group audit. We remain solely responsible for our audit opinion.

We communicate with the directors regarding, among other matters, the planned scope and timing of the audit and significant audit findings, including any significant deficiencies in internal control that we identify during our audit.

We also provide the directors with a statement that we have complied with relevant ethical requirements regarding independence, and to communicate with them all relationships and other matters that may reasonably be thought to bear on our independence, and where applicable, related safeguards.

From the matters communicated with the directors, we determine those matters that were of most significance in the audit of the financial statements of the current period and are therefore the key audit matters. We describe these matters in our auditor's report unless law or regulation precludes public disclosure about the matter or when, in extremely rare circumstances, we determine that a matter should not be communicated in our report because the adverse consequences of doing so would reasonably be expected to outweigh the public interest benefits of such communication.

INDEPENDENT AUDITOR'S REPORT TO THE SHAREHOLDERS OF UNGA GROUP Plc (cont'd)

Report on other matters prescribed by the Companies Act, 2015

Report of the directors

In our opinion the information given in the directors' report on pages 90 - 91 is consistent with the financial statements.

Directors' remuneration report

In our opinion the auditable part of the directors' remuneration report on page 96 has been properly prepared in accordance with the Companies Act, 2015.

Bernice Kimacia

CPA Bernice Kimacia – Practising Certificate No. 1457
Engagement partner responsible for the audit

For and on behalf of PricewaterhouseCoopers LLP
Certified Public Accountants
Nairobi

29 September 2022

CONSOLIDATED STATEMENT
OF PROFIT OR LOSS

	Notes	As at 30 June 2022 Shs'000	As at 30 June 2021 Shs'000
Revenue from contracts with customers	5	18,032,334	17,812,638
Cost of sales		(16,623,273)	(15,923,564)
Gross profit		1,409,061	1,889,074
Other income	8	115,241	24,738
Selling and distribution costs		(772,252)	(819,651)
Administrative expenses		(1,254,090)	(477,959)
Operating (loss)/ profit	11	(502,040)	616,202
Share of profit in associate	33	7,429	-
Finance income	10	41,079	19,597
Finance costs	10	(267,446)	(150,567)
(Loss)/ profit before income tax		(720,978)	485,232
Income tax expense/ (credit)	13	229,815	(178,267)
(Loss)/ profit from continuing operations		(491,163)	306,965
Profit/ (loss) from discontinuing operations	32	802,524	(13,488)
Profit for the year		311,361	293,477
Attributable to:			
Owners of the parent		187,414	179,175
Non-controlling interests		123,947	114,302
		311,361	**293,477**
(Loss)/ earnings per share attributable to owners of the Company (expressed in Kenya shilling).			
Basic and diluted (loss)/ earnings per share	6	2.48	2.37
Continuing operations		(4.41)	2.49
Discontinuing operations		6.89	(0.12)

CONSOLIDATED STATEMENT **OF PROFIT OR LOSS**

	Notes	As at 30 June 2022 Shs'000	2021 Shs'000
Profit for the year		311,361	293,477
Other comprehensive income for the year			
Items that will not be subsequently reclassified to profit or loss			
Re-measurement of retirement benefit scheme asset	27	12,724	23,031
Deferred income tax thereon		(3,817)	(6,909)
Items that may be reclassified to profit or loss			
Currency translation differences on foreign operations		(8,368)	(10,838)
Total other comprehensive loss income for the year		539	5,284
Total comprehensive income for the year		311,900	298,761
Attributable to;			
Owners of the parent		187,765	187,304
Non-controlling interest		124,135	111,457
		311,900	**298,761**

COMPANY STATEMENT OF PROFIT OR LOSS AND OTHER COMPREHENSIVE INCOME

	Notes	As at 30 June 2022 Shs'000	 2021 Shs'000
Interest income	10	32	56
Administrative expenses		(55,219)	(35,815)
Loss before income tax	11	(55,187)	(35,759)
Income tax expense		-	-
Loss for the year		(55,187)	(35,759)
Other comprehensive income		-	-
Total comprehensive loss		(55,187)	(35,759)

CONSOLIDATED STATEMENT OF **FINANCIAL POSITION**

ASSETS	Notes	As at 30 June 2022 Shs'000	2021 Shs'000
Non-current assets			
Property, plant and equipment	22	2,889,340	3,524,311
Investment in associate	33	1,358,240	-
Right-of-use assets	23	187,906	130,667
Intangible asset	24	12,518	14,026
Deferred income tax	18	4,716	4,716
Retirement benefits scheme asset	27	29,494	43,698
		4,482,214	3,717,418
Current assets			
Inventories	19	2,054,442	2,461,724
Trade and other receivables	20	2,940,205	2,047,381
Current income tax		76,070	16,620
Cash and bank balances	29	734,719	1,521,050
		5,805,436	6,046,775
Assets held for sale	32	-	284,586
TOTAL ASSETS		10,287,650	10,048,779
EQUITY AND LIABILITIES			
Capital and reserves			
Share capital	14	378,535	378,535
Share premium	14	73,148	73,148
Other reserves	15	(32,818)	(33,169)
Retained earnings		3,996,859	3,809,445
		4,415,724	4,227,959
Non-controlling interests	16	2,286,090	2,161,955
Total equity		6,701,814	6,389,914
LIABILITIES			
Non-current liabilities			
Deferred income tax	18	137,078	363,062
Borrowings	17	-	558,162
Lease liabilities	23	24,451	-
		161,529	921,224
Current liabilities			
Post-employment benefits obligation	27	-	14,010
Trade and other payables	21	2,898,109	2,372,875
Current income tax		2,254	30,224
Lease liabilities	23	30,860	19,464
Borrowings	17	493,084	239,718
		3,424,307	2,676,291
Liabilities directly associated with assets classified as held for sale	32	-	61,350
Total liabilities		3,585,836	3,658,865
TOTAL EQUITY AND LIABILITIES		10,287,650	10,048,779

The financial statements on pages 104 to 167 were approved for issue by the Board of Directors on 29 September 2022 and signed on its behalf by:

I Ochola- Wilson (Mrs)
Chairman

J Choge
Group managing director

COMPANY STATEMENT
OF FINANCIAL POSITION

		As at 30 June	
	Notes	**2022 Shs'000**	**2021 Shs'000**
ASSETS			
Non-current assets			
Investments in subsidiaries	25	1,297,335	1,297,335
Total non-current assets		1,297,335	1,297,335
Current assets			
Trade and other receivables	20	61,243	60,929
Cash and bank balances	29	3,001	2,990
Total current assets		64,244	63,919
TOTAL ASSETS		1,361,579	1,361,254
EQUITY AND LIABILITES			
Capital and reserves			
Ordinary shares	14	378,535	378,535
Share premium	14	73,148	73,148
Retained earnings		629,393	684,580
Total equity		1,081,076	1,136,263
Current liabilities			
Trade and other payables	21	280,503	224,991
Total current liabilities		280,503	22,991
TOTAL EQUITY AND LIABILITIES		**1,361,579**	**1,361,254**

The financial statements on pages 104 to 167 were approved for issue by the Board of Directors on 29 September 2022 and signed on its behalf by:

I Ochola- Wilson (Mrs)
Chairman

J Choge
Group managing director

CONSOLIDATED STATEMENT **OF CHANGES IN EQUITY**

	Share capital Shs '000	Share premium Shs '000	Other reserves Shs '000	Retained earnings Shs '000	Equity attributable to equity holders Shs '000	Non-controlling interests Shs '000	Total Shs '000
Year ended 30 June 2022							
At start of year	378,535	73,148	(33,169)	3,809,445	4,227,959	2,161,955	6,389,914
Profit for the year	-	-	-	187,414	187,414	123,947	311,361
Other comprehensive income for the year	-	-	351	-	351	188	539
Total comprehensive income for the year	-	-	351	187,414	187,765	124,135	311,900
At end of year	**378,535**	**73,148**	**(32,818)**	**3,996,859**	**4,415,724**	**2,286,090**	**6,701,814**

	Share capital Shs '000	Share premium Shs '000	Other reserves Shs '000	Retained earnings Shs '000	Equity attributable to equity holders Shs '000	Non-controlling interests Shs '000	Total Shs '000
Year ended 30 June 2021							
At start of year	378,535	73,148	(41,298)	3,630,270	4,040,655	2,050,498	6,091,153
Profit for the year	-	-	-	179,175	179,175	114,302	293,477
Other comprehensive income for the year	-	-	8,129	-	8,129	(2,845)	5,284
Total comprehensive income for the year	-	-	8,129	179,175	187,304	111,457	298,761
At end of year	**378,535**	**73,148**	**(33,169)**	**3,809,445**	**4,227,959**	**2,161,955**	**6,389,914**

COMPANY STATEMENT OF CHANGES IN EQUITY

	As at 30 June			
	Share Capital Shs'000	**Share Premium Shs'000**	**Retained Earnings Shs'000**	**Total Shs'000**
Year ended 30 June 2022				
At start of year	378,535	73,148	684,580	1,136,263
Total comprehensive income	-	-	(55,187)	(55,187)
At end of year	378,535	73,148	629,393	1,081,076
Year ended 30 June 2021				
At start of year	378,535	73,148	720,339	1,172,022
Total comprehensive income	-	-	(35,759)	(35,759)
At end of year	378,535	73,148	684,580	1,136,263

CONSOLIDATED STATEMENT **OF CASH FLOWS**

	Notes	2022 Shs'000	2021 Shs'000
		As at 30 June	
Operating activities			
Cash generated from operations	28	289,725	1,213,305
Income tax paid		(105,282)	(48,013)
Interest paid		(112,861)	(114,702)
Net cash flows from operating activities		71,582	1,050,590
Investing activities			
Purchase of property, plant and equipment	22	(75,023)	(141,530)
Payments for right-of-use assets	23	(26,541)	(2,700)
Investment in associates	33	(489,736)	-
Proceeds of disposal of property, plant and equipment		73,685	10,723
Net cash flows used in investing activities		(517,615)	(133,507)
Financing activities			
Repayments of borrowings	17	(304,796)	(31,821)
Payment of lease liabilities	23	(27,321)	(27,289)
Net cash flows used in financing activities		(332,117)	(59,110)
Net (decrease)/ increase in cash and cash equivalents		(778,150)	857,973
Movement in cash and cash equivalents			
At start of year		1,521,050	661,486
(Decrease)/increase		(778,150)	857,973
Effects of exchange rate changes		(8,181)	1,591
At end of year	29	734,719	1,521,050

COMPANY STATEMENT OF CASH FLOWS

	Notes	As at 30 June 2022 Shs'000	2021 Shs'000
Operating activities			
Cash generated from operations	28	11	28
Income tax paid		-	-
Net cash from operating activities		11	28
Net increase in cash and cash equivalents		11	28
Movement in cash and cash equivalents			
At start of year		2,990	2,962
Increase		11	28
At end of year	29	3,001	2,990

NOTES

1 General information

Unga Group Plc is incorporated in Kenya under the Companies Act as a limited liability company and is domiciled in Kenya. The address of its registered office is:

Plot No. 209/6841
Ngano House, Commercial Street
Industrial Area
P O Box 30096, 00100
Nairobi

2 Significant accounting policies

The principal accounting policies applied in the preparation of these consolidated financial statements are set out below. These policies have been consistently applied to all the years presented, unless otherwise stated.

(a) Basis of preparation

The financial statements have been prepared in accordance with International Financial Reporting Standards ("IFRS"). The measurement basis applied is the historical cost basis. All values are shown in thousands of Kenya Shillings.

The preparation of financial statements in conformity with IFRS requires the use of certain critical accounting estimates. It also requires management to exercise its judgement in the process of applying the Group's accounting policies. The areas involving a higher degree of judgement or complexity, or where assumptions and estimates are significant to the financial statements, are disclosed in Note 3.

Changes in accounting policy and disclosures

i) New standards, amendments and interpretations adopted by the Group and Company

number of amendments to standards became effective for the first time in the financial year beginning 1 July 2021 and have been adopted by the Company. The amendments have not had a significant impact on the financial statements of the Group and Company. They include:

IFRS 16, 'Leases' COVID-19-Related Rent Concessions Amendment.

Effective date: Annual periods beginning on or after 1 April 2021. (Early adoption is permitted). (Published March 2021).

The IASB has provided lessees (but not lessors) with relief in the form of an optional exemption from assessing whether a rent concession related to COVID-19 is a lease modification, provided that the concession meets certain conditions. On 31 March 2021, the IASB published an additional amendment to extend the date of the practical expedient from 30 June 2021 to 30 June 2022. Lessees can elect to account for such rent concessions in the same way as they would if they were not lease modifications. In many cases, this will result in accounting for the concession as variable lease payments in the period(s) in which the event or condition that triggers the reduced payment occurs. The March 2021 amendment will only be available if an entity chose to apply the May 2020 optional practical expedient.

Adoption of the standard does not have a significant impact on the Group and Company.

ii) New and revised standards that have been issued but are not yet effective

The Company has not applied any of the new or revised Standards and Interpretations that have been published but are not yet effective for the year beginning 1 July 2021, and the Directors do not plan to apply any of them until they become effective.

2 Summary of significant accounting policies (continued)

Annual improvements cycle 2018 -2020

These amendments include minor changes to:

- IFRS 1, 'First time adoption of IFRS' has been amended for a subsidiary that becomes a first-time adopter after its parent. The subsidiary may elect to measure cumulative translation differences for foreign operations using the amounts reported by the parent at the date of the parent's transition to IFRS.
- IFRS 9, 'Financial Instruments' has been amended to include only those costs or fees paid between the borrower and the lender in the calculation of "the 10% test" for derecognition of a financial liability. Fees paid to third parties are excluded from this calculation.
- IFRS 16, 'Leases', amendment to the Illustrative Example 13 that accompanies IFRS 16 to remove the illustration of payments from the lessor relating to leasehold improvements. The amendment intends to remove any potential confusion about the treatment of lease incentives.

Effective date: Annual periods beginning on or after 1 January 2022. The Group and Company does not intend to adopt the standard before its effective date and is currently assessing the impact of the amendments on the financial statements.

Amendments to IAS 37 Onerous Contracts—Cost of Fulfilling a Contract

The amendment clarifies which costs an entity includes in assessing whether a contract will be loss-making. This assessment is made by considering unavoidable costs, which are the lower of the net cost of exiting the contract and the costs to fulfil the contract. The amendment clarifies the meaning of 'costs to fulfil a contract'. Under the amendment, costs to fulfil a contract include incremental costs and the allocation of other costs that relate directly to fulfilling the contract.

Effective date: Annual periods beginning on or after 1 January 2022. The Group and Company does not intend to adopt the standard before its effective date and is currently assessing the impact of the amendments on the financial statements.

Amendments to IAS 16 Property, Plant and Equipment: Proceeds before Intended Use

The amendment to IAS 16 prohibits an entity from deducting from the cost of an item of PPE any proceeds received from selling items produced while the entity is preparing the asset for its intended use (for example, the proceeds from selling samples produced when testing a machine to see if it is functioning properly). The proceeds from selling such items, together with the costs of producing them, are recognised in profit or loss.

Effective date: Annual periods beginning on or after 1 January 2022. The Group and Company does not intend to adopt the standard before its effective date and is currently assessing the impact of the amendments on the financial statements.

Amendment to IFRS 3, 'Business combinations' (Asset or liability in a business combination clarity)

The Board has updated IFRS 3, 'Business combinations', to refer to the 2018 Conceptual Framework for Financial Reporting, in order to determine what constitutes an asset or a liability in a business combination.

In addition, the Board added a new exception in IFRS 3 for liabilities and contingent liabilities. The exception specifies that, for some types of liabilities and contingent liabilities, an entity applying IFRS 3 should instead refer to IAS 37, 'Provisions, Contingent Liabilities and Contingent Assets', or IFRIC 21, 'Levies', rather than the 2018 Conceptual Framework.

The Board has also clarified that the acquirer should not recognise contingent assets, as defined in IAS 37, at the acquisition date. Effective date: Annual periods beginning on or after 1 January 2022. The Group and Company does not intend to adopt the standard before its effective date and is currently assessing the impact of the amendments on the financial statements.

Amendment to IAS 1, 'Presentation of Financial Statements' on Classification of Liabilities as Current or Non-current

The amendment clarifies that liabilities are classified as either current or non-current, depending on the rights that exist at the end of the reporting period. A number of requirements are required to be met in conjunction with this amendment.

Effective date: Annual periods beginning on or after 1 January 2023. The Company does not intend to adopt the standard before its effective date and is currently assessing the impact of the amendments on the financial statements.

Amendments to IAS 12, Income Taxes: Deferred Tax related to Assets and Liabilities arising from a Single Transaction

The amendments require companies to recognise deferred tax on transactions that, on initial recognition give rise to equal amounts of taxable and deductible temporary differences.

Effective date: Annual periods beginning on or after 1 January 2023. The Group and Company does not intend to adopt the standard before its effective date and is currently assessing the impact of the amendments on the financial statements.

Narrow scope amendments to IAS 1 'Presentation of Financial Statements', Practice statement 2 and IAS 8 'Accounting Policies, Changes in Accounting Estimates and Errors'

The amendments aim to improve accounting policy disclosures and to help users of the financial statements to distinguish changes in accounting policies from changes in accounting estimates.

Effective date: Annual periods beginning on or after 1 January 2023. The Group and Company does not intend to adopt the standard before its effective date and is currently assessing the impact of the amendments on the financial statements.

(b) Consolidation

(i) Subsidiaries

Subsidiaries are all entities (including structured entities) over which the Group has control. The Group controls an entity when the Group is exposed to, or has rights to, variable returns from its involvement with the entity and has the ability to affect those returns through its power over the entity. Subsidiaries are fully consolidated from the date on which control is transferred to the Group. They are deconsolidated from the date that control ceases.

The Group applies the acquisition method to account for business combinations. The consideration transferred for the acquisition of a subsidiary is the fair values of the assets transferred, the liabilities incurred to the former owners of the acquiree and the equity interests issued by the Group. The consideration transferred includes the fair value of any asset or liability resulting from a contingent consideration arrangement. Identifiable assets acquired and liabilities and contingent liabilities assumed in a business combination are measured initially at their fair values at the acquisition date. The Group recognises any non-controlling interest in the acquiree on an acquisition-by-acquisition basis, either at fair value or at the non-controlling interest's proportionate share of the recognised amounts of acquiree's identifiable net assets

Investments in subsidiaries are accounted for at cost less impairment in parent company financial statements. Cost is adjusted to

2 Summary of significant accounting policies (continued)

(b) Consolidation (continued)

(i) Subsidiaries (continued)

reflect changes in consideration arising from contingent consideration amendments. Cost also includes direct attributable costs of investment.

The excess of the consideration transferred over the amount in the acquiree and the acquisition-date fair value over any previous equity interest in the acquiree over the fair value of the Group's share of the identifiable net assets acquired is recorded as goodwill. If this is less than the fair value of the net assets of the subsidiary acquired in the case of a bargain purchase, the difference is recognised directly in profit or loss.

Inter-Company transactions, balances and unrealised gains on transactions between Group companies are eliminated. Unrealised losses are also eliminated unless the transaction provides evidence of an impairment of the asset transferred. Accounting policies of subsidiaries have been changed where necessary to ensure consistency with the policies adopted by the Group.

(ii) Transactions and non-controlling interests

The Group treats transactions with non-controlling interests as transactions with equity owners of the Group. For purchases from non-controlling interests, the difference between any consideration paid and the relevant share acquired of the carrying value of net assets of the subsidiary is recorded in equity. Gains or losses on disposals to non-controlling interests are also recorded in equity.

When the Group ceases to have control or significant influence, any retained interest in the entity is re-measured to its fair value, with the change in carrying amount recognised in profit or loss. The fair value is the initial carrying amount for the purposes of subsequently accounting for the retained interest as an associate, joint venture or financial asset. In addition, any amounts previously recognised in other comprehensive income in respect of that entity are accounted for as if the Group had directly disposed of the related assets or liabilities. This may mean that amounts previously recognised in other comprehensive income are reclassified to profit or loss.

(c) Segment reporting

Operating segments are reported in a manner consistent with the internal reporting provided to the chief operating decision maker. The chief operating decision maker, who is responsible for allocating resources and assessing performance of the operating segments, has been identified as the steering committee that makes strategic decisions.

(d) Functional currency and translation of foreign currencies

(i) Functional and presentation currency

Items included in the financial statements of each of the Group's entities are measured using the currency of the primary economic environment in which the entity operates ('the functional currency'). The consolidated financial statements are presented in Kenya Shillings, which is the Company's functional currency.

(ii) Transactions and balances

Foreign currency transactions are translated into the functional currency of the respective entity using the exchange rates prevailing at the dates of the transactions. Foreign exchange gains and losses resulting from the settlement of such transactions and from the translation at year-end exchange rates of monetary assets and liabilities denominated in foreign currencies are recognised in profit or loss.

2 Summary of significant accounting policies (continued)

(d) Functional currency and translation of foreign currencies (continued)

(ii) Transactions and balances (continued)

Translation differences on non-monetary items, such as equities held at fair value through profit or loss are reported as part of the fair value profit or loss in profit or loss. Translation differences on non-monetary items, such as equities classified as available-for-sale financial assets are included in the fair value reserve in equity.

(iii) Group companies

The results and financial position of all the Group entities (none of which has the currency of a hyperinflationary economy) that have a functional currency different from the presentation currency are translated into the presentation currency as follows:

- Assets and liabilities for each statement of financial position presented are translated at the closing rate at the date of that statement of financial position;
- Income and expenses for each income statement are translated at average exchange rates (unless this average is not a reasonable approximation of the cumulative effect of the rates prevailing on the transaction dates, in which case income and expenses are translated at the dates of the transactions); and
- All resulting exchange differences are recognised as a separate component of equity.

On consolidation, exchange differences arising from the translation of the net investment in foreign entities are taken to statement of other comprehensive income. When a foreign operation is sold, such exchange differences are recognised in the income statement as part of the gain or loss on sale.

(e) Revenue from contracts with customers

Revenue comprises the fair value of the consideration received or receivable for the sale of goods and services in the ordinary course of the Group's activities. Revenue is shown net of value-added tax (VAT), returns, rebates and discounts and after eliminating sales within the Group.

The Group manufactures human nutrition products, animal nutrition products and distributes animal health products. Sales of goods are recognised at a point in time depending on the nature of goods and services, when the Group delivers products to the customer and there are no unfulfilled obligations that could affect the customers' acceptance of the goods. There is no variable element to the contract price, and payment, less any deposit already paid, is typically due within 30 days of delivery.

(f) Property, plant and equipment

All categories of property, plant and equipment are initially recorded at cost and subsequently depreciated. Historical cost includes expenditure that is directly attributable to the acquisition of the items.

Subsequent costs are included in the asset's carrying amount or recognised as a separate asset, as appropriate, only when it is probable that future economic benefits associated with the item will flow to the Group and the cost of the item can be measured reliably. All other repairs and maintenance are charged to the statement of comprehensive income during the financial period in which they are incurred.

Freehold land is not depreciated. Depreciation is calculated using the straight line method to

2 Summary of significant accounting policies (continued)

(f) Property, plant and equipment (continued)

(iii) Group companies (continued)

write down the cost of each asset to its residual value over its estimated useful life as follows:

Buildings on long leasehold land	2.5%
Buildings on short leasehold land	over period of lease
Computer equipment	33.3%
Plant and machinery	5 - 7.5%
Furniture and fittings	12.5%
Motor vehicles	25%
Silos	Shorter of 50 years or the unexpired period of the lease for the land on which they are built

The assets' residual values and useful lives are reviewed, and adjusted if appropriate, at the end of each reporting period. An asset's carrying amount is written down immediately to its recoverable amount if the asset's carrying amount is greater than its estimated recoverable amount.

Property, plant and equipment are reviewed for impairment whenever events or changes in circumstances indicate that the carrying amount may not be recoverable. An impairment loss is recognised for the amount by which the asset's carrying amount exceeds its recoverable amount. The recoverable amount is the higher of an asset's fair value less costs to sell and value in use. For the purposes of assessing impairment, assets are grouped at the lowest levels for which there are separately identifiable cash flows (cash-generating units). Non-financial assets that suffered impairment are reviewed for possible reversal of the impairment at each reporting date.

Gains and losses on disposals are determined by comparing the proceeds with the carrying amount and are included in profit or loss.

(g) Intangible assets

Computer software

Costs associated with maintaining computer software programmes are recognized as an expense as incurred. Development costs that are directly attributable to the design and testing of identifiable and unique software products controlled by the Group are recognized as intangible assets when the following criteria are met:

- It is technically feasible to complete the software product so that it will be available for use;
- Management intends to complete the software product and use or sell it;
- There is an ability to use or sell the software product;
- It can be demonstrated how the software product will generate probable future economic benefits;
- Adequate technical, financial and other resources to complete the development and to use or sell the software product are available; and
- The expenditure attributable to the software product during its development can be reliably measured.

2 Summary of significant accounting policies (continued)

(g) Intangible assets (continued)

Computer software (continued)

Directly attributable costs that are capitalized as part of the software product include the software development employee costs and an appropriate portion of relevant overheads. Other development expenditures that do not meet these criteria are recognized as an expense as incurred.

Developments costs previously recognized as an expense are not recognized as an asset in a subsequent period. Computer software development costs recognized as assets are amortized over their estimated useful lives, which does not exceed three years.

(h) Non-current assets (or disposal Groups) held for sale

Non-current assets (or disposal Groups) are classified as assets held for sale when their carrying amount is to be recovered principally through a sale transaction and a sale is considered highly probable. They are stated at the lower of carrying amount and fair value less costs to sell.

(i) Impairment of non-financial assets

Assets that have an indefinite useful life are not subject to depreciation or amortisation but are tested annually for impairment. Assets that are subject to depreciation or amortisation are reviewed for impairment whenever events or changes in circumstances indicate that the carrying amount may not be recoverable. An impairment loss is recognised for the amount by which the asset's carrying amount exceeds its recoverable amount. The recoverable amount is the higher of an asset's fair value less costs to sell and value in use. For the purposes of assessing impairment, assets are Grouped at the lowest levels for which there are separately identifiable cash flows (cash-generating units). Non-financial assets other than goodwill that suffered impairment are reviewed for possible reversal of the impairment at each reporting date.

(j) Inventories

Inventories are stated at the lower of cost and net realisable value. Cost comprises expenditure directly incurred in purchasing or manufacturing the inventories plus an allocation of normal overhead expenditure attributable to the processes of production hence the cost is determined using standard costs that approximate actual weighted average cost. The cost of engineering spares is determined using the weighted average cost method. Net realisable value represents the estimated selling price less all estimated costs to completion and costs to be incurred in selling and distribution. Specific provisions are made for obsolete, slow moving and defective inventories.

(k) Share capital

Ordinary shares are classified as 'share capital' in equity. Any premium received over and above the par value of the shares is classified as 'share premium' in equity.

(l) Cash and cash equivalents

Cash and cash equivalents include cash in hand, deposits held at call with banks, other short term highly liquid investments with original maturities of three months or less, and bank overdrafts. Bank overdrafts are shown within borrowings in current liabilities on the statement of financial position.

(m) Financial instruments

(i) Initial recognition

Financial instruments are recognised when, and only when, the Group becomes party to the contractual provisions of the instrument. All financial assets are recognised initially using

2 Summary of significant accounting policies (continued)

(m) Financial instruments (continued)

(i) Initial recognition (continued)

the trade date accounting which is the date the Group commits itself to the purchase or sale.

(ii) Classification

The Group classifies its financial instruments into the following categories:

a) Financial assets that are held within a business model whose objective is to hold assets in order to collect contractual cash flows, and for which the contractual terms of the financial asset give rise on specified dates to cash flows that are solely payments of principal and interest on the principal amount outstanding, are classified and measured at amortised cost;

b) Financial assets that are held within a business model whose objective is achieved by both collecting contractual cash flows and selling financial assets, and for which the contractual terms of the financial asset give rise on specified dates to cash flows that are solely payments of principal and interest on the principal amount outstanding, are classified and measured at fair value through other comprehensive income;

c) All other financial assets are classified and measured at fair value through profit or loss;

Notwithstanding the above, the Group may:

- On initial recognition of an equity investment that is not held for trading, irrevocably elect to classify and measure it at fair value through other comprehensive income; and
- On initial recognition of a debt instrument, irrevocably designate it as classified and measured at fair value through profit or loss if doing so eliminates or significantly reduces a measurement or recognition inconsistency.

d) Financial liabilities that are held for trading (including derivatives), financial guarantee contracts, or commitments to provide a loan at a below-market interest rate are classified and measured at fair value through profit or loss. The Group may also, on initial recognition, irrevocably designate a financial liability as at fair value through profit or loss if doing so eliminates or significantly reduces a measurement or recognition inconsistency.

e) All other financial liabilities are classified and measured at amortised cost.

Financial instruments held during the year were classified as shown under note *2 IFRS 9-Financial instruments*-classification and measurement above.

(iii) Initial measurement

On initial recognition:

a) Financial assets or financial liabilities classified as at fair value through profit or loss are measured at fair value.
b) Trade receivables are measured at their transaction price.
c) All other categories of financial assets and financial liabilities are measured at the fair value plus or minus transaction costs that are directly attributable to the acquisition or issue of the instrument.

(iv) Subsequent measurement

Financial assets and financial liabilities after initial recognition are measured either at amortised cost, at fair value through other comprehensive income, or at fair value through profit or loss according to their classification.

2 Summary of significant accounting policies (continued)

(m) Financial instruments (continued)

(iv) Subsequent measurement (continued)

Interest income, dividend income, and exchange gains and losses on monetary items are recognised in profit or loss.

Amortised cost is the amount at which the financial asset or liability is measured on initial recognition minus principal repayments, plus or minus the cumulative amortisation using the effective interest method of any difference between the initial amount and the maturity amount and, for financial assets, adjusted for any loss allowance.

(v) Impairment

The Group recognises a loss allowance for expected credit losses on debt instruments that are measured at amortised cost or at fair value through other comprehensive income. The loss allowance is measured at an amount equal to the lifetime expected credit losses for trade receivables and for financial instruments for which: (a) the credit risk has increased significantly since initial recognition; or (b) there is observable evidence of impairment (a credit-impaired financial asset). If, at the reporting date, the credit risk on a financial asset other than a trade receivable has not increased significantly since initial recognition, the loss allowance is measured for that financial instrument at an amount equal to 12-month expected credit losses. All changes in the loss allowance are recognised in profit or loss as impairment gains or losses.

The Group has adopted the Expected Credit Losses (ECL) model to determine the impairment of trade receivables. The Group opted to adopt the simplified approach of determining the impairment provision. This model includes some operational simplifications for trade and other receivables because they are often held by entities that do not have sophisticated credit risk management systems. These simplifications eliminate the need to calculate 12-month ECL and to assess when a significant increase in credit risk has occurred.

(vi) Presentation

All financial assets are classified as non-current except those that are held for trading, those with maturities of less than 12 months from the balance sheet date, those which management has the express intention of holding for less than 12 months from the balance sheet date or those that are required to be sold to raise operating capital, in which case they are classified as current assets.

All financial liabilities are classified as non-current except those held for trading, those expected to be settled in the Group's normal operating cycle, those payable or expected to be paid within 12 months of the balance sheet date and those which the Group does not have an unconditional right to defer settlement for at least 12 months after the statement of financial position date.

(vii) Derecognition/write off

Financial assets are de-recognised when the rights to receive cash flows from the financial asset have expired, when the Group has transferred substantially all risks and rewards of ownership, or when the Group has no reasonable expectations of recovering the asset.

Financial liabilities are de-recognised only when the obligation specified in the contract is discharged or cancelled or expires.

When a financial asset measured at fair value through other comprehensive income, other than an equity instrument, is derecognised, the cumulative gain or loss previously recognised in other comprehensive income is reclassified from equity to profit or loss as a reclassification

2 Summary of significant accounting policies (continued)

(m) Financial instruments (continued)

(vii) Derecognition/write off (continued)

adjustment. For equity investments for which an irrevocable election has been made to present changes in fair value in other comprehensive income, such changes are not subsequently transferred to profit or loss.

(viii) Offsetting

Financial assets and liabilities are offset and the net amount reported in the balance sheet only when there is a legally enforceable right to set off the recognised amounts and there is an intention to settle on a net basis, or realise the asset and settle the liability simultaneously.

(n) Leases

The Group's leasing activities and how they are accounted for

The Group leases various warehouses, office spaces and vehicles. Rental contracts are typically made for fixed periods of 6 months to 4 years but may have extension options. There are no non-lease components in the lease contracts and consideration is based on their relative stand-alone prices.

Lease terms are negotiated on an individual basis and contain a wide range of different terms and conditions. The lease agreements do not impose any covenants and there are no security interests in the leased assets that are held by the lessor.

Leases are recognised as a right-of-use asset and a corresponding liability at the date at which the leased asset is available for use by the Group. Assets and liabilities arising from a lease are initially measured on a present value basis. Lease liabilities include the net present value of the following lease payments:

- Fixed payments (including in-substance fixed payments), less any lease incentives receivable;
- Amounts expected to be payable by the group under residual value guarantees;
- The exercise price of a purchase option if the group is reasonably certain to exercise that option;
 and
- Payments of penalties for terminating the lease, if the lease term reflects the Group exercising that option.

Lease payments to be made under reasonably certain extension options are also included in the measurement of the liability.

The lease payments are discounted using the interest rate implicit in the lease. If that rate cannot be readily determined, which is generally the case for leases in the Group, the lessee's incremental borrowing rate is used, being the rate that the individual lessee would have to pay to borrow the funds necessary to obtain an asset of similar value to the right-of-use asset in a similar economic environment with similar terms, security and conditions.

The Group's leasing activities and how they are accounted for (continued)

To determine the incremental borrowing rate, the Group has used recent third-party financing received by the individual lessee as a starting point, adjusted to reflect changes in financing conditions since third party financing was received.

Lease payments are allocated between principal and finance cost. The finance cost is charged to profit or loss over the lease period so as to produce a constant periodic rate of interest on the remaining balance of the liability for each period.

Right-of-use assets are measured at cost comprising the following:

2 Summary of significant accounting policies (continued)

(n) Leases (continued)

(viii) Offsetting (continued)

- The amount of the initial measurement of lease liability;
- Any lease payments made at or before the commencement date less any lease incentives received;
- any initial direct costs; and
- Restoration costs.

Right-of-use assets are generally depreciated over the lease term on a straight-line basis. Payments associated with short-term leases of low-value assets are recognised on a straight-line basis as an expense in profit or loss. Short-term leases are leases with a lease term of 12 months or less

Extension and termination terms

Extension and termination options are included in the leases across the Group. These are used to maximise operational flexibility in terms of managing the assets used in the Group's operations. The majority of extension and termination options held are exercisable only by the Group and not by the respective lessor.

(o) Employee benefits

(i) Retirement benefit scheme assets

The Group operates defined benefit retirement schemes for its employees. Typically, defined benefit plans define an amount of pension benefit that an employee will receive on retirement, usually dependent on one or more factors such as age, years of service and compensation.

The liability/ asset recognised in the balance sheet in respect of defined benefit pension plans is the present value of the defined benefit obligation at the end of the reporting period less the fair value of plan assets. The defined benefit obligation is calculated annually by independent actuaries using the projected unit credit method. The present value of the defined benefit obligation is determined by discounting the estimated future cash outflows using interest rates of high-quality corporate bonds that are denominated in the currency in which the benefits will be paid, and that have terms to maturity approximating to the terms of the related pension obligation. In countries where there is no deep market in such bonds, the market rates on government bonds are used.

Actuarial gains and losses arising from experience adjustments and changes in actuarial assumptions are charged or credited to equity in other comprehensive income in the period in which they arise. Past-service costs are recognised immediately in income. The assets of all schemes are held in separate trustee administered funds, which are funded by contributions from both the Group and employees.

The Group employees also contribute to the appropriate National Social Security Funds, which is a defined contribution scheme.

(ii) Other post-employment obligations

The Group operates an unfunded service gratuity benefit scheme for unionisable employees based on basic salary and years of service. A provision is made for the estimated liability for such entitlements as a result of services rendered by employees up to the reporting date.

The estimated monetary liability for employees' accrued annual leave entitlement at the reporting date is recognised as an expense accrual.

(p) Dividend distribution

Dividends payable on ordinary shares are charged to retained earnings in the period in

2 Summary of significant accounting policies (continued)

which they are declared. Proposed dividends are not accrued for until ratified in an Annual General Meeting.

(q) Provisions

Provisions are recognised when: the Group has a present legal or constructive obligation as a result of past events; it is probable that an outflow of resources will be required to settle the obligation; and the amount has been reliably estimated. Provisions are not recognised for future operating losses.

Provisions are measured at the present value of the expenditures expected to be required to settle the obligation using a pre-tax rate that reflects current market assessments of the time value of money and the risks specific to the obligation. The increase in the provision due to passage of time is recognised as interest expense.

(r) Current and deferred income tax

The tax expense for the period comprises current and deferred income tax. Tax is recognised in the income statement except to the extent that it relates to items recognised in other comprehensive income or directly in equity. In this case, the tax is also recognised in other comprehensive income or directly in equity respectively.

The current income tax charge is calculated based on the tax law enacted or substantively enacted at the reporting date in the countries where the company and its subsidiaries operate and generate taxable income. The directors periodically evaluate positions taken in tax returns with respect to situations in which applicable tax regulation is subject to interpretation. They establish provisions where appropriate based on amounts expected to be paid to the tax authorities.

Deferred income tax is recognised, using the liability method, on temporary differences arising between the tax bases of assets and liabilities and their carrying values in the financial statements. However, deferred income tax is not accounted for if it arises from initial recognition of an asset or liability in a transaction other than a business combination that at the time of the transaction affects neither accounting nor taxable profit or loss. Deferred income tax is determined using tax rates and laws that have been enacted or substantively enacted at the reporting date and are expected to apply when the related deferred income tax liability is settled or asset realised.

Deferred income tax assets are recognised only to the extent that it is probable that future taxable profits will be available against which the temporary differences can be utilised.
Deferred income tax is provided on temporary differences arising on investments in subsidiaries and associates, except where the timing of the reversal of the temporary difference is controlled by the Group and it is probable that the temporary difference will not reverse in the foreseeable future.

Deferred income tax assets and liabilities are offset when there is a legally enforceable right to offset current tax assets against current tax liabilities and when the deferred income tax assets and liabilities relate to income taxes levied by the same taxation authority on either the same taxable entity or different taxable entities where there is an intention to settle the balances on a net basis.

(s) Borrowings

Borrowings are recognised initially at fair value, net of transaction costs incurred.

Borrowings are subsequently stated at amortised cost using the effective interest

2 Summary of significant accounting policies (continued)

method; any differences between proceeds (net of transaction costs) and the redemption value is recognised in the income statement over the period of the borrowings using the effective interest method.

(t) Grants

Grants are recognised at their fair value where there is a reasonable assurance that the grant will be received, and the Group will comply with all attached conditions.

(i) Revenue Grants

Grants received to compensate expenses or for the purpose of giving immediate support to the Group with no future related costs are recognised in the statement of profit or loss in the year of receipt.

(ii) Capital Grants

Where a grant is related to an asset, the grant is presented in the statement of financial position and is credited in the statement of profit or loss over the periods and in the proportions in which depreciation expense on those assets they are used to finance is recognized.

(u) Other income

Interest Income is recognised using the effective interest method.

Dividends are recognised as income in the period the right to receive payment is established.

(v) Non-current assets (or disposal groups) held for sale and discontinued operations

Non-current assets (or disposal groups) are classified as held for sale if their carrying amount will be recovered principally through a sale transaction rather than through continuing use and a sale is considered highly probable. They are measured at the lower of their carrying amount and fair value less costs to sell, except for assets such as deferred tax assets, assets arising from employee benefits, financial assets and investment property that are carried at fair value and contractual rights under insurance contracts, which are specifically exempt from this requirement.

An impairment loss is recognised for any initial or subsequent write-down of the asset (or disposal group) to fair value less costs to sell. A gain is recognised for any subsequent increases in fair value less costs to sell of an asset (or disposal group), but not in excess of any cumulative impairment loss previously recognised. A gain or loss not previously recognised by the date of the sale of the non-current asset (or disposal group) is recognised at the date of derecognition.

(v) Non-current assets (or disposal groups) held for sale and discontinued operations (continued)

Non-current assets (including those that are part of a disposal group) are not depreciated or amortised while they are classified as held for sale. Interest and other expenses attributable to the liabilities of a disposal group classified as held for sale continue to be recognised

Non-current assets classified as held for sale and the assets of a disposal group classified as held for sale are presented separately from the other assets in the balance sheet. The liabilities of a disposal group classified as held for sale are presented separately from other liabilities in the balance sheet

A discontinued operation is a component of the entity that has been disposed of or is classified as held for sale and that represents a separate major line of business or geographical area

2 Summary of significant accounting policies (continued)

of operations, is part of a single co-ordinated plan to dispose of such a line of business or area of operations, or is a subsidiary acquired exclusively with a view to resale. The results of discontinued operations are presented separately in the statement of profit or loss.

(w) Investment in joint ventures and associates

Under IFRS 11 Joint Arrangements investments in joint arrangements are classified as either joint operations or joint ventures. The classification depends on the contractual rights and obligations of each investor, rather than the legal structure of the joint arrangement.

Interests in joint ventures and associates are accounted for using the equity method, after initially being recognised at cost in the balance sheet.

Under the equity method of accounting, the investments are initially recognised at cost and adjusted thereafter to recognise the company's share of the post-acquisition profits or losses of the investee in profit or loss, and the company's share of movements in other comprehensive income of the investee in other comprehensive income. Dividends received or receivable from associates and joint ventures are recognised as a reduction in the carrying amount of the investment.

Where the company's/ group's share of losses in an equity-accounted investment equals or exceeds its interest in the entity, including any other unsecured long-term receivables, the group/ company does not recognise further losses, unless it has incurred obligations or made payments on behalf of the other entity.

Unrealised gains on transactions between the group/company and its associates and joint ventures are eliminated to the extent of the group's interest in these entities. Unrealised losses are also eliminated unless the transaction provides evidence of an impairment of the asset transferred.

The carrying amount of equity-accounted investments is tested for impairment whenever events or changes in circumstances indicate that the carrying amount may not be recoverable.

3 Critical accounting estimates and judgements

Estimates and judgements are continually evaluated and are based on historical experience and other factors, including expected future events that are believed to be reasonable under the circumstances.

(i) Critical accounting estimates and assumptions

Investment in associate

Critical estimates and assumptions have been used by management in determining the fair value of customer relationships transferred in accounting for the investment in associate. Key assumptions used are disclosed in Note 33.

Useful lives of plant and equipment and whether assets are impaired

Critical estimates are made by directors in determining the useful lives and residual values of property, plant and equipment based on the intended use and economic lives of those assets. The depreciation rates applied in the year are set out in Note 2 (f).

Subsequent changes in circumstances such as technological advances or prospective utilisation of the assets concerned could result in the actual useful lives or residual values differing from initial estimates.

The directors have prepared value-in-use calculations to test whether there is impairment on the Company's assets. Critical assumptions made by the directors in calculating the value-in-use of certain assets are set out in Note 22.

3 Critical accounting estimates and judgements (continued)

Impairment losses on financial assets

The measurement of the expected credit loss allowance for financial assets measured at armortised costs is an area that requires the use of models and significant assumptions about future economic condition and credit behavior (e.g. the likelihood of customers defaulting and the resulting losses). A number of significant judgements and estimations are also required in applying the accounting requirements for measuring ECL, such as:

The application of IFRS 9 risk parameters i.e. Probably of default (PD) and Loss given at default (LGD) for trade receivables.

Income and transaction taxes

The Group is subject to income and transaction taxes in various jurisdictions. Significant judgment is required in determining the Group's provision for income and transaction taxes. There are many transactions and calculations for which the ultimate tax determination is uncertain during the ordinary course of business. The Group recognizes liabilities for anticipated tax audit issues based on estimates of whether additional taxes will be due. Where the final tax outcome of these matters is different from the amounts that were initially recorded, such differences will impact the financial statements in the period in which such determination is made.

4 Financial risk management objectives and policies

The Group's activities expose it to a variety of financial risks, including liquidity risk, credit risk, the effects of changes in debt and equity market prices, foreign currency exchange rates and interest rates. The Group's overall risk management programme focuses on the unpredictability of financial markets and seeks to minimise potential adverse effects on its financial performance.

Financial risk management is carried out by the finance department under guidance of the Board of Directors.

Market risk

(i) Interest rate risk

Group

Interest rate risks arise from fluctuations in the bank borrowing rates. The interest rates vary from time to time depending on the prevailing economic circumstances. The Group closely monitors the interest rate trends to minimize the potential adverse impact of interest rate changes.

The Group's interest rate risk arises from long-term borrowings. Borrowings issued at variable rates expose the Group to cash flow interest rate risk which is partially offset by cash held at variable rates. The Group regularly monitors financing options available to ensure optimum interest rates are obtained.

At 30 June 2022, an increase/decrease by 100 basis points in interest rates would have resulted in a decrease/increase in post-tax profit of Shs 4,930,840 (2021: 7,978,772).

Company

The risk is not relevant to the company as it has no borrowings.

(ii) Price risk

Price risk arises from fluctuations in the prices of equity investments. At 30 June 2022 and 30 June 2021, the Group and company did not hold investments that would be subject to price risk; hence this risk is not relevant.

4 Financial risk management objectives and policies (continued)

(iii) Foreign exchange risk

Group

The Group is exposed to foreign exchange risk arising from various currency exposures, primarily, with respect to the US dollar and the Euro. Foreign exchange risk arises from future commercial transactions and recognised assets and liabilities.
Management's policy to manage foreign exchange risk is to hold foreign currency bank accounts which act as a natural hedge for purchases of imported raw materials and finished products

At 30 June 2022, if the Kenyan Shilling had weakened/strengthened by 5% against the USD with all other variables held constant, post-tax profit for the year and equity would have been Shs 44,894,850 (2021:Shs 32,440,114) higher/lower, mainly as a result of US dollar denominated trade payables and bank balances.

Company

The company has no foreign currency denominated financial instruments and thus is not exposed to foreign exchange risks.

Credit risk

Credit risk arises from cash and cash equivalents and deposits with banks and financial institutions as well as credit exposures to customers, including outstanding receivables and committed transactions. Credit risk is the risk that a counterparty will default on its contractual obligations resulting in financial loss to the Group.

Credit risk is managed by the Group Finance Director who is responsible for managing and analysing credit risk for each new client before standard payment and delivery terms are offered.

In assessing whether the credit risk on a financial asset has increased significantly, the Group compares the risk of default occurring on the financial asset as at the reporting date with the risk of default occurring on that financial asset as at the date of initial recognition. In doing so, the Group considers reasonable and supportable information that is indicative of significant increases in credit risk since initial recognition and that is available without undue cost or effort. There is a rebuttable assumption that the credit risk on a financial asset has increased significantly since initial recognition when contractual payments are more than 30 days past due. For this purpose, default is defined as having occurred if the debtor is in breach of contractual obligations, or if information is available internally or externally that suggests that the debtor is unlikely to be able to meet its obligations.

The Group has adopted the Expected Credit Losses (ECL) model to determine the impairment of trade receivables. The Group opted to adopt the simplified approach of determining the impairment provision. This model includes some operational simplifications for trade and other receivables because they are often held by entities that do not have sophisticated credit risk management systems. These simplifications eliminate the need to calculate 12-month ECL and to assess when a significant increase in credit risk has occurred.

Using the simplified approach, management has segmented their accounts receivable balances into Government debt and other trade debtors.

For Trade debtors, management has used the simplified approach to determine probabilities of default (PD) using collection trends in the past adjusted for forward looking economic variables as applicable. The average PDs are then used to determine the provision. All debtors that are 120 days past due are considered to be at default. The exposure at default is adjusted for guarantees and other collateral held to determine the Loss Given Default (LGD).

4 Financial risk management objectives and policies (continued)

Credit risk (continued)

Related party receivable balances are assessed for impairment based on the counterparty's ability to settle on demand. No impairment was noted from management's assessment.

Cash balances and long-term deposits have been assessed for credit loss based on the credit rating of the financial institutions holding the assets. The calculated impairment was considered immaterial to warrant any adjustment.

The amount that best represents the Group and Company's maximum exposure to credit risk at 30 June 2022 is made up as follows:

	As at 30 June	
Group	**2022 Shs'000**	**2021 Shs'000**
Cash and bank balances (Note 29)	734,378	1,520,663
Trade receivables (Note 20)	1,887,518	1,576,547
Other receivables	312,023	127,233
Due from related parties (Note 31)	650,488	318,081
	3,584,407	**3,542,524**

The Group holds bank guarantees and cash deposits amounting to Shs 1.030 billion (2021: 1.110 billion) as collateral for trade receivables. No collateral is held for the other assets. All receivables that are either past due or impaired are within their approved credit limits, and no receivables have had their terms renegotiated.

	As at 30 June	
	2022 Shs'000	**2021 Shs'000**
Neither past due nor impaired	1,571,425	1,167,046
Past due but not impaired	727,910	468,214
Subtotal not impaired	2,299,335	1,635,260
Impaired – fully provided for (Note 20)	**238,064**	**259,368**

All receivables past due by more than 120 days are impaired and are carried at their estimated recoverable value. This is in addition to the qualitative analysis performed by management.

4 Financial risk management objectives and policies (continued)

Credit risk (continued)

Company	As at 30 June 2022 Shs'000	As at 30 June 2021 Shs'000
Other receivables	4,547	4,233
Cash and cash equivalents (Note 29)	3,001	2,990
Due from related parties (Note 31)	56,696	56,696
	64,244	**63,919**

Concentration risk

The concentration risk relates to exposure on sales that the Group faces on dealing with its key customers. The analysis below shows that the Group's one customer (Kenchic Limited) accounted for 16% of the revenue of the Group (2021:11%). This customer has a high credit rating. All other sales are to a wide unrelated customer base.

	2022 Shs'000	%	2021 Shs'000	%
Kenchic Limited	2,837,465	16%	1,918,877	11%
Others	15,194,869	84%	15,893,761	89%
Total	**18,032,334**	**100%**	**17,812,638**	**100%**

Liquidity risk

Ultimate responsibility for liquidity risk management rests with the Board of Directors, which together with management, closely monitors the Group's short, medium and long-term funding and liquidity management requirements. The Group manages liquidity risk by maintaining adequate reserves, banking facilities and reserve borrowing facilities, by continuously monitoring forecast and actual cash flows and matching the maturity profiles of financial assets and liabilities.

The table below analyses the Group's financial liabilities that will be settled on a net basis into relevant maturity Groupings based on the remaining period at end of reporting period to the contractual maturity date. The amounts disclosed in the table below are the contractual undiscounted cash flows. Balances due within 12 months equal their carrying balances, as the impact of discounting is not significant.

4 Financial risk management objectives and policies (continued)

Liquidity risk (continued)

Group	Below one year Shs'000	2-5 years Shs'000	Over 5 years Shs'000	Totals Shs'000
At 30 June 2022				
Liabilities:				
Trade payables (Note 21)	1,522,562	-	-	1,522,562
Other payables (Note 21)	1,052,732	-	-	1,052,732
Due to related parties (Note 31)	322,815	-	-	322,815
Borrowings	557,678	-	-	557,678
Lease liability	35,780	26,642	-	62,423
Total financial liabilities	**3,491,567**	**26,642**	**-**	**3,518,210**

Group	Below one year Shs'000	2-5 years Shs'000	Over 5 years Shs'000	Totals Shs'000
At 30 June 2021				
Liabilities:				
Trade payables (Note 21)	888,680	-	-	888,680
Other payables (Note 21)	857,310	-	-	857,310
Due to related parties (Note 31)	626,885	-	-	626,885
Borrowings	548,805	428,137	-	976,942
Lease liabilities	19,464	-	-	19,464
Total financial liabilities	**2,941,144**	**428,137**	**-**	**3,369,281**

The Group has undrawn committed borrowing facilities amounting to Shs 1,621,000,000 and USD 5,900,000 (2021: Shs 746,119,230 and USD 2,350,066). The borrowing facilities consist of loans and bank overdrafts. Security for these borrowings includes an all assets debenture for Shs 2.3 billion issued by subsidiary companies, corporate guarantees by Group companies and legal charges over certain properties owned by subsidiary companies, and a property registered in the name of a Group company.

4 Financial risk management objectives and policies (continued)

Company	Below one year Shs'000	Over 1 year Shs'000	Totals Shs'000
At 30 June 2022			
Liabilities:			
Other payables (Note 21)	8,191	-	8,191
Due to related parties (Note 31)	272,312	-	272,312
	280,503	**-**	**280,503**
At June 2021			
Liabilities:			
Other payables (Note 21)	2,632	-	2,632
Due to related parties (Note 31)	222,359	-	222,359
	224,991	**-**	**224,991**

Capital management

The Group's objectives when managing capital are to safeguard the Group's ability to continue as a going concern in order to provide returns for shareholders and to maintain an optimal capital structure to reduce the cost of capital. In order to maintain or adjust the capital structure, the Group may adjust the amount of dividends paid to shareholders, issue new capital or sell assets to reduce debt.

Consistent with others in the industry, the Group monitors capital on the basis of the gearing ratio. This ratio is calculated as net debt divided by total capital. Net debt is calculated as total borrowings (including 'current and non-current borrowings') less cash and cash equivalents. Total capital is calculated as equity plus net debt.

The constitution of capital managed by the Group is as follows:

4 Financial risk management objectives and policies (continued)

Capital management (continued)

Net cash reconciliation and gearing ratio	As at 30 June 2022 Shs'000	As at 30 June 2021 Shs'000
Equity	6,701,814	6,386,398
Borrowings (Note 17)	493,084	797,881
Less: cash and cash equivalents (Note 29)	(734,719)	(1,521,050)
Net cash	(241,635)	(723,169)
Gearing ratio	0%	0%

Fair value estimation

The different level of fair value measurement hierarchy is described as follows:

- Quoted prices (unadjusted) in active markets for identical assets (level 1);
- Inputs other than quoted prices included within level 1 that are observable for the asset, either directly (that is, as prices) or indirectly (that is, derived from prices) (level 2); and
- Inputs for the asset that are not based on observable market data (that is, unobservable data) (level 3).

The fair value of financial instruments traded in active markets is based on quoted market prices at the year-end date. A market is regarded as active if quoted prices are readily and regularly available from an exchange, dealer, broker, industry group and those prices represent actual and regularly occurring market transactions on an arm's length basis. The quoted market price used for financial assets held by the Group is the current bid price. These instruments are included in level 1.

The fair value of financial instruments that are not traded in an active market is determined by using valuation techniques such as discounted cash flow analysis. These valuation techniques maximize the use of observable market data where it is available and rely as little as possible on entity specific estimates. If all significant inputs required to fair value an instrument are observable, the instrument is included in level 2.

If one or more of the significant inputs is not based on observable market data, the instrument is included in level 3.

The carrying amounts of all assets and liabilities at the year-end date approximate their fair values.

5 Revenue from contracts with customers

	GROUP		COMPANY	
	2022 Shs'000	2021 Shs'000	2022 Shs'000	2021 Shs'000
Sales recognised at a point in time by category:				
Human nutrition	8,220,793	6,993,085	-	-
Animal nutrition	10,048,762	11,530,653	-	-
Animal health products	125,595	183,578	-	-
Reclassified to discontinued operations (Note 32)	(362,816)	(894,678)	-	-
	18,032,334	**17,812,638**	**-**	**-**

The above revenue is recognised at a point in time.

6 Earnings per share

Basic earnings per share has been calculated by dividing the net profit attributable to shareholders by the weighted average number of ordinary shares in issue during the year.

	As at 30 June	
	2022 Shs'000	2021 Shs'000
Profit for the year attributable to shareholders (Shs '000'):	187,414	179,175
Weighted average number of ordinary shares ('000')	75,707	75,707
Basic and diluted earnings per share:	2.48	2.37

Diluted earnings per share is the same as basic earnings per share.

7 Dividends

In respect of the current financial year, the directors do not propose the payment of dividend (2021: Nil). Payment of dividend is subject to withholding tax at a rate of 10% for non-resident shareholders and 5% for resident shareholders. For resident shareholders, withholding tax is only deductible where the shareholding is below 12.5%.

8 Other income

	GROUP	
	2022 Shs'000	2021 Shs'000
Sale of packing material	(798)	5,594
Gain on disposal of property, plant and equipment	73,284	2,733
Sundry income	42,755	13,087
Amortisation of capital grants	-	3,324
	115,241	24,738

9 Segmental reporting

The principal activity of the Group continues to be the milling of wheat and maize, baking and animal nutrition products, and the distribution of animal health products. Management has chosen to organise the entity around differences in market segments served by their products into two main segments namely human nutrition and animal nutrition and health. Management considers the fact that reports regularly reviewed by the chief operating decision maker in order to allocate resources and to assess performance are based on these two operating segments. Leadership team which comprises of the managing director, finance director, general managers and functional heads is considered to be the key decision-making organ.

Description of the types of products and services from which each reportable segment derives its revenues

Unga Group Plc has two reportable segments: human nutrition and animal nutrition and health. The human nutrition segment produces products for human consumption. The animal nutrition and health segment produce animal feeds and mineral supplement products and distributes products for animal health.

Measurement of operating segment profit or loss, assets and liabilities

The accounting policies of the operating segments are the same as those described in the summary of significant accounting policies.

Factors that management uses to identify the entity's reportable segments

Unga Group Plc segments are strategic business units that serve different market segments. They are managed separately because each business requires different technology and marketing strategies.

Information about major customers

One customer with revenues of Shs 2,837,465,000 (2021: Shs 1,918,877,000) under the animal health and nutrition segment accounts for more than 10% of the Group revenue.

9 Segmental reporting (continued)

Year ended 30 June 2022	Human Nutrition Shs'000	Animal Nutrition & Health Shs'000	Others Shs'000	Elimination Shs'000	Discontinuing Operations Shs'000	Consolidation Shs'000
Revenue from external customers	8,210,093	10,838,165	-	(653,108)	(362,816)	18,032,334
Interest income	26,269	8,501	7,178	-	(869)	41,079
Other income	169,780	290,776	469,278	-	(814,593)	115,241
Interest expense	185,439	82,690	-	-	(683)	267,446
Depreciation and amortisation	162,219	90,043	15,585	-	(16,496)	251,351
Reportable segmental profit	(454,475)	56,104	485,357	-	(807,963)	(720,978)
Income tax expense	127,893	99,278	(2,795)	-	5,439	229,815
Other material non-cash items:						
Reportable segment assets	5,265,244	5,205,774	6,667,612	(6,850,980)	-	10,287,650
Capital expenditures for non-current assets	38,356	63,208	-	-	-	101,564
Reportable segmental liabilities	3,171,400	2,737,170	775,985	(3,098,719)	-	3,585,836

9 Segmental reporting (continued)

Year ended 30 June 2021	Human Nutrition Shs'000	Animal Nutrition & Health Shs'000	Others Shs'000	Elimination Shs'000	Discontinuing Operations Shs'000	Consolidation Shs'000
Revenue from external customers	7,771,217	11,714,231	-	(778,132)	(894,678)	17,812,638
Interest income	5,344	6,221	9,249	-	(1,217)	19,597
Other income	10,786	12,577	4,385	-	(3,010)	24,738
Interest expense	94,267	59,960	(1,986)	-	(1,674)	150,567
Depreciation and amortisation	203,331	83,368	826	-	(64,286)	223,240
Reportable segmental profit	53,278	491,503	(28,416)	-	(31,133)	485,232
Income tax expense	(53,912)	(165,991)	(2,527)	-	44,164	(178,266)
Other material non-cash items:						
Reportable segment assets	5,850,281	4,272,467	2,139,211	(2,497,766)	284,586	10,048,779
Capital expenditures for non-current assets	63,283	84,779	-	-	-	148,062
Reportable segmental liabilities	3,513,927	2,083,782	497,571	(2,497,766)	61,350	3,658,864

10 Finance costs

	GROUP		COMPANY	
	2022 Shs'000	2021 Shs'000	2022 Shs'000	2021 Shs'000
Finance income:				
Interest income on deposits	41,079	19,597	32	56
Finance costs:				
Interest expense on bank loans	71,908	82,750	-	-
Interest expense on bank overdrafts	13,844	-	-	-
Interest expense on trade finance	18,482	31,952	-	-
Finance charge on leases	8,627	4,036	-	-
Net foreign exchange losses	154,585	31,829	-	-
	267,446	**150,567**	**-**	**-**

11 Breakdown of expenses by nature

	GROUP 2022 Shs'000	GROUP 2021 Shs'000	COMPANY 2022 Shs'000	COMPANY 2021 Shs'000
The profit before taxation is arrived at after charging:				
Staff costs (Note 12)	883,692	859,941	-	-
Outsourced selling and distribution costs	71,000	-	-	-
Depreciation of property, plant and equipment (Note 22)	217,272	287,525	-	-
Depreciation of assets held for sale (Note 31)	16,496	-	-	-
Depreciation of right-of-use assets (Note 23)	16,075	37,916	-	-
Amortisation of intangible assets (Note 24)	1,508	10,089	-	-
Directors remuneration (Note 31(iv))	24,180	23,190	24,180	23,190
Auditor's fees	14,503	14,503	84	84
Provision for expected credit losses (Note 20)	(21,304)	(242,714)	-	-
Impairement of property, plant and equipment (Note 22)	491,721	18,426	-	-

12 Staff costs

	GROUP	
	2022 Shs'000	2021 Shs'000
Salaries and wages	761,933	671,007
Redundancy costs	7,831	67,680
Retirement benefits obligation (Note 27)	57,205	59,033
Social security costs (NSSF) contributions	795	1,007
Other staff cost	55,928	49,455
Service gratuity (Note 27)	-	11,759
	883,692	859,941

12 Staff costs (continued)

	GROUP	
	2022 Shs'000	2021 Shs'000
The average number of employees of the Group during the year was as follows:		
Production	103	134
Sales and distribution	39	126
Management and administration	141	140
	283	400

13 Income tax expense

	As at 30 June	
	2022 Shs'000	2021 Shs'000
Current income tax	12,617	142,637
Overprovision for current income tax in prior year	(7,192)	(6,506)
Deferred income tax (Note 18)	(229,801)	86,300
Income tax (credit)/ expense	(224,376)	222,431

The tax on the Group's profit before income tax differs from the theoretical amount that would arise using the statutory income tax rate as follows:

	As at 30 June	
	2022 Shs'000	2021 Shs'000
(Loss)/ profit before income tax from:		
Continuing operations	(720,978)	485,232
Discontinuing operations	807,963	30,676
Profit before income tax	86,985	515,908
Tax calculated at the statutory income tax rate of 30% (2021 25% 30%)	26,096	141,875
Tax effects of:		
Expenses not deductible for tax purposes	31,994	29,399
Income not subject to tax	(274,433)	(15,611)
Over-provision of current income tax in prior years	(7,192)	(6,506)
(Under)/ over provision of deferred income tax in prior years	(4,771)	23,949
Deferred income tax asset not recognised (Note 18)	3,930	36,068
Effect of change in tax rate	-	13,257
Income tax (credit)/ expense	(224,376)	222,431

13 Income tax expense (continued)

	As at 30 June	
	2022 Shs'000	2021 Shs'000
Income tax (credit)/ expense is attributable to:		
Continuing operations	(229,815)	178,267
Discontinued operation	5,439	44,164
	(224,376)	222,431

14 Share capital

	Number of Shares (Thousands)	Ordinary Shares Shs'000	Share Premium Shs'000
Authorised:			
Balance at 1 July 2020, 30 June 2021 and 30 June 2022	82,760	413,800	73,148
Issued and fully paid:			
Balance at 1 July 2020, 30 June 2021 and 30 June 2022	75,707	378,535	73,148

The total authorised number of ordinary shares is 82,760,000 with a par value of Shs 5 per share. The total number of ordinary shares issued 75,706,986 with a par value of Shs 5 per share. All issued shares are fully paid. They entitle the holder to participate in dividends, and to share in the proceeds of winding up the company in proportion to the number of and amounts paid on the shares held. On a show of hands or electronically, every holder of ordinary shares present at a meeting, in person or by proxy, is entitled to one vote, and on a poll each share is entitled to one vote.

15 Other reserves

	Currency translation differences Shs'000	Re-measurement of retirement benefit asset Shs'000	Total Shs'000
Year ended 30 June 2022			
At start of year	(38,450)	5,281	(33,169)
Credit to other comprehensive income	(5,439)	5,790	351
At end of year	(43,889)	11,071	(32,818)
Year ended 30 June 2021			
At start of year	(30,457)	(10,841)	(41,298)
Credit to other comprehensive income	(7,993)	16,122	8,129
At end of year	(38,450)	5,281	(33,169)

Other reserves as included above are non-distributable.

16 Non-controlling interests

	As at 30 June	
	2022 Shs'000	**2021 Shs'000**
Group		
At start of year	2,161,955	2,050,498
Share of profit for the year	123,947	114,302
Share of other comprehensive income	188	(2,845)
At end of year	2,286,090	2,161,955
Summary of Non-controlling interest:		
Unga Holdings Limited:		
35% Equity interest held by Seaboard Corporation in Unga Holdings Limited	2,286,090	2,161,955

16 Non-controlling interests (continued)

Summarised financial information on subsidiaries with material non-controlling Interests

Unga Holdings Limited which has a 35% non-controlling interest operates as a holding company. A summary of its financial performance is set out below:

Unga Holdings Limited summarised statement of financial position	As at 30 June	
	2022 Shs'000	2021 Shs'000
Current assets	6,019,267	6,209,800
Current liabilities	(3,466,924)	(2,711,007)
Liabilities associated with assets held for sale	-	(61,350)
Total current net assets	2,552,343	3,437,443
Non-current assets	4,481,748	3,713,670
Assets Held for sale	-	284,586
Non-current liabilities	(161,529)	(917,809)
Total non-current net assets	4,320,219	3,080,447
Total net assets	6,872,562	6,517,890
Unga Holdings Limited summarised statement of comprehensive income		
Revenue	18,032,334	17,812,638
(Loss)/ profit before income tax	(678,943)	517,210
Income tax (credit)/ expense	230,552	(177,144)
(Loss)/ profit from continuing operations	(448,391)	340,066
Profit/ (loss) from discontinuing operations	802,524	(13,488)
Other comprehensive income	539	8,129
Total comprehensive income	354,672	334,707
Unga Holdings Limited summarised cash flows		
Net cash generated from operating activities	70,092	1,044,237
Net cash used in investing activities	(517,615)	(133,507)
Net cash used in financing activities	(332,117)	(59,110)
Net (decrease)/ increase in cash and cash equivalent	(779,640)	851,620
Cash and cash equivalent at start of year	1,463,506	607,449
Net (decrease)/ increase in cash and cash equivalent	(779,640)	851,620
Effect of exchange rates	(8,368)	4,437
At end of year	675,498	1,463,506

17 Borrowings

	As at 30 June	
	2022 Shs'000	2021 Shs'000
Group		
Bank loans	493,084	797,880
The borrowings are classified as follows:		
Current		
Bank borrowings repayable within 1 year	493,084	239,718
Non- current		
Bank borrowings repayable between 2-5 years	-	558,162
	493,084	797,880
Movement in borrowings:		
At start of year	797,880	829,701
Repaid during the year	(304,796)	(31,821)
At end of year	493,084	797,880

Bank loans comprise the following facilities to the subsidiary Companies;

Unga Limited

Bank loan is comprised of a 6-year term loan of Shs 860,000,000 taken in 2018 with ABSA bank to finance the purchase and construction of a new wheat milling plant in Eldoret. Interest charged is Central Bank Rate (CBR) plus 3% Margin. The loan is repayable in equal instalments after the end of the 12 months moratorium. The entire loan had been drawn down as at 30 June 2022. The effective interest rate on the facility at 30 June 2022 was 12% (2021: 13.5%)

The borrowings are secured by an all-assets debenture for Shs 1.885 billion, corporate guarantees by Unga Group Plc of Shs 1.885 billion and legal charges of Shs 1.885 billion over certain properties.

Under the terms of the "facility agreement" dated 27 April 2017, the Company is required to comply with certain financial covenants. The following financial covenants had not been complied with as at 30 June 2022:

- Interest Cover - EBIT shall not fall below 2.5 times finance charges for such relevant period (ratio as at 30 June 2022 was 2.2).
- Debenture cover should not be less than 2 (ratio as at 30 June 2022 was 1.04).

Consequently, the Directors have reclassified the borrowings from non-current to current liabilities as the breach gives the bank a right to recall the loan immediately. However, the Company received a letter from the lender confirming that the breach had been condoned as at year end.

17 Borrowings (continued)

Unga Farm Care (EA) Limited

A 3-year term loan of Shs 294,000,000 taken in 2019 with NCBA bank to finance the purchase and construction of a new soya bean milling plant. Interest charged is CBR plus 3.1% Margin. The loan is repayable in equal installments. A total of Shs 278,022,763 of the loan amount had been drawn down as at 30 June 2019. The effective interest rate on the facility at 30 June 2022 was 12% (2021:12%).

The borrowing is secured by a specific asset debenture for Shs 294 million on the soya bean mill. Under the terms of the "facility agreement" dated 27 April 2017, the Company is required to comply with certain financial covenants. The following financial covenant had not been complied with as at 30 June 2022:

- Liquidity ratio 1:1 (ratio as at 30 June 2022 was 0.76)

The Company has not complied with the financial covenant on liquidity ratio as at 30 June 2022. Consequently, the Directors have reclassified the borrowings from non-current to current liabilities as the breach gives the bank a right to recall the loan immediately.

18 Deferred income tax

Deferred income tax is made up of the following.	GROUP	
	2022 Shs'000	2021 Shs'000
Deferred income tax assets	4,716	4,716
Deferred income tax liabilities	(137,078)	(363,062)
Net deferred income tax liabilities	(132,362)	(358,346)

Deferred income tax is calculated using the enacted income tax rate of 30% (2021: 30%). The movement in the net deferred income tax liabilities is as follows:

	GROUP	
	2022 Shs'000	2021 Shs'000
At start of year	(358,346)	(265,137)
Charge/ (credit) to profit or loss	229,801	(86,300)
Charge to other comprehensive income	(3,817)	(6,909)
At end of year	(132,362)	(358,346)

18 Deferred income tax (continued)

Group Year ended 30 June 2022	01.07.2021 (Shs'000	Charged/ (credited) to P/L Shs'000	Credit to OCI Shs'000	30.06.2022 Shs'000
Deferred income tax liabilities				
Property plant and equipment	829,811	(291,765)	-	538,046
Retirement benefits obligation	12,839	-	3,817	16,656
	842,650	(291,765)	3,817	554,702
Deferred income tax assets				
Unrealized exchange losses	(1,713)	2,061	-	348
Other deductible differences	(86,424)	37,913	-	(48,511)
Tax losses carried forward	(572,492)	18,059	-	(554,433)
	(660,629)	58,033	-	(602,596)
Deferred income tax asset not recognised	176,326	3,930	-	180,256
Net deferred income tax	358,347	(229,802)	3,817	132,362

Group Year ended 30 June 2021	01.07.2020 (Shs'000	Charged/ (credited) to P/L Shs'000	Credit to OCI Shs'000	30.06.2021 Shs'000
Deferred income tax liabilities				
Property plant and equipment	725,177	104,634	-	829,811
Retirement benefits obligation	5,930	-	6,909	12,839
	731,107	104,634	6,909	842,650
Deferred income tax assets				
Unrealized exchange losses	(7,933)	6,220	-	(1,713)
Other deductible differences	(132,647)	46,223		(86,424)
Tax losses carried forward	(465,648)	(106,845)		(572,493)
	(606,228)	(54,402)	-	(660,630)
Deferred income tax asset not recognised	140,258	36,068	-	176,326
Net deferred income tax	265,137	86,300	6,909	358,346

18 Deferred income tax (continued)

The Group has not recognised the deferred income tax asset arising from tax losses carried forward in a subsidiary entity because it is uncertain as to when the Group will generate sufficient future profits to utilise the losses. Deferred income tax asset includes deferred income tax arising from tax losses realised in some operating subsidiaries with part attribution to capital allowances granted in the past. The group has concluded that the deferred assets will be recoverable using the estimated future taxable income based on the approved business plans and budgets for the subsidiaries.

19 Inventories

	GROUP	
	2022 Shs'000	2021 Shs'000
Raw materials	1,389,457	1,761,439
Finished products	473,701	521,362
Packing materials	60,832	71,754
Engineering spares	130,452	118,729
Reclassified to held for sale (Note 32)	-	(11,560)
	2,054,442	2,461,724

Inventories expensed in cost of sales amounted to Shs 15.41 billion (2021: Shs 17.42 billion).

20 Trade and other receivables

	GROUP		COMPANY	
	2022 Shs'000	2021 Shs'000	2022 Shs'000	2021 Shs'000
Trade receivables	1,887,518	1,576,547	-	-
Related party trade receivables (Note 31)	649,881	318,081	-	-
Less: Provision for expected credit losses	(238,064)	(259,368)	-	-
	2,299,335	1,635,260	-	-
VAT recoverable	328,240	284,888	-	-
Other receivables and prepayments	312,023	127,233	4,547	4,233
Due from related parties (Note 31)	607	-	56,696	56,696
	2,940,205	2,047,381	61,243	60,929

The movements in the provision for expected credit losses on trade and other receivables was as follows:

20 Trade and other receivables (continued)

	GROUP		COMPANY	
	2022 Shs'000	2021 Shs'000	2022 Shs'000	2021 Shs'000
At start of year	259,368	502,082	-	-
Charge to profit or loss in the year	(21,304)	(242,714)	-	-
At end of year	238,064	259,368	-	-
Expected credit losses are made up as follows:				
Trade receivables	238,064	259,368	-	-
Other receivables	-	-	-	-
	238,064	259,368	-	-

21 Trade and other payables

	GROUP		COMPANY	
	2022 Shs'000	2021 Shs'000	2022 Shs'000	2021 Shs'000
Trade payables	1,522,562	888,680	-	-
Other payables and accrued expenses	1,052,732	857,310	8,191	2,632
Due to related parties (Note 31)	322,815	626,885	272,312	222,359
	2,898,109	2,372,875	280,503	224,991

22 Property, plant and equipment

Year ended 30 June 2022	Buildings Shs'000	Plant and equipment Shs'000	Motor vehicles Shs'000	Work in progress Shs'000	Total Shs'000
Opening net book value	1,050,896	2,121,040	11,685	340,690	3,524,311
Additions	-	50,887	18,099	6,037	75,023
Transfers	41,954	(15,202)	-	(26,752)	-
Disposals	(2,709)	-	(2,296)	-	(5,005)
Impairments	-	(491,721)	-	-	(491,721)
Depreciation charge	(19,210)	(185,118)	(12,944)	-	(217,272)
Depreciation on transfers	(5,853)	5,853	-	-	-
Depreciation on disposals	1,708	-	2,296	-	4,004
Closing net carrying amount	1,066,786	1,485,739	16,840	319,975	2,889,340
At 30 June 2022					
Cost	1,157,699	2,886,701	206,171	319,975	4,570,546
Accumulated depreciation	(90,913)	(1,400,962)	(189,331)	-	(1,681,206)
Net carrying amount	1,066,786	1,485,739	16,840	319,975	2,889,340

Year ended 30 June 2021	Buildings Shs'000	Plant and equipment Shs'000	Motor vehicles Shs'000	Work in progress Shs'000	Total Shs'000
At start of the year	1,001,872	2,676,413	33,415	252,051	3,963,751
Additions	4,416	48,475	-	88,639	141,530
Disposals	-	(7,987)	(3)	-	(7,990)
Depreciation charge	(27,267)	(239,515)	(20,743)	-	(287,525)
Reclassified to held for sale (Note 32)	(5,745)	(266,297)	(984)	-	(273,026)
Currency translation differences	77,620	(90,049)	-	-	(12,429)
Closing net carrying amount	1,050,896	2,121,040	11,685	340,690	3,524,311
At 30 June 2021					
Cost	1,118,454	3,342,737	190,368	340,690	4,992,249
Accumulated depreciation	(145,178)	(1,131,486)	(178,683)	-	(1,455,347)
Currency translation differences	77,620	(90,211)	-	-	(12,591)
Net carrying amount	1,050,896	2,121,040	11,685	340,690	3,524,311

The Group has pledged assets with net book value of 17,922,000 (2021: Shs 18,403,000) to secure bank borrowings (see Note 17).

Work in progress relates to Silo rehabilitation & gantry project in Nairobi feeds and Fawema lines relocation Eldoret.

Transfers relate to building capitalized after venture asset transfer within the year.

22 Property, plant and equipment (continued)

Impairment assessment

Decline in business performance occasioned by a challenging operating environment gave rise to indicators of potential impairment of certain milling assets. As required by the International Financial Reporting Standards, management prepared a projected cash flows model to assess for impairment.

The following table describes the key assumptions used by management in the value in use calculations that were prepared to test the assets with a net book value of Shs 1,321,846,000 for impairment:

ASSUMPTION	APPROACH USED TO DETERMINE VALUES:
Discount rate	Based on specific risks relating to the industry and country for KES denominated cash flows. Factors considered for the industry include regulatory environment, market competition, and barriers to entry.
Volume growth	This is based on management's market sizing and market share projection.
Gross margin	Based on past experience and management expectations of the future.
Expenses as percentage of revenue	Based on past experience and management expectations of the future.
Useful life	As per approved fixed assets accounting manual.

Based on the assumptions described above, the recoverable amount of the assets was lower than the carrying amount at 30 June 2022 by Shs. 491,721,000 (2021: 18,426,000). The impairment has been adjusted in the statement of profit or loss and recognised against plant and equipment.

Sensitivity analysis

The potential Impact of possible adverse shift in key model input, judgements and assumptions are as follows;
- If volumes decline by 2% per year over the plan period, lower than management have estimated and all other assumptions remain unchanged, the impairment increases by Shs. 36 million.
- If gross profit margin reduces from by 1%, lower than management have estimated and all other assumptions remain unchanged, the impairment increases by Shs. 219 million.
- If expenses increase by 0.5% of revenue, higher than management have estimated and all other assumptions remain unchanged, the impairment increases by Shs. 160 million.
- If the discount rate increases by 1%, higher than management have estimated and all other assumptions remain unchanged, the impairment increases by Shs. 48 million.

22 Property, plant and equipment (continued)

Sensitivity analysis (continued)

The directors and management have considered and assessed reasonably possible changes for other key assumptions and have not identified any instances that could cause significant misstatement of the value-in-use calculations used to estimate the recoverable amount of the cash generating units (CGU).

23 Leases

(i) Right-of-use assets	Leasehold land Shs'000	Warehouse Shs'000	Motor vehicles Shs'000	Total Shs'000
Year ended 30 June 2022				
Cost	153,930	82,561	69,299	305,790
Additions	26,541	9,736	4,887	41,164
Transfers	(6,671)	6,671	-	-
	173,800	98,968	74,186	346,954
Amortisation				
At start of year	51,540	57,928	65,655	175,123
Charge for the year	(13,311)	(3,515)	751	(16,075)
At end of year	38,229	54,413	66,406	159,048
Carrying amount at end of year	135,571	44,555	7,780	187,906
Year ended 30 June 2021				
Cost				
At start of year	151,230	77,406	54,670	283,306
Additions	2,700	5,155	14,629	22,484
	153,930	82,561	69,299	305,790
Amortisation				
At start of year	42,216	40,321	54,670	137,207
Charge for the year	9,324	17,607	10,985	37,916
At end of year	51,540	57,928	65,655	175,123
Carrying amount at end of year	102,390	24,633	3,644	130,667

The operating lease prepayment relates to leasehold land. The leasehold land was revalued as at 28 February 2018 by Tysons Limited on an open market value basis for existing use at Shs 2.65 billion.

The Group has pledged leasehold land with a net book value of Shs 17,922,000 (2021: Shs 18,403,000) to secure borrowings granted to it (see Note 17).

23 Leases (continued)

(ii) Lease liabilities	As at 30 June 2022 Shs'000	As at 30 June 2021 Shs'000
Current	30,860	19,464
Non-current	24,451	-
	55,311	19,464

(iii) Lease liability movement	2022 Shs'000	2021 Shs'000
Start of the year	19,463	38,858
Additions	63,169	19,784
Finance charge	8,627	4,036
Finance charge payments	(8,627)	-
Principal payments	(27,321)	(27,289)
Early lease termination	-	(10,283)
Gain on lease termination	-	(5,642)
At end of year	55,311	19,464

24 Intangible assets

	2022 Shs'000	2021 Shs'000
Computer software		
Group		
Cost		
At start of year	395,351	395,351
Additions	-	-
At end of year	395,351	395,351
Amortisation		
At start of year	381,325	371,236
Amortisation for the year	1,508	10,089
At end of year	382,833	381,325
Net book value	12,518	14,026

25 Investment in subsidiaries – Company

Unquoted investment at cost in wholly owned subsidiary

	As at 30 June	
	2022 Shs'000	2021 Shs'000
Unga Investments Limited	1,297,335	1,297,335

Details of the Company's subsidiaries are as follows:

Company name	Principal place of business	Principal activity	% Interest held	Share capital Shs'000
Unga Investments Limited	Kenya	Operates as a holding and an investment Company	100%	22,200

Unga Investments Limited has a 65% holding in its subsidiary, Unga Holdings Limited which operates as a holding Company in Kenya and has the following subsidiaries:

Company name	Principal place of business	Principal activity	% Interest held	Share capital Shs'000
Unga Limited	Kenya	Milling of wheat and maize	100%	220,000
Unga Farm Care (EA) Limited	Kenya	Manufacture of animal nutrition products and distribution of animal health products	100%	22,520
Unga Feeds Limited	Kenya	Dormant Company	100%	42,300
Unga Foods Limited	Kenya	Dormant Company	100%	15,400
Unga Millers (U) Limited	Uganda	Milling of wheat and maize, and distribution of animal nutrition products	100%	7,280
Ennsvalley Bakery Limited	Kenya	Manufacture and sale of cakes, roles, breads and pastries	100%	250

26 Capital grants

Capital grants relate to amounts received from the Dutch government as a partial funding for the construction of a new fish feed milling plant at the Dakar Road premises. The grant was written back in other income following transfer of fish feed plant to the venture with Nutreco in Kenya.

	As at 30 June	
	2022 Shs'000	2021 Shs'000
At start of year	-	64,674
Grant received in the year	-	-
Amortisation to profit or loss	-	(3,324)
Transfer to held for sale (Note 32)	-	(61,350)
At end of year	-	-

27 Post-employment benefits obligation

The group had the following post-employment benefits obligations as at year end;

	As at 30 June	
	2022 Shs'000	2021 Shs'000
Assets		
Retirement benefits scheme	29,494	43,698
Liabilities		
Service gratuity scheme	-	14,010

Service gratuity scheme

The Group operates an unfunded post-employment benefit plan which provides service gratuity to its unionised employees based on final salary and years of service. The movement in the obligation based on past service cost is as follows;

27 Post-employment benefits obligation (continued)

	As at 30 June	
	2022 Shs'000	**2021 Shs'000**
At start of year	14,010	3,543
Charge/ (credit) to profit or loss	-	11,759
Payments in the year	(14,010)	(1,292)
At end of year	-	14,010

Retirement benefits scheme

The Group operates a contributory defined benefits pension plan for employees of Unga Limited and Unga Farm Care (EA) Limited. The retirements benefits scheme asset represents the actuarial allocation of the surplus of the fair value of the scheme assets over the value of past service pension obligations after applying an asset ceiling to the Group. An asset ceiling has been applied only to recognise the benefit arising from reduced employer contributions available to the Group as a result of the scheme being in an actuarial surplus position.

The retirements benefits scheme asset represents the Group's share of the actuarial surplus of the fair value of the scheme assets over the value of past service pension obligations after applying an asset ceiling to the group. An asset ceiling has been applied only to recognise the benefit arising from reduced employer contributions available to the company as a result of the scheme being in an actuarial surplus position.

During the year, management resolved to redesign its retirement benefits arrangement by moving from a hybrid (defined benefit and defined contribution) arrangement to a defined contribution arrangement under a multi-employer umbrella arrangement. All new and pensionable employees will be eligible to join the new scheme. Existing active members will be invited to join the new arrangement. In respect of the past service benefits earned for service up to 31 December 2021, management will provide members with an opportunity to transfer these benefits to the new scheme, once the initial on-boarding is complete. The redesign was still in progress as at 30 June 2022.

27 Post-employment benefits obligation (continued)

Retirement benefits scheme (continued)

The amount included in the statement of financial position arising from the Group's obligation in respect of this defined benefits pension scheme is arrived at as follows:

	As at 30 June	
	2022 Shs'000	**2021 Shs'000**
Present value of funded obligations	923,026	926,634
Fair value of plan assets	(982,014)	(1,014,030)
Surplus on funded plan	(58,988)	(87,396)
Impact of asset ceiling	29,494	43,698
Retirement benefit scheme as recognised in the statement of financial position	(29,494)	(43,698)

The movement in the retirement benefit scheme asset over the year was as follows:

Year ended 30 June 2022	**Present value of obligation Shs'000**	**Fair value of plan assets Shs'000**	**Total Shs'000**	**Impact of asset ceiling Shs'000**	**Total Shs'000**
At start of year	926,634	(1,014,030)	(87,396)	43,698	(43,698)
Current service cost	79,507	-	79,507	-	79,507
Interest expense/ (income)	101,615	(123,917)	(22,302)	-	(22,302)
Charge to profit or loss	181,122	(123,917)	57,205	-	57,205
Re measurements:					
Return on plan assets	-	130,344	130,344	-	130,344
Change in experience	(8,651)	(39,782)	(48,433)	-	(48,433)
Change in assumptions	(120,213)	39,782	(80,431)	-	(80,431)
Change in asset ceiling	-	-	-	(14,204)	(14,204)
Charge to other comprehensive income	(128,864)	130,344	1,480	(14,204)	(12,724)
Contributions:					
- Employees	-	(11,030)	(11,030)	-	(11,030)
- Employer	-	(19,247)	(19,247)	-	(19,247)
- Payments from plan	(55,866)	55,866	-	-	-
	(55,866)	25,589	(30,277)	-	(30,277)
At end of year	923,026	(982,014)	(58,988)	29,494	(29,494)

27 Post-employment benefits obligation (continued)

Retirement benefits scheme (continued)

Year ended 30 June 2022	Present value of obligation Shs'000	Fair value of plan assets Shs'000	Total Shs'000	Impact of asset ceiling Shs'000	Total Shs'000
At start of year	871,309	(915,473)	(44,164)	44,164	-
Current service cost	73,728	-	73,728	-	73,728
Interest expense/ (income)	94,933	(109,628)	(14,695)	-	(14,695)
Charge to profit or loss	168,661	(109,628)	59,033	-	59,033
Re measurements:					
Return on plan assets	-	(54,038)	(54,038)	-	(54,038)
Change in experience	31,473	-	31,473	-	31,473
Change in asset ceiling	-	-	-	(466)	(466)
Charge to other comprehensive income	31,473	(54,038)	(22,565)	(466)	(23,031)
Contributions:					
- Employees	-	(42,665)	(42,665)	-	(42,665)
- Employer	-	(37,035)	(37,035)	-	(37,035)
- Payments from plan	(144,809)	144,809	-	-	-
	(144,809)	65,109	(79,700)	-	(79,700)
At end of year	926,634	(1,014,030)	(87,396)	43,698	(43,698)

The sensitivity of the defined benefit obligation to changes in the weighted principal assumptions is as follows:

At 30 June 2022 **Discount rate**	At current discount rate Shs '000	1% Increase Shs '000	1% Decrease Shs '000
Present value of obligation	922.6	913.7	932.5
At 30 June 2021			
Present value of obligation	926.6	917.3	935.8

27 Post-employment benefits obligation (continued)

Retirement benefits scheme (continued)

	As at 30 June	
	2022	**2021**
Discount rate	14.20%	12.4%
Rate of salary escalation	12.20%	10.4%
Rate of pension increases	0%	0%

Since the bulk of the benefits payable under the scheme are salary related and there are no pensions paid from the scheme, the sensitivity of the liability to a change in the salary escalation assumption is expected to be consistent with the sensitivity to the discount rates.

The plan assets are comprised of the following;

	2021 Shs'000	2021 %	2020 Shs'000	2020 %
Quoted equities	253,639	26	299,697	29
Offshore investments	61,163	6	41,509	4
Government bonds	676,319	69	655,475	65
Commercial paper and corporate bonds	-	-	5,000	0.5
Fixed and time deposits	2,000	-	26,334	2.5
Net current liabilities	(11,107)	(1)	(13,986)	(1)
Total	**982,014**	**100**	**1,014,029**	**100**

Through its defined benefit pension plans and, the Group is exposed to a number of risks, the most significant of which are detailed below:

Asset volatility

The plan liabilities are calculated using a discount rate set with reference to treasury bonds yields; if plan assets underperform this yield, this will create a deficit. The plan assets currently exceed the liabilities and this risk is therefore not considered significant.

Changes in bond yields

A decrease in treasury bond yields will increase plan liabilities, although this will be partially offset by an increase in the value of the plans' bond holdings.

28 Cash generated from operations

Reconciliation of profit before income tax to cash generated from operations:

	GROUP		COMPANY	
GROUP	**2022 Shs'000**	**2021 Shs'000**	**2022 Shs'000**	**2021 Shs'000**
Profit/ (loss) before income tax from:				
Continuing operations	(720,978)	485,232	(55,187)	(35,759)
Discontinuing operations	807,963	30,676	-	-
Profit/ (loss) before income tax	86,985	515,908	(55,187)	(35,759)
Adjustments for:				
Depreciation (Note 22)	217,272	287,525	-	-
Depreciation of assets held for sale (Note 31)	16,496	-	-	-
Amortisation of leases (Notes 23)	16,075	27,633	-	-
Interest paid	112,861	114,702	-	-
Finance charge on leases	8,628	4,036	-	-
Amortisation of intangible assets (Note 24)	1,876	10,089	-	-
Amortisation of capital grant (Note 26)	(61,350)	(3,324)	-	-
Gain on disposal of property, plant and equipment	(665,275)	(2,733)	-	-
Post-employment benefits obligation	26,928	(10,200)	-	-
Gain on lease termination	-	(5,642)	-	-
Impairment	491,721	-	-	-
Share of profit in associate	(7,429)	-	-	-
Changes in working capital:				
- inventories	407,282	2,142,469	-	-
- trade and other receivables	(887,579)	507,053	(314)	5,928
- trade and other payables	525,234	(2,374,211)	55,512	29,859
Cash generated from operations	**289,725**	**1,213,305**	**11**	**28**

29 Cash and bank balances

For the purposes of the statement of cash flows, cash equivalents include short term liquid investments which are readily convertible into known amounts of cash and which were within three months of maturity when acquired, less advances from the bank repayable within three months from the date of advance.

29 Cash and bank balances (continued)

Cash and bank balances	GROUP 2022 Shs'000	GROUP 2021 Shs'000	COMPANY 2022 Shs'000	COMPANY 2021 Shs'000
Bank balances	734,378	1,520,663	3,001	2,990
Cash balances	341	387	-	-
Cash and cash equivalents	734,719	1,521,050	3,001	2,990
Net debt reconciliation				
Cash and cash equivalent	734,719	1,521,050	-	-
Borrowings	(493,084)	(797,881)	-	-
Lease liability	(55,311)	(19,464)	-	-
Net debt	186,324	703,705	-	-

30 Capital commitments

	GROUP 2022 Shs'000	GROUP 2021 Shs'000
Authorised but not contracted for	521,081	1,011,521

The bulk of the commitments are related to purchase of instant porridge extruder, purchase of one 1Mva transformers, Upgrade in the Famila® electrical panel, replacement of the old wheat power factor correction panel and construction of silo trench drains. It also includes silo and gantry project across Nairobi Feeds Plant and the soya plant, silo refurbishments at Nairobi Feeds site which have been ongoing since 2021.

31 Related party transactions

The Company is listed on the Nairobi Securities Exchange and the shares are widely held. During the year the following transactions were entered into with related parties:

31 Related party transactions (continued)

	GROUP		COMPANY	
(i) Sale of goods and services:	**2022 Shs'000**	**2021 Shs'000**	**2022 Shs'000**	**2021 Shs'000**
Sale of finished goods				
Kenchic Limited	2,837,465	1,918,872	-	-
Tunga Nutrition Kenya Limited	122,815	-	-	-
Tanbreed Poultry Limited	38,114	-	-	-
	2,998,394	1,918,872	-	-
(ii) Purchase of goods and services:				
Purchases of raw materials				
- Seaboard Overseas Limited	2,907,087	3,680,098	-	-
Purchase of equipment and spares				
- Seaboard Overseas Group	29,872	9,236	-	-
Interest charged on trade finance				
- Seaboard Overseas Group	18,482	31,952	-	-
	2,955,441	3,721,286	-	-

Seaboard is affiliated by virtue of being part of the non-controlling interest as set out in Note 16. Seaboard Corporation is a company with significant shareholding in the parent company. Seaboard Overseas Limited, Seaboard Overseas Group and Seaboard Overseas Management Company are subsidiaries of Seaboard Corporation.

The group is also related to some of its customers by virtue of common shareholding. These are Kenchic Limited and NAS Holdings Limited and its affiliates.

	GROUP		COMPANY	
(iii) Key management compensation	**2022 Shs'000**	**2021 Shs'000**	**2022 Shs'000**	**2021 Shs'000**
Salaries and other short-term employment benefits	153,953	142,947	-	-

31 Related party transactions (continued)

	GROUP		COMPANY	
(iv) Directors' remuneration	**2022 Shs'000**	**2021 Shs'000**	**2022 Shs'000**	**2021 Shs'000**
Fees for services as director	24,180	23,190	24,180	23,190
Other emoluments	72,610	35,937	-	-
	96,790	59,127	24,180	23,190

	GROUP		COMPANY	
(v) Due to related parties	**2022 Shs'000**	**2021 Shs'000**	**2022 Shs'000**	**2021 Shs'000**
Trade payables:				
Tunga Nutrition (K) Limited	1,711	-	-	-
Seaboard Corporation	267,882	626,885	-	-
	269,593	626,885	-	-
Other payables:				
Unga Limited	-	-	155,463	125,519
Unga Farm Care (E.A) Limited	-	-	116,849	96,840
Seaboard Corporation	53,222	-	-	-
	322,815	626,885	272,312	222,359

	GROUP		COMPANY	
vi) Due from related parties	**2022 Shs'000**	**2021 Shs'000**	**2022 Shs'000**	**2021 Shs'000**
Trade receivables:				
Kenchic Limited	495,428	318,081	-	-
Tanbreed Poultry Limited	13,089	-	-	-
Tunga Nutrition Kenya Limited	122,137	-	-	-
Tunga Nutrition Uganda Limited	16,698	-	-	-
Seaboard Corporation	2,529	-	-	-
	649,881	318,081	-	-
Other receivables:				
Unga Feeds Limited	-	-	7,000	7,000
Unga Holdings Limited	-	-	49,696	49,696
Seaboard corporation	607	-	-	-
	650,488	318,081	56,696	56,696

32 Discontinued operations and assets held for sale

(i) The board of directors approved for its subsidiary, Unga Farm Care (E.A.) Limited to enter into a partnership arrangement with Nutreco International B.V. In the venture, Unga Farm Care (E.A.) Limited contributed its fish feed plant and fish feed business to the new venture company, Tunga Nutrition (K) Limited, incorporated in Kenya (further details in Note 33). The financial results for the fish feed business have also been stripped out and disclosed net separately, in the statement of comprehensive income as discontinuing operations.

(ii) The board of directors also approved for its Uganda Subsidiary, Unga Millers (U) Limited to enter into another partnership arrangement with Nutreco International B.V. In the venture, Unga Millers (U) Limited contributed its property to the new venture company, Tunga Nutrition (U) Limited, incorporated in Uganda (Further details in Note 33).

(iii) The directors made a decision to discontinue the baking business that trades as Ennsvalley Bakery Limited in the prior year. As part of the liquidation plan for the subsidiary, management has sold plant and equipment, inventory and other rights. The financial results of the subsidiary have been presented as part of discontinuing operations. Trading operations in Ennsvalley Bakery Limited ceased in October 2021.

Financial information relating to the discontinued operation as at 30 June 2022 is shown below:

(a) Financial performance and cash flow information	**As at 30 June**	
	2022 Shs'000	**2021 Shs'000**
Revenue from contracts with customers	362,816	894,678
Expenses	(369,547)	(864,002)
Profit before income tax	(6,731)	30,676
Profit on disposal of business operations	814,694	-
Profit before income tax from discontinued operations	807,963	30,676
Income tax expense	(5,439)	(44,164)
Profit after income tax of discontinued operations	802,524	(13,488)
Net cash inflow from operating activities	144,456	11,323
Net cash outflow from investing activities	306,838)	(10,168)
Net cash outflow from financing activities	(79,938)	-
Net cash (used in)/ generated from discontinued operations	(242,320)	1,155

32 Discontinued operations and assets held for sale (continued)

(b) Assets and liabilities of disposal group classified as held for sale	As at 30 June	
	2022 Shs'000	2021 Shs'000
Assets classified as held for sale		
Plant and equipment:		
Cost	535,451	535,451
Accumulated depreciation	(262,425)	(262,425)
Depreciation charge for the year	(16,496)	-
Disposals	(535,451)	-
Depreciation on disposals	278,920	-
Closing net book value	-	273,026
Inventories	-	11,560
Total assets held for sale	-	284,586
Liabilities directly associated with assets classified as held for sale		
Capital grant:		
At start of year	(61,350)	-
Reclassification from non-current liabilities	-	(61,350)
Accelerated amortisation	61,350	-
Capital grant	-	(61,350)

33 Investment in associate

During the year, management finalized the formation and commissioning of two ventures namely Tunga Nutrition (K) Limited and Tunga Nutrition (U) Limited.

Tunga Nutrition (K) Limited brings together the total existing aquafeed business of Unga Farm Care (E.A.) Limited and Nutreco within the East Africa region, into a 50/50 venture with Nutreco having management control over the venture. Unga Farm Care (E.A.) Limited contributed its fish feed plant, its aquafeed customers and cash while Nutreco contributed its aquafeed customers and cash.

Tunga Nutrition (U) Limited brings together the animal nutrition businesses of Unga Farm Care (E.A.) Limited and Nutreco B.V. within Uganda into a 50/50 venture, with Nutreco B.V. having management control of the venture. Unga Millers (U) Limited contributed its property plant and equipment, Unga Farm Care animal nutrition customers in Uganda and cash to the venture, while Nutreco contributed its animal nutrition customers in Uganda and cash.

33 Investment in associate (continued)

(i) Business contribution at fair value:	Tunga N Kenya 2022 Shs'000	Tunga N Uganda 2022 Shs'000	Total 2022 Shs'000
Cash	251,521	223,364	474,885
Property, plant and equipment	210,540	222,848	433,388
Intangible asset - customer relationships	174,300	36,494	210,794
Add: directly attributable costs	14,851	-	14,851
Total consideration	651,212	482,706	1,133,918
Gain on acquisition	-	216,893	216,893
Investment value as at 31 January 2022	651,212	699,599	1,350,811
Goodwill	(10,817)	-	(10,817)

The Shs 10.8 million goodwill is attributable to synergies anticipated on combining the contributed businesses in the Tunga Nutrition (K) Limited joint venture.

(ii) Summarised financial information for associates

The tables below provides summarised financial information for the two associates accounted for using the equity method:

Summarised balance sheet at 30 June	Tunga N Kenya 2022 Shs'000	Tunga N Uganda 2022 Shs'000	Total 2022 Shs'000
Current assets:			
- Cash and cash equivalents	325,582	570,543	896,125
- Other current assets	555,001	112,261	667,262
Non-current assets:			
Property, Plant and Equipment	245,953	549,174	795,127
Intangible assets – customer relationships	459,433	222,660	682,093
Current liabilities:			
- Financial liabilities (excluding trade payables)	-	-	-
- Other current liabilities	(299,268)	(46,495)	(345,763)
Non-current liabilities:			
- Financial liabilities (excluding trade payables)	-	-	-
- Other non-current liabilities	-	-	-
Net assets	**1,286,701**	**1,408,143**	**2,694,844**

33 Investment in associate (continued)

Summarised statement of comprehensive income- 5 months ended 30 June 2022	Tunga N Kenya 2022 Shs'000	Tunga N Uganda 2022 Shs'000	Total 2022 Shs'000
Revenue	649,603	107,643	757,246
Expenses	(572,589)	(99,052)	(671,641)
Net interest income/ (expenses)	-	35,203	35,203
Depreciation and amortisation	(53,014)	(19,728)	(72,742)
Income tax expense	(18,089)	(15,120)	(33,209)
Profit for the period	5,911	8,946	14,857
Other comprehensive income	-	-	-
Total profit and other comprehensive income	5,911	8,946	14,857
Group share of profit (50%)	2,956	4,473	7,429
Reconciliation to carrying amounts:			
Opening investment value as at 1 February 2022	651,212	699,599	1,350,811
Share of profit in associates	2,956	4,473	7,429
Investment carrying amount	654,168	704,072	1,358,240

Intangible assets arising from the fair value of customer relationships are amortised over 5 years.

The financial year ends for Tunga Nutrition (K) Limited and Tunga Nutrition (U) Limited is 31 December which is different from the Group's reporting year end as the respective ventures have followed Nutreco B.V. year end reporting dates as the controlling partner.

(iii) Customer relationships fair value – Tunga Nutrition (K) Ltd

Customer relationships fair value has been calculated using Multi-period excess earnings method (MPEEM). In MPEEM, the intangible asset's fair value is equal to the present value of the incremental after-tax cash flows (excess earnings) attributable solely to the intangible asset over its remaining useful life. The model is based on the following input, judgements and assumptions:

Projected customer relationships life	Estimated to be 10 years
Revenue growth rate	Projected to be 5.22% per annum
Customer attrition rate	Projected to be 10% of revenue year on year
Net margin percentage	Estimated to 15% of revenue
Contributory asset charge	Estimated to be 5% of revenue
Discount rate	Weighted average cost of capital, 14.46%

Based on the above, the fair value of customer relationships was calculated to be Shs 174,300,000.

33 Investment in associate (continued)

(iii) Customer relationships fair value - Tunga Nutrition (K) Ltd

Sensitivity analysis

The results of Impact of possible adverse shift in key model input, judgements and assumptions are as follows;
If the growth rate applied to the cash flow projection had been 1%, lower than management have estimated and all other assumptions in the table above unchanged, the intangible asset value would have decreased by Shs 4,906,000.

If the customer attrition rate had been 2%, higher than management have estimated and all other assumptions in the table above unchanged, the intangible asset value would have decreased by Shs 12,883,000.

If the net margin percentage expected had been 2%, lower than management have estimated and all other assumptions in the table above unchanged, the intangible asset value would have decreased by Shs 34,851,000.

If the contributory asset charge percentage expected had been 1%, higher than management have estimated and all other assumptions in the table above unchanged, the intangible asset value would have decreased by Shs 17,425,000.

If the discount rate applied to the cash flow projection had been 1%, higher than management have estimated and all other assumptions in the table above unchanged, the intangible asset value would have decreased by Shs 5,950,000.

The directors and management have considered and assessed reasonably possible changes for other key assumptions and have not identified any instances that could cause the significant misstatement of the customer relationships fair value.

(iv) Customer relationships fair value - Tunga Nutrition (U) Ltd

Customer relationships fair value has been calculated using Multi-period excess earnings method (MPEEM). In MPEEM, the intangible asset's fair value is equal to the present value of the incremental after-tax cash flows (excess earnings) attributable solely to the intangible asset over its remaining useful life. The model is based on the following input, judgements and assumptions:

Projected customer relationships life	Estimated to be 10 years
Revenue growth rate	Projected to be 8% per annum
Customer attrition rate	Projected to be 10% of revenue year on year
Net margin percentage	Estimated to 17.8% of revenue
Contributory asset charge	Estimated to be 5% of revenue
Discount rate	Weighted average cost of capital, 14.46%

Based on the above, the fair value of customer relationships recognised as intangible assets in Tunga Nutrition (U) Limited was Shs. 242,502,000, contribution from Unga Farm Care (E.A) Limited and Nutreco B.V. was Shs 36,494,000 and Shs. 206,008,000 respectively.

33 Investment in associate (continued)

(iv) Customer relationships fair value - Tunga Nutrition (U) Ltd

Sensitivity analysis – Tunga Nutrition Uganda Ltd

The results of Impact of possible adverse shift in key model input, judgements and assumptions are as follows;

If the growth rate applied to the cash flow projection had been 1%, lower than management have estimated and all other assumptions in the table above unchanged, the intangible asset value would have decreased by Shs 7,058,000.

If the customer attrition rate had been 2%, higher than management have estimated and all other assumptions in the table above unchanged, the intangible asset value would have decreased by Shs 18,842,000.

If the net margin percentage expected had been 2%, lower than management have estimated and all other assumptions in the table above unchanged, the intangible asset value would have decreased by Shs 37,890,000.

If the contributory asset charge percentage expected had been 1%, higher than management have estimated and all other assumptions in the table above unchanged, the intangible asset value would have decreased by Shs 18,945,000.

If the discount rate applied to the cash flow projection had been 1%, higher than management have estimated and all other assumptions in the table above unchanged, the intangible asset value would have decreased by Shs 8,654,000.

The directors and management have considered and assessed reasonably possible changes for other key assumptions and have not identified any instances that could cause the significant misstatement of the customer relationships fair value.

14

SHAREHOLDERS' INFORMATION

To our shareholders, we have been through turbulent and unpredictable times, and as management and with the Board's support, we are intent on righting the ship and positioning the company for success in the coming financial year.

NOTICE OF
ANNUAL GENERAL MEETING

TO ALL STAKEHOLDERS

NOTICE is hereby given that the **Ninety-Fifth Annual General Meeting** of **Unga Group Plc** for the year **2022** will be held via electronic communication on **Thursday, 8th December 2022** at **10.00 a.m.** to conduct the following business:-

ORDINARY BUSINESS

1. To read the notice convening the meeting.
2. To confirm the minutes of the Ninety Fourth (94th) Annual General Meeting held on Friday, 10th December 2021.
3. To receive the Chairman's report.
4. To receive and adopt the Consolidated Audited Financial Statements for the financial year ended 30th June 2022 together with the reports of the Directors and the Auditors thereon.
5. To note that the Directors did not recommend a dividend for the year ended 30th June 2022.
6. Election of Directors:-
   a) In accordance with the provisions of Article 67.1 of the Company's Articles of Association
      i. Mr Jinaro Kibet retires by rotation and being eligible, offers himself for re-election.
      ii. Mr Patrick Obath retires by rotation and being eligible, offers himself for re-election.
      iii. Ms Ciru Miring'u retires by rotation and being eligible, offers herself for re-election.

   b) In accordance with the provisions of Section 769 of the Companies Act 2015, the following directors being members of the Board Audit & Risk Committee be elected to continue to serve as members of the said committee:-
      i. Ms Shilpa Haria
      ii. Mr Andrew Ndegwa
      iii. Mr Vitalis Ojode
      iv. Ms Ciru Miring'u
      v. Ms Wangari Murugu
7. Directors' Remuneration:-
   a) To approve the Directors' Remuneration Policy as shown in the audited Financial Statements for the year ended 30th June 2022.
   b) To approve the Directors' Remuneration Report as shown in the audited Financial Statements for the year ended 30th June 2022.
8. To re-appoint Messrs. PricewaterhouseCoopers (PwC) as Auditors of the Company in accordance with the provisions of Section 721 (2) of the Companies Act 2015 and to authorise the Directors to fix their remuneration for the ensuing financial year in accordance with the provisions of Section 724 (1) of the Companies Act 2015.
9. To consider any other business of which due notice has been received.

By Order of the Board

W Jumba

Winniefred Jumba
Company Secretary

15 November 2022

NOTES:

1. The Board has determined that the 2022 Annual General Meeting of the Company be held via electronic means in accordance with Article 38.5 of the Company's Articles of Association.
2. Shareholders wishing to participate in the meeting should register for the AGM via a link to the AGM Platform that will be sent to them by SMS and / or email or via https://digital.candrgroup.co.ke/ or by dialling *384*043# and follow the various registration prompts. In order to complete the registration process, shareholders will need to have their ID/Passport Numbers which were used to purchase their shares and/or their Shares or CDSC Account Number at hand. For assistance shareholders should dial the following helpline number: ((+254 20 8690360 from 9:00 a.m. to 4:00 p.m. from Monday to Friday. Any shareholder outside Kenya should email digital@candrgroup.co.ke to be assisted to register.
3. Registration for the AGM opens on 29th November 2022 at 08;00 am and will close on 7th December 2022 at 12.00noon
4. In accordance with Article 180 of the Companies Act and the Article 37.3 of the Company's Articles of Association, the following documents are available on the Company's website (https://unga-group.com) (i) a copy of this Notice and the proxy form; (ii) the Company's audited financial statements for the year ended 30th June 2022.
5. Shareholders wishing to raise any questions or clarifications regarding the AGM may do so by:
   a) Sending their written questions by email to digital@candrgroup.co.ke; or
   b) Accessing Virtual AGM via a link to the AGM Platform (or via https://digital.candrgroup.co.ke/); Select Attend Event; Select "Q&A" option tab and submit questions in text box provided
   c) Shareholders who will have registered to participate in the meeting shall be able to ask questions via SMS by dialling the USSD code above and selecting the option (ask Question) on the prompts(within 160-character limit for SMS text); or d) To the extent possible, physically delivering their written questions with a return physical address or email address to the registered office of the Company's Offices, Ngano House, Commercial Street, Industrial Area, PO Box 30096, 00100-Nairobi; or sending their written questions with a return physical address or email address by registered post to the Company Registrars address: Custody & Registrars, at IKM Place, Tower B, 1st Floor, 5th Ngong Avenue.
   e) Shareholders wishing to vote may do so prior to the AGM during the registration open period or during the AGM by:
      a) Accessing Virtual AGM via a link to the AGM platform (or via https://digital.candrgroup.co.ke/); Select Attend Event; Select Voting Matters option tab at the top of the live stream display section and vote; or
      b) Accessing Virtual AGM via USSD platform via *384*043#; Select the menu option for Voting and follow the various prompts regarding the voting process.
6. In accordance with Section 298(1) of the Companies Act, shareholders entitled to attend and vote at the AGM are entitled to appoint a proxy to vote on their behalf.
   > A proxy need not be a member of the Company. If the proxy appointed is not the Chairman of the AGM, the appointed proxy will need access to a mobile telephone.
   > A proxy form is available on the Company's website via this link: (https://unga-group.com. Physical copies of the proxy form are also available at Company's Offices, Ngano House, Commercial Street, Industrial Area, Nairobi; or the Company Registrars address: Custody & Registrars, IKM Place, Tower B, 1st Floor, 5th Ngong Avenue, Nairobi.
   > A proxy must be signed by the appointer or his attorney duly authorised in writing. If the appointer is a body corporate, the instrument appointing the proxy shall be given under its common seal or under the hand of an officer or duly authorised attorney of such body corporate.
   > A completed form of proxy should be emailed to proxy@candrgroup.co.ke or delivered to Custody & Registrars, at IKM Place, Tower B, 1st Floor, 5th Ngong Avenue so as to be received not later than 48 hours before the time of holding the meeting i.e. 6th December 2022 at 10.00 a.m. Any person appointed as a proxy should submit his/her mobile telephone number and email address to the Company no later than 7th December 2022 at 10.00 a.m.
   > Any proxy registration that is rejected will be communicated to the shareholder concerned no later than 7th December 2022 to allow time to address any issues.

NOTES: continued

7. The AGM will be streamed live via a link which shall be provided to all shareholders who will have registered to participate in the general meeting. Duly registered shareholders and proxies will receive a short message service (SMS) and/or email two hours ahead of the AGM, reminding them that the AGM will begin in two hours' time and providing a link to the live stream.

8. Duly registered shareholders and proxies may follow the proceedings of the AGM using the live stream platform and may access the agenda. Duly registered shareholders and proxies may vote (when prompted by the Chairman) via the USSD prompts or on the AGM Platform

9. A poll shall be conducted for all the resolutions put forward in the notice.

10. Results of the poll shall be published within 48 hours following conclusion of the AGM on the Company's website.

11. The preferred method of paying dividends which are below Kshs 140,000.00 is through M-PESA. Shareholders who wish to receive their dividend through M-PESA and who have not registered for this mode of payment can opt to receive future dividends via M-PESA by dialling *483*038# or contacting the Share Registrar, Custody & Registrars Services Limited.

12. All present and former shareholders of the Company are hereby notified that pursuant to the provisions of the Unclaimed Financial Assets Act No 40 of 2011 Parts II and III, dividends and shares which have not been claimed for a period of three (3) years or more will require to be delivered to the Unclaimed Financial Assets Authority (the Authority) as abandoned assets on the appointed date.

Therefore, all shareholders with previous unpaid dividends are requested to urgently contact the **Share Registrar, Custody & Registrars Services Limited** at **IKM Place, Tower B, 1st Floor 5th Ngong Avenue**, **Nairobi; Tel: Mobile: (020) 7608216** Email: **info@ candrgroup.co.ke** to claim any unpaid dividends to avert the risk of the dividends being forwarded to the Authority.

PROXY
FORM

95TH ANNUAL GENERAL MEETING
8TH DECEMBER 2022

I/WE...

Share Account...

Of (Address) ....

Being a member of the above Company, hereby appoint:

....

Of (Address)...Tel;..Email;..

Whom failing..

Of (Address)...Tel;..Email;..

or failing him, the Chairman of the Meeting, as our/my proxy, to vote for us/me and on our/my behalf at the **Ninety Fifth (95th)** Annual General Meeting of Unga Group Plc to be held on **Thursday**, **8 December 2022** at **10.00 a.m**. and at any adjournment thereof.

I authorize my proxy to vote as follows on the resolutions for the meeting.

		Accept	Reject	Dissenting Opinion
	ORDINARY BUSINESS:			
2.	To confirm the minutes of the Ninety Fourth (94th) Annual General Meeting held on Friday, 10th December 2021.			
3.	To receive the Chairman's Report.			
4.	To receive and, if approved, adopt the Consolidated Audited Financial Statements for the year ended 30 June 2022, together with the Chairman's, the Directors' and Auditor's Reports thereon.			
5.	To note that the Directors do not recommend the payment of a dividend for the financial year ended 30th June 2022.			
6(a)	**Election of Directors**: In accordance with the provisions of Article 67.1 of the Company's Articles of Association			
	i. Mr Jinaro Kibet retires by rotation and being eligible, offers himself for re-election. ii. Mr Patrick Obath retires by rotation and being eligible, offers himself for re-election. iii. Ms Ciru Miring'u retires by rotation and being eligible, offers herself for re-election.			

		Accept	Reject	Dissenting Opinion
	ORDINARY BUSINESS:			
6(b)	In accordance with the provisions of Section 769 of the Companies Act 2015, the following directors being members of the Board Audit & Risk Committee be elected to continue to serve as members of the said committee:-			
	i. Ms Shilpa Haria ii. Mr Andrew Ndegwa iii. Mr Vitalis Ojode iv. Ms Ciru Miring'u v. Ms Wangari Murugu			
7	**Directors' Remuneration** a) To approve the Directors' Remuneration Policy as shown in the audited Financial Statements for the year ended 30th June 2022. b) To approve the Directors' Remuneration Report as shown in the audited Financial Statements for the year ended 30th June 2022.			
8	To note that the auditors, Messrs PricewaterhouseCoopers (PwC) will continue in office in accordance with Section 721 (2) and 724 of the Companies Act, No.17 of 2015 and to authorize the Directors to fix their remuneration for the ensuing financial year in accordance with the provisions of Section 724 (1) of the Companies Act 2015.			

As witness my/our hand this ....day of 2022

Signed..

Notes:
1. A member entitled to attend and vote at the Meeting is entitled to appoint one or more proxies to attend in his stead. A proxy need not be a member.
2. The instrument appointing a proxy shall be in writing under the hand of the appointor or his attorney duly authorised in writing, or, if the appointor is a Corporation, either under seal, or under the hand of an officer or attorney duly authorised.
3. To be valid, this Proxy Form must be duly completed by a member and must either be emailed to proxy@candrgroup.co.ke or delivered to Custody & Registrars Services Ltd, at IKM Place, Tower B, 1st Floor, 5th Ngong Avenue P.O. Box 8484– 00100 GPO, Nairobi, so as to be received not later than 6th December 2022 at 10:00 a.m.

1908 - 2022

Nutrition for Life